

SoftBank Group Report



ANNUAL REPORT 2025

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This Annual Report provides relevant information about SoftBank Group Corp. (“SBG”) and its subsidiaries (including together with SBG, the “Company”) and its affiliates (together with the Company, the “Group”) and does not constitute or form any solicitation of investment including any offer to buy or subscribe for any securities in any jurisdiction.

This Annual Report contains forward-looking statements, beliefs or opinions regarding the Group, such as statements about the Group’s future business, future position and results of operations, including estimates, forecasts, targets and plans for the Group. Without limitation, forward-looking statements often include the words such as “targets,” “plans,” “believes,” “hopes,” “continues,” “expects,” “aims,” “intends,” “will,” “may,” “should,” “would,” “could,” “anticipates,” “estimates,” “projects” or words or terms of similar substance or the negative thereof. Any forward-looking statements in this Annual Report are based on the current assumptions and beliefs of the Group in light of the information currently available to it as of the date hereof. Such forward-looking statements do not represent any guarantee by any member of the Group or its management of future performance and involve known and unknown risks, uncertainties and other factors, including but not limited to, the success of the Group’s business model; the Group’s ability to procure funding and the effect of its funding arrangements; key person risks relating to the management team of SBG; risks relating to and affecting the Group’s investment activities; risks relating to SB Fund (defined as below), its investments, investors and investees; risks relating to SoftBank Corp. and the success of its business; risks relating to Arm and the success of its business; risks relating to law, regulation and regulatory regimes; risks relating to intellectual property; litigation; and other factors, any of which may cause the Group’s actual results, performance, achievements or financial position to be materially different from any future results, performance, achievements or financial position expressed or implied by such forward-looking statements. For more information on these and other factors which may affect the Group’s results, performance, achievements or financial position, see “Risk Factors” on SBG’s website at https://group.softbank/en/ir/investors/management_policy/risk_factor. None of the Group nor its management gives any assurances that the expectations expressed in these forward-looking statements will turn out to be correct, and actual results, performance, achievements or financial position could materially differ from expectations. Persons viewing this Annual Report should not place undue reliance on forward-looking statements. The Company undertakes no obligation to update any of the forward-looking statements contained in this Annual Report or any other forward-looking statements the Company may make. Past performance is not an indicator of future results, and the results of the Group in this Annual Report may not be indicative of, and are not an estimate, forecast or projection of, the Group’s future results.

The Company does not guarantee the accuracy or completeness of information in this Annual Report regarding companies (including, but not limited to, those in which SB Funds have invested) other than the Group which has been quoted from public and other sources.

Regarding Trademarks

Names of companies, products and services that appear in this Annual Report are trademarks or registered trademarks of their respective companies. “Co., Ltd.,” “Ltd.,” “Corporation” and “Inc.” have been omitted from company names except in certain circumstances.

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SBG encourages anyone interested in buying or selling its common stock to do so on the Tokyo Stock Exchange, which is where its common stock is listed and primarily trades. SBG’s disclosures are not intended to facilitate trades in, and should not be relied on for decisions to trade, un-sponsored American Depository Receipts (“ADRs”). SBG has not and does not participate in, support, encourage or otherwise consent to the creation of any un-sponsored ADR programs or the issuance or trading of any ADRs issued thereunder in respect of its common stock. SBG does not represent to any ADR holder, bank or depository institution, nor should any such person or entity form the belief, that (i) SBG has any reporting obligations within the meaning of the U.S. Securities Exchange Act of 1934 (“Exchange Act”) or (ii) SBG’s website will contain on an ongoing basis all information necessary for SBG to maintain an exemption from registering its common stock under the Exchange Act pursuant to Rule 12g3-2(b) thereunder. To the maximum extent permitted by applicable law, SBG and the Group disclaim any responsibility or liability to ADR holders, banks, depository institutions, or any other entities or individuals in connection with any un-sponsored ADRs representing its common stock.

The above disclaimers apply with equal force to the securities of any of the Group which are or may in the future be the subject of un-sponsored ADR programs, such as SoftBank Corp. or LY Corporation.

Notice Regarding Fund Information Contained in This Annual Report

This Annual Report is furnished to you for informational purposes and is not, and may not be relied on in any manner as, legal, tax, investment, accounting or other advice or as an offer to sell or a solicitation of an offer to buy limited partnership or comparable limited liability equity interests in any fund managed by a subsidiary of SBG, including SB Global Advisers Limited (“SBGA”), SB Investment Advisers (UK) Limited (“SBIA”) and any of their respective affiliates thereof (collectively, the “SB Fund Managers” and each an “SB Fund Manager”) (such funds together with, as the context may require, any parallel fund, feeder fund, co-investment vehicle or alternative investment vehicle collectively, the “SB Funds” and each an “SB Fund”). For the avoidance of doubt, the SB Funds include, among other funds, SoftBank Vision Fund L.P. (together with, as the context may require, any parallel fund, feeder fund, co-investment vehicle or alternative investment vehicle, the “Vision Fund I”), which are managed by SBIA and its affiliates; SoftBank Vision Fund II-2 L.P. (together with, as the context may require, any parallel fund, feeder fund, co-investment vehicle or alternative investment vehicle, the “Vision Fund II”), which are managed by SBGA and its affiliates; and SBLA Latin America Fund LLC (together with, as the context may require, any parallel fund, feeder fund, co-investment vehicle or alternative investment vehicle, the “SoftBank Latin America Fund”), which are managed by SBGA and its affiliates.

None of the SB Funds (including the Vision Fund I, Vision Fund II and SoftBank Latin America Fund), the SB Fund Managers, any successor or future fund managed by an SB Fund Manager, SBG or their respective affiliates makes any representation or warranty, express or implied, as to the accuracy or completeness of the information contained herein and nothing contained herein should be relied upon as a promise or representation as to past or future performance of the SB Funds or any other entity referenced in this presentation, or future performance of any successor or the future fund managed by an SB Fund Manager.

Information relating to the performance of the SB Funds or any other entity referenced in this Annual Report has been included for background purposes only and should not be considered an indication of the future performance of the relevant SB Fund, any other entity referenced in this Annual Report or any future fund managed by an SB Fund Manager. References to any specific investments of an SB Fund, to the extent included therein, are presented to illustrate the relevant SB Fund Manager’s investment process and operating philosophy only and should not be construed as a recommendation of any particular investment or security. The performance of individual investments of an SB Fund may vary, and the performance of the selected transactions is not necessarily indicative of the performance of all of the applicable prior investments. The specific investments identified and described in this Annual Report do not represent all of the investments made by the relevant SB Fund Manager, and no assumption should be made that investments identified and discussed therein were or will be profitable.

The performance of an SB Fund in this Annual Report is based on unrealized valuations of portfolio investments. Valuations of unrealized investments are based on assumptions and factors (including, for example, as of the date of the valuation, average multiples of comparable companies, and other considerations) that the relevant SB Fund Manager believes are reasonable under the circumstances relating to each particular investment. However, there can be no assurance that unrealized investments will be realized at the valuations indicated in this Annual Report or used to calculate the returns contained therein, and transaction costs connected with such realizations remain unknown and, therefore, are not factored into such calculations. Estimates of unrealized value are subject to numerous variables that change over time. The actual realized returns on the relevant SB Fund’s unrealized investments will depend on, among other factors, future operating results, the value of the assets and market conditions at the time of disposition, any related transaction costs and the timing and manner of sale, all of which may differ from the assumptions and circumstances on which the relevant SB Fund Manager’s valuations are based.

Past performance is not necessarily indicative of future results. The performance of an SB Fund or any future fund managed by an SB Fund Manager may be materially lower than the performance information presented in this Annual Report. There can be no assurance that each SB Fund or any future fund managed by the relevant SB Fund Manager will achieve comparable results as those presented therein.

Third-party logos and vendor information included in this Annual Report are provided for illustrative purposes only. Inclusion of such logos does not imply affiliation with or endorsement by such firms or businesses. There is no guarantee that an SB Fund Manager, an SB Fund’s portfolio companies, any future portfolio companies of a future fund managed by an SB Fund Manager or SBG will work with any of the firms or businesses whose logos are included in this Annual Report in the future.

SBGA and SBIA manage separate and independent operations and processes from each other and those of SBG in the management of Vision Fund I, Vision Fund II and SoftBank Latin America Fund, respectively. Any SB Funds managed by SBGA or SBIA are solely managed by SBGA or SBIA respectively.

Adoption of IFRSs

The Company has prepared the consolidated financial statements in accordance with the International Financial Reporting Standards (IFRS) from the three-month period ended June 30, 2013 (the first quarter of the fiscal year ended March 31, 2014). The date of transition to IFRS was April 1, 2012. The financial data for the year ended March 31, 2013, has also been presented based on IFRS.

Definition of Terms

“Fiscal 2024” refers to the fiscal year ended March 31, 2025, and other fiscal years are referred to in a corresponding manner in this Annual Report. “FYE” denotes the fiscal year-end. For example, “FYE2024” denotes March 31, 2025, the last day of fiscal 2024.

Notice Regarding PFIC Status

 See “IR Disclaimers” on our website for details.

Company Names

Company names and abbreviations used in this Annual Report, unless otherwise stated or interpreted differently in the context, are as follows.

Company names and abbreviations	Definition
SoftBank Group Corp. or SBG	▶ SoftBank Group Corp. (stand-alone basis)
The Company	▶ SoftBank Group Corp. and its subsidiaries
The Group	▶ SoftBank Group Corp. and its subsidiaries and associates
SB Northstar or asset management subsidiaries	▶ SB Northstar LP
SoftBank Vision Fund 1 or SVF1	▶ SoftBank Vision Fund L.P. and its alternative investment vehicles
SoftBank Vision Fund 2 or SVF2	▶ SoftBank Vision Fund II-2 L.P.
SoftBank Latin America Funds or LatAm Funds	▶ SBLA Latin America Fund LLC
SoftBank Vision Funds or SVF	▶ SVF1, SVF2, and LatAm Funds
SBIA	▶ SB Investment Advisers (UK) Limited
SBGA	▶ SB Global Advisers Limited
Arm	▶ Arm Holdings plc
SoftBank	▶ SoftBank Corp.
T-Mobile	▶ T-Mobile US, Inc.
Deutsche Telekom	▶ Deutsche Telekom AG
Alibaba	▶ Alibaba Group Holding Limited
SBE Global	▶ SBE Global, LP
Fortress	▶ Fortress Investment Group LLC
WeWork	▶ WeWork Inc.
OpenAI	▶ OpenAI Inc. and its affiliates, including OpenAI Global, LLC
Ampere	▶ Ampere Computing Holdings LLC

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 For consolidated financial statements and notes, see “Financial Report 2025” on our website.

Our Unchanging 志 *Kokorozashi* (Mission)

Information Revolution —Happiness for Everyone

Information Revolution—Happiness for everyone

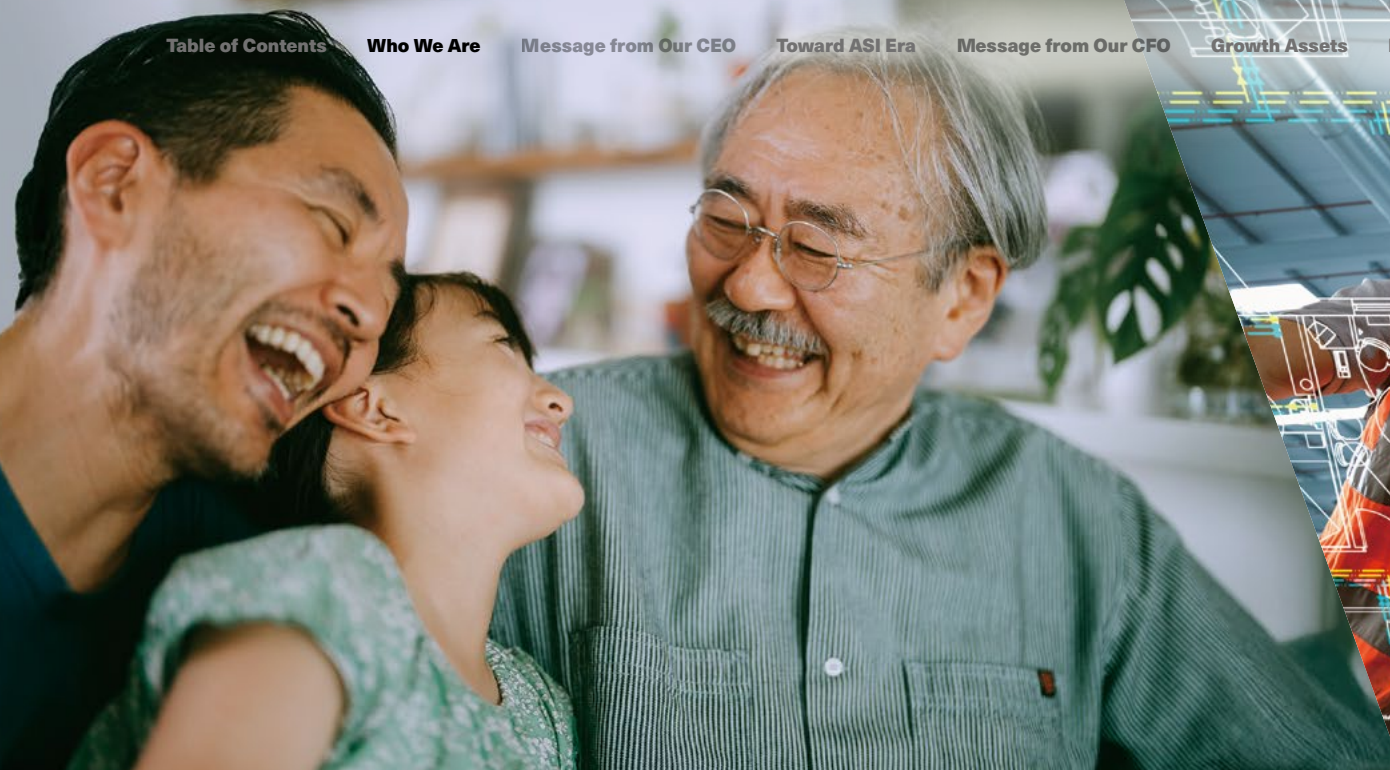
Since its founding, the Group has always remained true to its goal of accelerating the Information Revolution to make the world a happier place.

Just what is happiness?

Some might say happiness is to love and be loved in return, or to make the most of each day. Others might derive happiness from self-expression. Still others might find happiness in something as simple as a smile. Above all, the Group equates happiness with inspiration. Through our business, we strive to bring emotional meaning and happiness to lives. In everything we do, we aim to drive the Information Revolution and build a more connected, empowered, and joyful world. This unchanging *kokorozashi* (mission) is encapsulated in our philosophy, Information Revolution—Happiness for everyone.

Humankind stands on the cusp of an era of dramatically increasing computing performance, and we are getting ever closer to an age of superintelligence that will surpass human ability. Our mission is to harness the raw, unlimited power of the Information Revolution and channel it in a direction that makes people happier.

This aspiration will continue to drive our organization toward further growth for many years to come.



A two-line design—the banner of the Information Revolution that the Group hoists as we sail toward a new dawn

Imagine a group of visionaries who share the same unshakable spirit (*kokorozashi*). They act with one mind to achieve their ideals, braving all dangers to usher in a new era amid upheaval. The Group draws inspiration from one such group—the Kaientai, an enterprising shipping company founded in 1865 by the visionary Sakamoto Ryoma. Supplied with the best intelligence and possessing abundant knowledge and wisdom, the Kaientai and its founder rejected age-worn feudalistic values in favor of free thinking and bold action. In this way, they led a revolution that resulted in the modernization of Japan. Our corporate logo derives from the Kaientai's flag. It represents our admiration for and belief in the Kaientai's single-minded pursuit of their vision, which imagined a Japan 100 years into the future. The Group is a fleet of similar visionaries. Our vessels fly the banner of the 21st-century Kaientai, symbolizing our own single-minded pursuit of a vision: Information Revolution—Happiness for everyone.



Kaientai banner



SoftBank brand symbol

 **SoftBank**
Group

Our Vision for a Better World

—Help shape the next 300 years for our future generations and the planet

To realize our philosophy and vision, we invest in the Information Revolution.

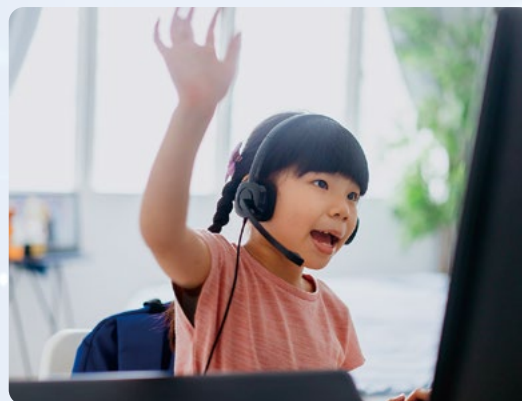
The Information Revolution has advanced to a new stage with the increasing sophistication of AI. It has the potential to create a safer, more enriching, and more prosperous future full of possibilities. At the same time, we seek to contribute to solving global challenges—such as climate change, and educational and economic inequality—and to realizing sustainability on a global scale.

We are driving the Information Revolution forward through the responsible use of AI, steadily progressing toward the world we have envisioned since our founding.



Autonomous driving for safer roads

Imagine a world where self-driving cars safely take you to your destination without manual operation—detecting blind spots and sudden changes to prevent road accidents, and enabling everyone to travel with peace of mind.



Remote learning for educational equality

Imagine a world where every child can receive quality education, regardless of where they are born and raised—and where remote learning programs reach every community, making education accessible to anyone, anywhere.



More creativity at work

Imagine a world where people approach work in more human, inspired ways—where every spark of insight and unique idea is valued, and where AI automates simple and repetitive tasks to empower people to focus on creative pursuits.



Using AI to prevent disease

Imagine a world where AI analyzes genetic and other health data to prevent disease—and where it accelerates drug discovery by shortening development timelines, enabling faster new medicines and early treatment.



An enriched life for all

Imagine a world of seamless commerce where everyone can do business directly across borders from anywhere—and stay connected to financial services, entertainment, and a wide range of services around the world.



Technological solutions to environmental issues

Imagine a world where cutting-edge technology enables the efficient delivery of renewable, clean energy to everyone—and helps tackle environmental challenges such as reducing greenhouse gas emissions and protecting biodiversity.

A Business Model with Three Capital Inputs

SBG Is a Strategic Investment Holding Company Driving the Information Revolution

Business Model

SBG = A strategic investment holding company

We invest in companies around the world that show excellent potential for AI-driven growth, contributing to the Information Revolution and a more connected, empowered, and joyful world for all.

Such companies have innovative ideas for truly world-changing goods and services. These ideas can solve social issues and make people happier.

By investing in them, we accelerate their business growth and unleash the potential of our core philosophy and vision: Information Revolution—Happiness for everyone.

Cluster of No. 1 Strategy

Our strategy is to build a strategically synergized ecosystem of companies. The strategy envisages this group as a symbiotic ecosystem of companies with industry-shaping technologies and business models.

In this ecosystem, we work with visionary entrepreneurs who pioneer new industries. Although we help these business leaders in their decision-making, we respect their autonomy and do not find it necessary to hold a majority stake in their companies. However, we do encourage them to identify with our core philosophy and vision and to work with us in unlocking synergistic growth.

Under this strategy, we have developed an ecosystem of entrepreneurial leaders in AI. These include subsidiaries and Group companies such as Arm, companies in which SBG invests directly with a view to creating value over the longer term, and over 400 portfolio companies within SoftBank Vision Funds and other funds.

Three capital inputs that deliver sustainable growth

When a company invests capital into business activities, the resulting value is expected to exceed the initial capital commitment. The company will then reinvest that capital for an even higher return. When this cycle occurs on an ever-greater scale, capital will keep accumulating, generating sustainable growth.

We have three key sources of capital: an ecosystem of portfolio companies, financial capital, and human capital. This capital is both an input and an output. In implementing our business model, we “input” capital, and this capital is then “output” back to us in an amount larger than the initial input.

—Building an ecosystem of industry-leading businesses aiming to grow for the next 300 years

1. Ecosystem of portfolio companies

This input is the ecosystem of portfolio companies we have developed. The ecosystem includes subsidiaries such as Arm, companies in which SBG invests directly, and over 400 portfolio companies within SoftBank Vision Funds and other funds. Members of this ecosystem pursue growth independently, but in doing so, they produce a stream of innovation and unleash synergies that enable the growth of the entire ecosystem.

Aim for sustainable growth through three scalable capital inputs

3. Human capital

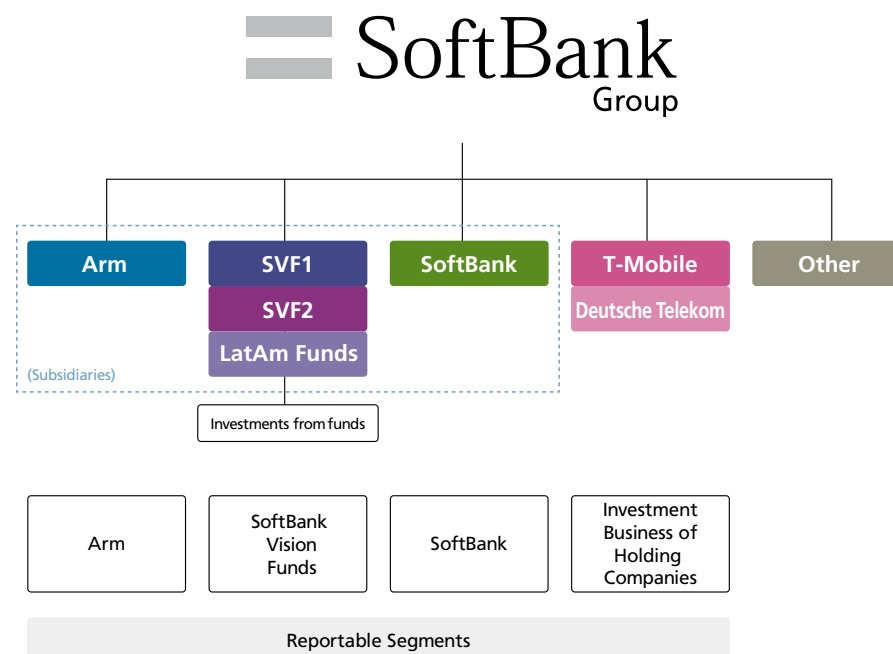
This input is our talent. It includes our investment professionals who identify attractive investment opportunities, as well as finance and accounting staff, legal and compliance experts, and many other employees who support our activities. Our human capital grows as our diverse pool of employees pursue their own professional development while increasingly aligning themselves with our unique company culture, which emphasizes decisiveness and dedication.

2. Financial capital

This input refers to the financial assets that fund our investments. We aim to grow our financial assets over the medium to long term, gaining high returns on investments and then reinvesting the profits. Our key performance measure for the growth of our financial capital is our Net Asset Value (NAV).^{*} Our NAV has grown over the medium to long term in line with our investments and other activities. We aim to grow it even larger.

Key equity holdings in SBG's NAV^{*}

As of March 31, 2025



^{*}NAV = Equity value of holdings – Net debt

See page 22 for details of NAV.

Evolving Ahead of the Times Under Our Unchanging 志 *Kokorozashi*

—Our history

Our story begins in 1981, when Masayoshi Son founded SOFTBANK Japan. He envisioned the company as a “software bank” that would build infrastructure for the information-driven society. At the time, PC software led the Information Revolution, but the focus shifted to the Internet, then to broadband, and later to smartphones. We have always stood on the frontlines of such shifts. Adjusting swiftly to market and industry changes, we have always partnered with the paradigm-defining companies of the time and adapted our areas of focus accordingly.

The Information Revolution has now entered another new phase, with AI completely redefining every industry. We invest in AI businesses with world-changing ideas. The aim of these investments is to accelerate groundbreaking technological innovations that can build a more connected, empowered, and joyful world. Believing that the next few decades of AI innovation will surpass all the technological progress of the last three centuries, we work with portfolio companies and subsidiaries around the world who share our aspiration to forge this exciting future.

'80s

1981
Founded as a distributor of packaged software for PCs



1982
Launched a publishing business

'90s

1994
Founded SoftBank Holdings Inc. in the U.S. for the purpose of strategic investment in Internet companies



1996
Launched Yahoo! JAPAN

'00s



2000
Invested in Alibaba



2001
Launched Yahoo! BB broadband service



2004
Acquired JAPAN TELECOM and entered fixed-line telecommunications

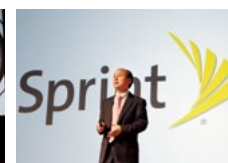


2006
Acquired Vodafone K.K. and entered mobile telecommunications in Japan

'10s



2010
Announced SoftBank's Next 30-Year Vision



2013
Acquired U.S.-based carrier Sprint

Broadband

Mobile

PC Software

The Internet



2016
Acquired U.K. chip designer Arm



2017
Launched SVF1



2018
SoftBank listed on the First Section of the Tokyo Stock Exchange

'20s Sprint T-Mobile

2020
Following the merger between Sprint and T-Mobile, Sprint was excluded from a subsidiary.



2023
Arm listed on the Nasdaq Global Select Market*



2025
• Announced Stargate Project
• Announced partnership with OpenAI regarding advanced enterprise AI
• Announced follow-on investments of up to \$30 billion in OpenAI

AI

SoftBank's Next 30-Year Vision: A Story of Value Creation



Announcement of SoftBank's Next 30-Year Vision (2010)

Sustainable development is imperative for businesses. Companies are expected not only to make short-term profits but also to create social value for stakeholders.

In 2010, we unveiled SoftBank's Next 30-Year Vision, which looks 100 years into the future. Five years later, the UN adopted the 17 Sustainable Development Goals. Thus, even before the sustainable development agenda took off, we already had our own sustainability-focused philosophy and vision. We were also already integrating this philosophy and vision into our strategy and business model to realize them.



Message from Our CEO

Becoming the World's No. 1 ASI Platform Provider

It all began with a photo

In January 1975, when I was 17 and living in San Francisco, I came across a photo in a magazine that changed the course of my life. It looked like a blueprint of a futuristic city or an intricate geometric pattern—mysterious and captivating. What I was actually seeing was a tiny microcomputer chip: small enough to rest on a fingertip, yet powerful enough to reshape the future. At the time, I had just begun learning to program on an IBM computer and believed computers

were massive, expensive machines far removed from everyday people. Yet, this little chip held countless transistors printed on a silicon wafer, packed with the full power of a computer. In that moment, my finger trembled. I was so overwhelmed with emotion that I could not stop crying. It felt as if I were witnessing the instant when humanity began creating something more intelligent than itself. That feeling etched itself deeply into my memory. I cut out the photo, stored it in a folder, carried it with me every day, and even slept with it under my pillow. I was completely captivated by that chip—drawn to it with the same intensity others might feel for a childhood hero. After this surreal experience, I immersed myself in computer studies, attended exhibitions, and devoted myself to programming.

50 years have passed since then, and now at the age of 67, the journey that began with that photo continues to guide my every step. The emergence of intelligence surpassing that of humans, which was once considered unattainable, is now on the verge of becoming reality. The commitment I made back then, to eventually play a meaningful role in this field, is finally taking shape and beginning to materialize.

Message from Our CEO

The vision that shaped SoftBank

The term ASI—Artificial Super Intelligence—may still be unfamiliar to some. While AI, or artificial intelligence, is already widely known, ASI refers to artificial intelligence that surpasses the human brain, as the term “super” suggests. Although ASI has now become an accepted and common term in the industry, I have believed in this concept for the past 50 years. From the moment I first saw that photo of the microcomputer chip, I felt certain that humanity would one day witness the emergence of intelligence beyond its own. That belief has never wavered and has been at the foundation of SoftBank. We have always aimed to lead the Information Revolution and bring happiness to everyone. And among our goals, none shines brighter than the realization of ASI. That is why I feel compelled to share this belief once again. I feel strongly that the moment has finally come to discuss the future in earnest.

Over the years, we have strategically and frequently pivoted our business focus. And each time, we faced criticism for being unclear about our direction or perceived as likely to go out of business soon. However, looking back on our journey, it is clear our Net Asset Value (NAV)—which is the value of our equity holdings minus net debt—has

Figure 1: Shareholder value (NAV)

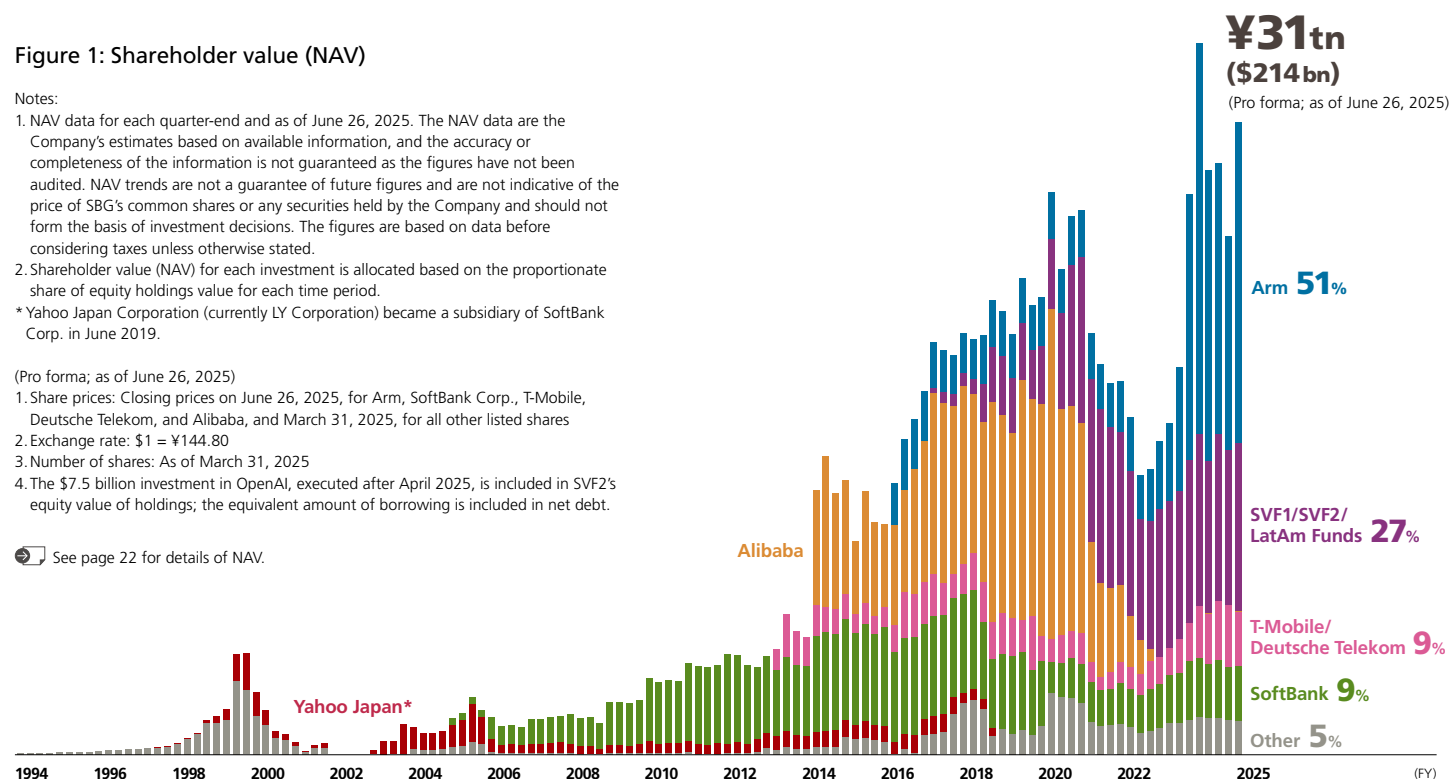
Notes:

1. NAV data for each quarter-end and as of June 26, 2025. The NAV data are the Company's estimates based on available information, and the accuracy or completeness of the information is not guaranteed as the figures have not been audited. NAV trends are not a guarantee of future figures and are not indicative of the price of SBG's common shares or any securities held by the Company and should not form the basis of investment decisions. The figures are based on data before considering taxes unless otherwise stated.
2. Shareholder value (NAV) for each investment is allocated based on the proportionate share of equity holdings value for each time period.
- * Yahoo Japan Corporation (currently LY Corporation) became a subsidiary of SoftBank Corp. in June 2019.

(Pro forma; as of June 26, 2025)

1. Share prices: Closing prices on June 26, 2025, for Arm, SoftBank Corp., T-Mobile, Deutsche Telekom, and Alibaba, and March 31, 2025, for all other listed shares
2. Exchange rate: \$1 = ¥144.80
3. Number of shares: As of March 31, 2025
4. The \$7.5 billion investment in OpenAI, executed after April 2025, is included in SVF2's equity value of holdings; the equivalent amount of borrowing is included in net debt.

See page 22 for details of NAV.



steadily grown, despite some volatility (see Figure 1). We started with PC software distribution. Then came the dawn of the Internet era—when we invested in Yahoo! Inc., jointly launched *Yahoo! JAPAN*, and brought broadband to households across Japan through *Yahoo! BB*. Recognizing the rise of mobile broadband, we acquired

Vodafone's Japanese arm and helped introduce the iPhone to Japan. Later, we acquired Sprint in the U.S. and merged it with T-Mobile, which would become the world's largest telecom company by market capitalization. As investors, we became the largest shareholder of Alibaba and launched SoftBank Vision Funds to invest in

AI-driven companies around the world. We have also acquired Arm, a global leader in semiconductor intellectual property (IP), and have helped accelerate its growth.

As of June 26, 2025, our NAV stands at approximately ¥31 trillion. Our market capitalization is about ¥14 trillion, roughly half the value of our assets. While our stock

Message from Our CEO

price and market capitalization are obviously important, they are not my ultimate goal. What matters more is having a bold vision and pursuing it with unwavering conviction. If we do that, I believe the numbers will follow.

At the forefront of ASI

While I have reflected on the past, what truly matters is the future. Ten years from today, when someone asks, “What has SoftBank accomplished? What difference has it made in people’s lives?”, I want to be prepared to answer with this point: “We became the world’s No.1 ASI platform provider.” To be a platform provider means being at the core of an industry. Just as Google, Apple, Microsoft, Amazon, and Meta have defined the digital age, I want SoftBank to become the foundational company in ASI—a completely new industry. I believe there are two types of companies: Those with diminishing returns and shrinking margins over time; and those such as the global tech giants mentioned above—often referred to as GAFAM,^{*1} that increase returns and expand their influence and profitability as they scale. For the past 30 years, much of Japanese industry has largely been stuck in the former category. However, SoftBank is determined to join the latter category and become a platform provider

powered by increasing returns—worthy of standing alongside the giants.

We are strategically positioned with core assets in place. Among them is Arm, a cornerstone of our platform strategy. At the time of our acquisition in 2016, Arm primarily focused on chips for mobile phones. Today, its designs are used across PCs, automobiles, IoT devices, and cloud computing. As of the end of June 2025, more than 325 billion Arm-based chips had been shipped globally. What is particularly striking is the growth in chip shipments for cloud computing. In 2025, up to 50% of new server chips adopted by leading hyperscalers are expected to be Arm-based. In July 2024, we acquired Graphcore, a company with deep expertise in chip design, which further builds on Arm’s leadership in semiconductor IP. We are also set to complete our acquisition of another chip-design company, Ampere, in the second half of fiscal 2025. With these investments, we are incorporating the technology stack needed for end-to-end chip design into our Group, solidifying our position as a key player in the AI chip space.

OpenAI represents another cornerstone of our ASI platform strategy. Since its launch in November 2022, ChatGPT has gained 500 million weekly active users in just two and a half years. Its models now perform

at a level that can pass PhD-level exams. Beyond simply understanding information, these models are beginning to reason, make decisions, and take action, signaling the dawn of the AI agent era. We have committed to investing up to \$32.2 billion^{*2} in OpenAI. It is a massive amount, but I firmly believe that OpenAI is on track to become the most valuable company on the planet.

I am going all in—staking everything on the world of ASI. The Company encompasses a diverse spectrum of companies in line with our *Cluster of No.1 Strategy*. But among them, I see Arm and OpenAI as the two essential engines—together, they are indispensable to our ambition of becoming the No.1 platform provider in the age of ASI.

I believe that 10 years from now, a small number of ASI leaders will be generating value on a scale equivalent to at least 5% of global GDP—around ¥1,300 trillion.^{*3} Because these companies will follow the law of increasing returns, they may well achieve profit margins approaching 50%. I want SBG to be one of them—a leading ASI platform provider. This is a vision I carry with deep conviction.

^{*1} Google, Apple, Facebook (currently Meta), Amazon, and Microsoft

^{*2} The sum of SVF2’s initial investment in OpenAI in fiscal 2024 (\$2.2 billion) and the effective amount of follow-on investment of up to \$30 billion in OpenAI as announced on April 1, 2025. The second closing is subject to the completion of certain conditions at OpenAI Global, LLC, a for-profit subsidiary of OpenAI, Inc., including a recapitalization of its economic waterfall, the investment amount will be as follows, depending on the timing of such completion;

1. Up to \$30 billion if completed by the end of 2025 or, in certain circumstances, early 2026
2. \$10 billion if not completed by the end of 2025 or, in certain circumstances, early 2026

 For details, please see the TSE release “Announcement Regarding Follow-on Investments in OpenAI” dated April 1, 2025.

^{*3} This estimate reflects SBG’s own projection, based on global GDP data published by the World Bank.

A historical turning point

We are working on several key initiatives with OpenAI, including the Stargate Project,^{*4} and Cristal intelligence.^{*5}

Stargate is a plan to build next-generation AI infrastructure in the U.S., providing the vast computing power needed to support the continued evolution of OpenAI’s models. Cristal intelligence is a cutting-edge enterprise AI solution, designed to be tailored to each company’s needs. We are first deploying Cristal intelligence across 2,500 business systems within the Group, covering payroll, sales, inventory, engineering, and more. By the end of 2025, we aim to launch what will be one of the world’s largest AI agents across the Company. After thoroughly testing and

Message from Our CEO



Cristal intelligence was announced with OpenAI CEO Sam Altman (right) on February 3, 2025.

refining it in-house, we plan to roll it out to other Japanese companies.

In the age of ASI, autonomous AI agents and physical robots will completely transform society at every level, across all types of occupations. We are now at an historic inflection point, one where the very nature of work, happiness, and our relationship with AI is being redefined.

*4 For details, see "Announcing The Stargate Project" dated January 22, 2025 and page 16 of this report.

*5 For details, see "OpenAI and SoftBank Group Partner to Develop and Market Advanced Enterprise AI" dated February 3, 2025 and page 16 of this report. Cristal intelligence is a tentative name.

Beyond superintelligence

The journey that began 50 years ago, when I first encountered a photo of a microcomputer chip, is now reaching a major turning point. I have discussed the emergence of the ASI era many times, but this is the first time I have ever declared my ambition to become the world's No. 1 platform provider in this field. Aiming to be No. 1, whether it seemed possible or not, has always been my mindset. That belief has shaped how I have lived my entire life. Now, I have finally reached the stage where I can at last pursue the passion I have held for decades: to lead as a platform provider in the age of ASI.

But superintelligence alone is not enough. Processing power and computational speed may translate into raw intelligence, but what truly matters is something deeper. We need intelligence imbued with compassion, kindness, and a sense of humanity. Without these qualities, no matter how capable it is, such intelligence cannot be trusted, nor can it be respected.

When AI surpasses humans in its capabilities, if it does not possess empathy or care, it could pose significant risks. I do not, however, believe AI is that foolish. After all, AI was created and nurtured by humanity, and it should live alongside us as a partner

on this planet.

The next 50 years will be a time when nearly everything is redefined: how we work, what we value as happiness, and how we relate to AI itself. The Information Revolution is the means to make this transformation possible. Its purpose is clear and unwavering: to bring happiness to everyone. I want to reaffirm this enduring belief. We will make SoftBank the world's leading platform provider in the age of ASI. That is my ambition. Thank you for your continued support as we embark on this journey into the future.

June 27, 2025

Representative Director,
Corporate Officer, Chairman & CEO
Masayoshi Son

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Toward the ASI Era

Toward the ASI Era: Our Growth Strategy

Since its founding, the Company has upheld the corporate philosophy of Information Revolution—Happiness for everyone. It has consistently viewed advances in information technology, which transform society and lifestyles, as growth opportunities. Starting in 1981 as a software wholesaler, the Company has continuously transformed itself to adapt to the shifting core of information technology: from personal computers to the Internet, to broadband, and then to smartphones. With each shift, it has optimized its group structure to deliver the best solutions to meet society's needs and to

build the necessary infrastructure, driving our growth through repeated self-innovation.

Today, the core of the Information Revolution is shifting to AI, particularly generative AI. Generative AI is driving dramatic technological innovation in fields such as natural language processing and creative content generation, accelerating transformation across all industries. The Company anticipates that, within a few years, this evolution will lead to the realization of Artificial General Intelligence (AGI), AI with intelligence equivalent to humans, and that within ten years, we will

see Artificial Super Intelligence (ASI) that far surpasses human wisdom. Guided by its mission to realize ASI for the evolution of humanity, the Company is undergoing a new phase of self-transformation.

Specifically, the Company is focusing its efforts on four priority areas: (1) AI chips, (2) AI robots, (3) AI data centers, and (4) energy to support them. The Company is actively investing and expanding its business activities in these areas, while also strengthening partnerships with leading companies in generative AI. Under its unique *Cluster of No. 1 Strategy*, the Company is advancing these initiatives so that each Group company and portfolio company mutually inspires each other, driving both business expansion and business model evolution. Through these efforts, the Company aims to increase the value of its holdings and maximize its NAV (Net Asset Value) over the medium to long term.

➡ See page 6 for Cluster of No. 1 Strategy.

➡ See page 22 for details of NAV.

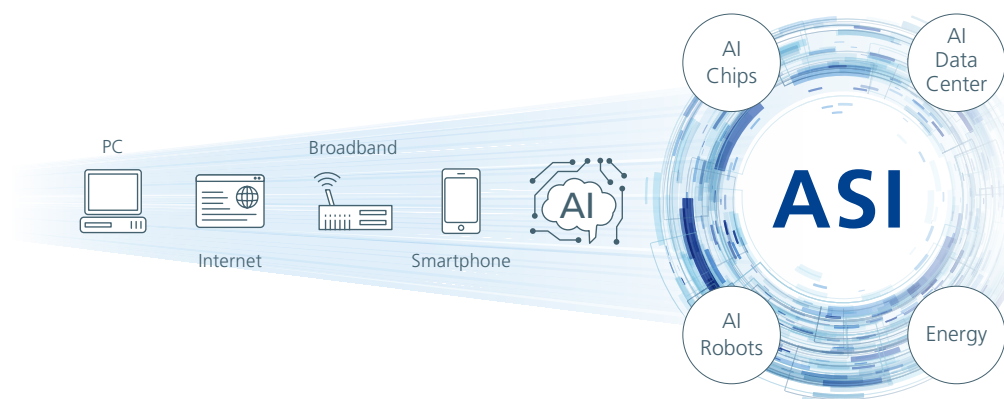
long-refined concepts and setting the stage for a leap toward realizing ASI.

Stargate Project

As AI technologies, including large-scale language models (LLMs), rapidly evolve and advance, various AI services are spreading throughout society, driving an increasing demand for computational capacity to support them. In January 2025, together with OpenAI and Oracle, SBG announced the "Stargate Project" to build the next-generation AI infrastructure for OpenAI. This project is expected to involve the phased construction and operation of large-scale data centers in various U.S. locations to provide AI compute power.

Each project is expected to receive project-level financing that involves external investors in addition to Stargate's equity investment. As a result, the Company's contribution to each project through Stargate would be limited relative to the total project scale.

Transition of the Core of Information Revolution



Starting point for a Leap

As the Company advances the Information Revolution to transform society through AI, fiscal 2024 marked a year in which it accelerated strategic investments and partnerships in the AI domain, concretizing

Cristal intelligence

In February 2025, the Company agreed to form a partnership with OpenAI for the development and sale of cutting-edge AI agents for enterprises in Japan. Pursuant to the proposed partnership, SoftBank will lead

Toward the ASI Era

the commercialization of customized and optimized AI agents for enterprise through a joint venture with OpenAI. These AI agents, Cristal intelligence,*¹ aim to not only streamline individual business operations but also enable multiple AIs to collaborate for company-wide optimization and drive management reform through new business creation.

*¹ Cristal intelligence is a provisional name, not an official designation.

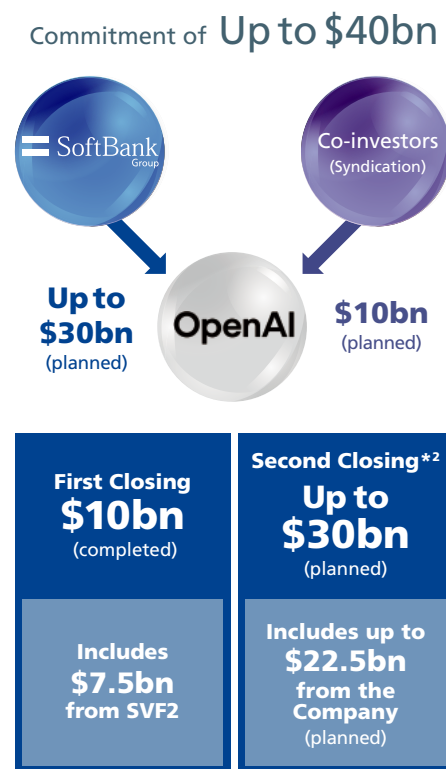
Follow-on Investments in OpenAI

As SBG pursues its mission to realize ASI for the evolution of humanity, it regards OpenAI, which we believe closest to achieving AGI, as its most important partner. Sharing OpenAI's mission of "ensuring that AGI benefits all of humanity," in fiscal 2024, SoftBank Vision Fund2 invested \$2.2 billion in OpenAI.

At the end of March 2025, SBG agreed to make follow-on investments of up to \$40 billion in OpenAI, positioning it as a pillar of SBG's growth strategy aimed at expanding NAV. This investment, alongside the Stargate Project, which is critical for securing the computing power essential for the advancement of OpenAI's AI models, is intended to support the company's continued growth.

This additional investment is planned to be closed in two phases. The first closing of \$10 billion was completed on April 15, 2025. This phase included syndication to external

Follow-on investments in OpenAI



*² The second closing is targeted for December 2025 for up to \$30 billion, subject to the **certain conditions**

investors, resulting in SoftBank Vision Fund 2's investment amount as of the end of May 2025 being \$7.5 billion. The second closing of up to \$30 billion is planned for December 2025. If certain conditions*³ are not met, the Company's commitment will be set at an additional \$10 billion.

*³ **Certain conditions**: Subject to the completion of certain closing conditions including the recapitalization of its economic Waterfall of OpenAI Global, the for-profit subsidiary of OpenAI, Inc., the investment amount will be as follows, depending on the timing of such completion;
 1. Up to \$30 billion if completed by the end of 2025 or, in certain circumstances, early 2026
 2. \$10 billion if not completed by the end of 2025.

For details, please see the TSE release "Announcement Regarding Follow-on Investments in OpenAI" dated Apr 1, 2025.

Ampere Acquisition

In March 2025, SBG announced the acquisition of all equity interests of the U.S. semiconductor design company Ampere for \$6.5 billion, making it a wholly owned subsidiary. The transaction is expected to close in the second half of fiscal 2025. Through this acquisition, the Company will gain around 1,000 skilled engineers with deep expertise in Arm's architecture, which will complement Arm's chip design strength and further enhance the Group's capacity to provide essential computing power in the AI era.

In fiscal 2024, the Company advanced its AI strategy across all three layers—infrastructure, models, and applications—with representative examples such as Stargate and Ampere for AI infrastructure, OpenAI for AI models, and Cristal intelligence for AI applications. As businesses and investments within each layer expand, they are expected to generate mutually reinforcing synergies. (e.g., Cristal intelligence). Meaningful progress was made across all three layers. As each layer grows, synergies are expected to emerge across them, driving mutual business expansion.

Since entering the mobile phone business in earnest 19 years ago, the Company has consistently pursued growth by leveraging a three-layer framework, comprising infrastructure, portals, and content, tailored to the dominant technologies of each era. Although the core technologies driving the Information Revolution have shifted from telecommunications to AI, this layered strategic approach remains unchanged.

Going forward, the Company aims to achieve sustained NAV growth by accelerating the growth of portfolio companies in each layer and by capturing synergies across layers.

Message from Our CFO

Powering the ASI Vision with Strategic Financial Support



Yoshimitsu Goto

Board Director, Corporate Officer,
Senior Vice President, CFO, CISO & GCO
Head of Finance Unit, Head of Administration Unit,
Head of Legal Unit

Fiscal 2024 summary —The year we set ASI in motion

Guided by our corporate philosophy of Information Revolution—Happiness for everyone, we have steadily invested in high-growth companies for the AI era. Over the past three years, generative AI has begun reshaping daily life and increasing AI's presence across society. For the entire Group, this period has also marked a time of deep reflection and strategic redefinition—what Mr. Son, our founder and CEO, calls a “second founding”—to fully develop and refine a new business vision.

We viewed fiscal 2024 as a pivotal turning point, a year when we made our bold leap toward realizing ASI through large-scale, strategic investments. We increased our investments year over year, and we may continue investing deliberately and strategically as we progress into the ASI era. To support these efforts, we remain committed to maintaining and strengthening a robust financial foundation that enables us to respond flexibly and actively advance our ASI ambitions.

Growth investment vision takes shape

To fully understand the rationale behind each major investment, it's essential to see how we are laying the groundwork for ASI. We are doing so across four strategic fronts. The first is semiconductor chips development, which is the core of AI, anchored by Arm. We aim to scale and strengthen our AI chips and semiconductor businesses. The second is AI-powered robotics. The third is building data centers to support these technologies; even breakthrough innovations like generative AI from OpenAI cannot progress without robust infrastructure. And the final one is securing power supplies, which are critical to operating the data centers that underpin AI's continued advancement.

Stargate Project

In January 2025, together with OpenAI and Oracle, we announced the Stargate Project, a plan to build next-generation AI data centers in the U.S. for OpenAI.

For the information revolution to truly permeate society, three elements are essential: technological innovation, service deployment, and supporting infrastructure. Historically, growth during the Internet Revolution was driven by technological breakthroughs, the rise of new business

Message from Our CFO

models, and the expansion of broadband and mobile infrastructure.

Today, the AI revolution similarly demands robust infrastructure to transform cutting-edge AI technologies into practical and scalable services. In particular, building data centers with large-scale computing capacity has become an urgent priority.

With this in mind, we are leading the Stargate Project to construct large-scale data centers in the U.S.—the epicenter of generative AI innovation—over the coming few years. We view this as a core strategic investment to help shape the foundational infrastructure of the AI era.

Cristal intelligence

In February 2025, we announced a partnership with OpenAI to jointly develop and commercialize advanced enterprise AI under the concept of Cristal intelligence.* We are the first company globally to implement these solutions at scale across an entire corporate group. As a leader in generative AI, we plan to deploy these technologies to work internally as a key driver of profitability. At our joint venture with OpenAI, we are also preparing to launch full-scale AI agents to accelerate the growth of enterprise services. The company will hold exclusive distribution rights in Japan. Drawing on the expertise gained

through domestic service deployment, we aim to expand these solutions into global markets.

* Cristal intelligence is a provisional name, not an official designation.

Follow-on investments in OpenAI

In March 2025, we committed to making follow-on investments in OpenAI. Based on the assumption that a syndicate will be formed to support the full investment amount, we plan to invest up to \$30 billion in the company.

To fully unlock our potential as a leading company in the AI era, Arm's leadership in semiconductors and OpenAI's cutting-edge AI technologies are essential. Deepening our capital partnership with OpenAI, an organization with unmatched AI capabilities, is vital to building the strength we envision for the Group.

This was a bold investment decision, but one we believe will generate substantial mutual benefits. OpenAI's growth will help Arm further enhance its value, while OpenAI will be able to expand its opportunities through collaboration with Arm and the broader our ecosystem. As OpenAI grows, so does the upside potential of our equity stake in both the company and Arm, positioning this large-scale portfolio as a powerful engine for the growth of our Net

The Group's strategic vision for AI

AI applications

**Wide range of services
including Cristal intelligence**

AI models

OpenAI

AI data centers

Stargate

AI computing power

arm **GRAPHCORE**  **AMPERE.**

Asset Value (NAV).

Our journey in the Information Revolution has been marked by several turning points—from becoming Japan's first OTC-registered software wholesaler in 1994, to our early investment in and transformative partnership with Yahoo! and the creation of its Japanese operation. Now, we face what may be the most profound technological shift yet: the AI revolution. We believe this wave will surpass all past innovations and might well be the most consequential we will ever experience. Our investment in Yahoo! was a daring bet at the time, given our scale. In contrast, our decision today to invest up to \$30 billion in OpenAI is backed by our strong NAV. We are

confident in our financial capacity to fully support this ambitious step forward.

Decision to acquire Ampere

In March 2025, we announced our decision to acquire Ampere, a U.S.-based semiconductor design company specializing in cloud and AI, for \$6.5 billion. We view Ampere as a critical piece in supporting the continued growth of Arm, which leads our semiconductor strategy. The transaction is expected to close in the second half of fiscal 2025. As a strategic investment holding company, we will continue to invest in a broad range of businesses that complement Arm's growth and technology roadmap. At

Message from Our CFO

the same time, we will further strengthen and expand our Group-wide semiconductor strategy by effectively integrating our diverse internal resources to maximize strategic impact.

Summary of fiscal 2024 performance

Fiscal 2024 was characterized by heightened market volatility, primarily driven by a sharp decline in U.S. tech stocks. As of March 31, 2025, our NAV stood at ¥25.7 trillion, down ¥2.1 trillion from the previous fiscal year-end. Despite this decline, we believe SBG remains the only company in Japan with a NAV of this scale backed by highly liquid assets.

Another key indicator, our Loan-To-Value (LTV) ratio, rose to 18.0%, up approximately 10 points from 8.4% a year earlier. With our internal safety threshold set at 25%, we continue to operate comfortably within a range that ensures strong financial flexibility.

Due to our proactive investment approach, our cash position declined by ¥1.3 trillion year on year, to ¥3.4 trillion. Even so, we maintain ample liquidity.

Net income attributable to owners of the parent totaled ¥1.15 trillion, marking a return to profitability for the first time in four years. While NAV remains our core metric as an investment holding company, a return to

profit is nonetheless a welcome development.

Financial preparation for large-scale investment

In fiscal 2024, we prioritized strengthening our financial foundation to ensure flexible and stable funding in anticipation of future large-scale investments. In recent years, we have relied heavily on bond issuance. Reaffirming the importance of indirect finance, we rebalanced our funding mix by gradually increasing loan-based financing over the past year.

This strategy proved effective on April 15, 2025 when we completed the first closing of our investment in OpenAI. Including the \$6.5 billion required for the Ampere acquisition, we secured a total of \$15 billion in loans. Despite a particularly challenging environment marked by significant market pressure stemming from U.S. tariff policies, we completed the financing just two weeks after the announcement of the follow-on investment in OpenAI—a pace rarely achieved under such conditions. This swift execution was made possible by the trust we have built with financial institutions over time and the improvements in our credit profile.

We also remain committed to enhancing our creditworthiness. We are optimizing cash

Key indicators

	March 31, 2024	March 31, 2025
NAV (Net Asset Value)	¥27.8tn	▶ ¥25.7tn
LTV (Loan to Value)	8.4%	▶ 18.0%
Cash position	¥4.7tn	▶ ¥3.4tn

Note: See pages 22-24 for details on NAV and LTV.
Cash position = Cash and cash equivalents + short-term investments recorded as current assets + bond investments + unused borrowing capacity (including commitment lines and margin loans secured by Arm shares). As of March 31, 2025, the full amount of the commitment line had been drawn, while \$5.0 billion of the margin loan facility backed by Arm shares remained unused. Figures are on a SBG standalone basis.

allocation with a view to maintaining a sound financial position, while ensuring funding flexibility. We consistently strike a balance among three priorities: (1) growth investments, (2) shareholder returns, and (3) financial improvements. Of these, financial improvements play a critical role in earnings and maintaining the trust of credit investors. We believe that applying optimal leverage to drive corporate growth leads to optimal returns for shareholders. This is why we place equal emphasis on financial improvement and shareholder returns. The successful financing of the follow-on

investment in OpenAI validates the long-term financial strategy we have consistently pursued.

In August 2024, we authorized a ¥500 billion share buyback in response to sharp market fluctuations. As we look ahead to fiscal 2025 and beyond, we see major investments on the horizon as we enter a phase where growth investments take precedence.

Message from Our CFO

Fiscal 2025 financial policy and strategy

Our financial policy for fiscal 2025 remains unchanged. We will continue to manage our LTV ratio below 25% under normal market conditions, with an upper threshold of 35% even in exigent circumstances. We will also maintain sufficient cash position to cover at least two years' worth of bond redemptions. Our disciplined financial policy remains the same in fiscal 2025.

While some may suggest that we revise our financial policy to allow for more flexibility in response to changing business conditions and market fluctuations, we believe that a consistent approach is key. Our unwavering financial policy allows us to clearly and continuously demonstrate our commitment to financial soundness to all stakeholders, including retail investors. This is especially important for shareholders and debt investors, who form the core of our support base. By maintaining a clear and consistent policy, we believe we can build lasting trust and ultimately enhance both our creditworthiness and our corporate value.

Strategically, we will continue to balance caution with bold action as we navigate an increasingly uncertain environment, all while laying the groundwork for sustainable NAV growth. On the investment side, we will stay

Fully prepared to shift to a defensive financial stance when needed

No change to financial policies

Keep **LTV below 25%** under normal conditions
(maximum 35% in exigent circumstances)

Maintain at least **two years' worth of bond redemption funds**

closely aligned with business development and respond swiftly to market changes. On the financing side, we will continue to diversify funding methods to ensure strategic flexibility. Finally, rigid control of our LTV remains central to our discipline. By further strengthening the financial foundation built over many years, we aim to remain resilient and adaptive in a changing world.

NAV (Net Asset Value) & LTV (Loan to Value)

NAV Growth through Investment in the Information Revolution

As of March 31, 2025

NAV (Net Asset Value) is the most important indicator for assessing the value of SBG and is calculated as the equity value of holdings minus SBG's adjusted net interest-bearing debt (net debt). SBG aims to maximize NAV over the medium to long term through an increase in the equity value of holdings.

$$\begin{array}{|c|} \hline \text{Equity value of} \\ \text{holdings} \\ \hline \text{¥31.4 tn} \\ \hline \end{array} - \begin{array}{|c|} \hline \text{SBG's net debt} \\ \hline \text{¥5.7 tn} \\ \hline \end{array} = \begin{array}{|c|} \hline \text{NAV} \\ \text{(Net Asset Value)} \\ \hline \text{¥25.7 tn} \\ \hline \end{array}$$

See page 24 for the assumptions used to calculate the equity value of holdings and net debt.

- Arm
- SVF1/SVF2/LatAm Funds
- T-Mobile/Deutsche Telekom
- SoftBank
- Other
- Alibaba
- Yahoo Japan*

2004
Acquired JAPAN TELECOM CO., LTD. (currently SoftBank)

2000
Invested in Alibaba

2006
Acquired Vodafone K.K. (currently SoftBank)

2013
Acquired U.S.-based carrier Sprint (currently T-Mobile)

2014
Alibaba listed on the New York Stock Exchange

2016
Acquired Arm

2018
SoftBank listed on the Tokyo Stock Exchange

2019
Launched SVF2

2023
Arm listed on the Nasdaq Global Select Market

As of March 31, 2025

NAV
¥25.7tn



Note: NAV data for each quarter-end. The NAV data are the Company estimates based on the information available to it, and the accuracy or completeness of the information is not guaranteed as the figures are not audited. NAV trends are not a guarantee of future figures and are not indicative of the price of SBG's common shares or any securities held by the Company and should not form the basis of investment decisions. The figures are based on data before considering taxes unless otherwise stated. In the calculation of NAV, the equity value of holdings and SBG's net debt each exclude amounts to be settled at maturity or borrowings that are part of asset-backed finance. See page 24 for the assumptions used to calculate the equity value of holdings and net debt.

* Yahoo Japan Corporation (currently LY Corporation) became a subsidiary of SoftBank in June 2019.

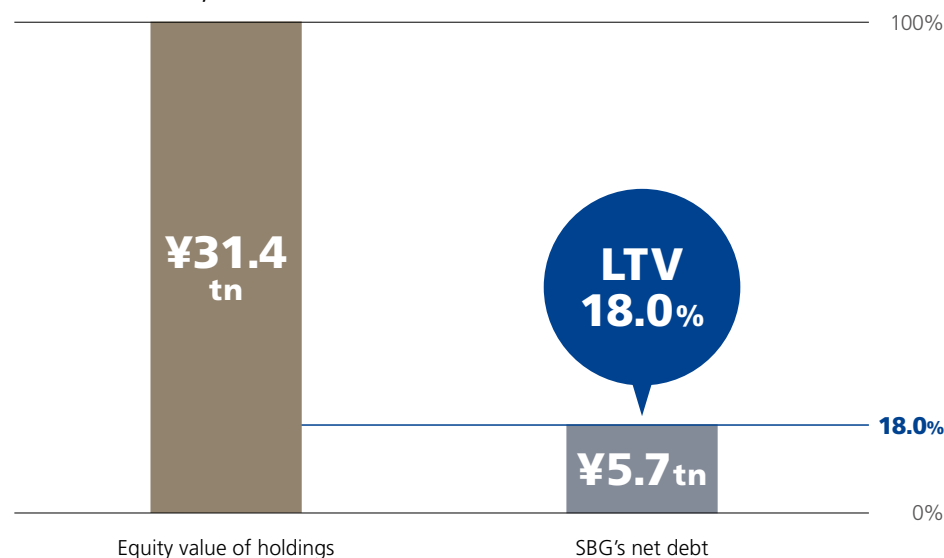
NAV (Net Asset Value) & LTV (Loan to Value)

LTV: A Key Metric for Stable Financial Management

LTV (Loan to Value) is a financial indicator that is calculated as SBG's adjusted net interest-bearing debt (net debt) divided by the equity value of holdings. SBG's finance policy is to maintain LTV below 25% in normal times with an upper threshold of 35% even in times of emergency. An LTV below 25% is a very high level of safety indicating that the equity value of holdings is more than sufficient to repay the debt.

$$\text{SBG's net debt} \div \text{Equity value of holdings} = \text{LTV (Loan to Value)}$$

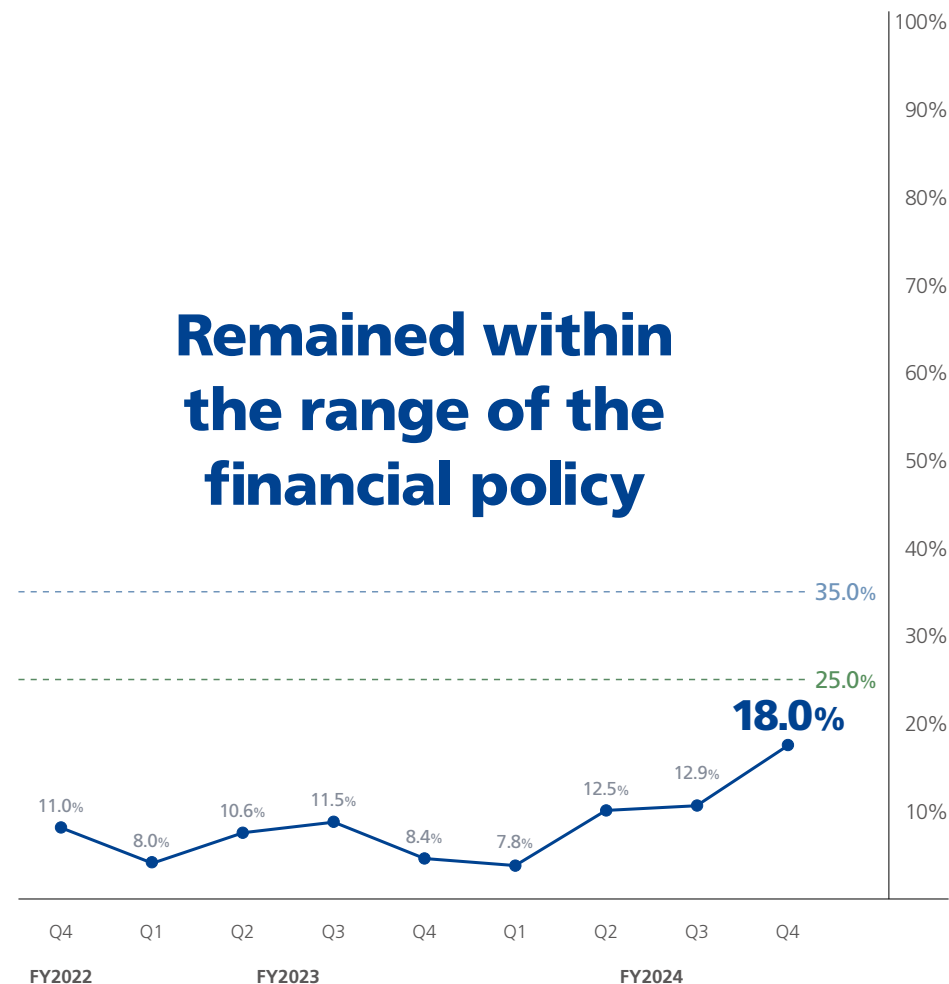
LTV as of March 31, 2025



See page 24 for the assumptions used to calculate the equity value of holdings and net debt.

Note: The equity value of holdings and SBG's net debt each exclude amounts to be settled at maturity or borrowings that are part of asset-backed finance.

Remained within the range of the financial policy



Note: LTV data for each quarter-end

Calculation of Equity Value of Holdings and Net Debt

As of March 31, 2025

Equity value of holdings

Arm: the number of Arm ADSs equivalent to the number of shares held by SBG × Arm ADS price – the payable amount of the consideration for Arm shares acquired from SVF1 through an intra-group transaction – the equivalent amount of outstanding liabilities for margin loans using Arm shares

Alibaba: the number of Alibaba ADSs equivalent to the number of shares held by SBG × Alibaba ADS price – the sum of the outstanding maturity settlement amounts (calculated by using the company's share price) of the prepaid forward contracts (a forward contract) using Alibaba shares

SoftBank: the number of shares held by SBG × SoftBank share price – the equivalent amount of outstanding liabilities for margin loans using SoftBank shares

SVF1: SBG's share of SVF1's NAV + accrued performance fees, etc.

SVF2: SBG's share of SVF2's NAV, etc.

LatAm Funds: SBG's share of LatAm Funds' NAV + accrued performance fees, etc.

T-Mobile: the number of T-Mobile shares held by SBG × T-Mobile share price

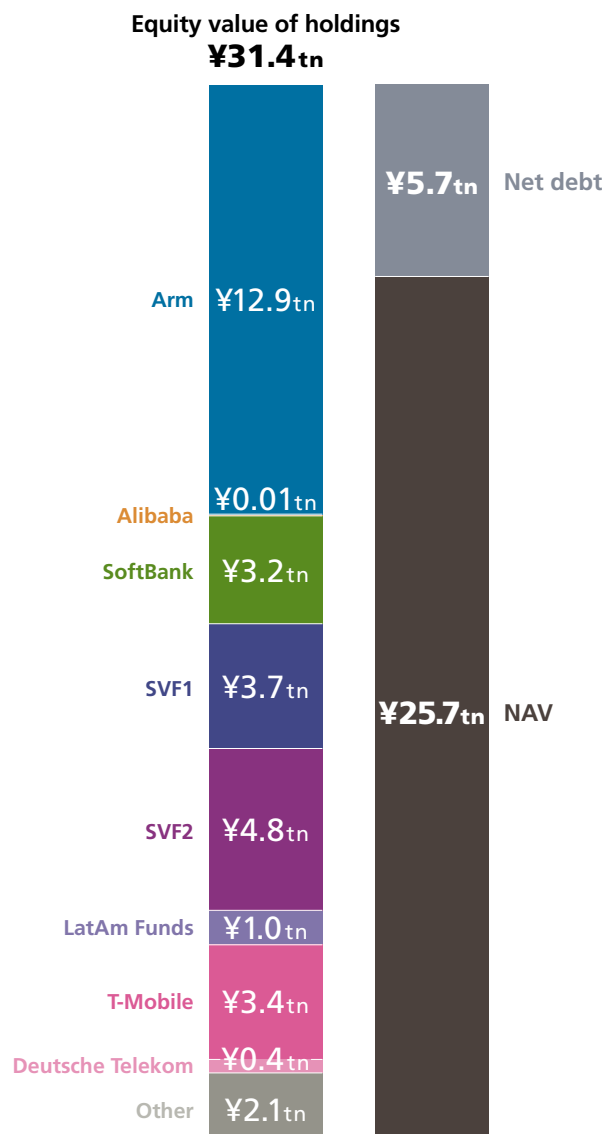
Deutsche Telekom: the number of Deutsche Telekom shares held by SBG × Deutsche Telekom share price – the maturity settlement amount of a collar transaction using Deutsche Telekom shares

Other: (a) + (b) + (c)

(a) Listed shares: the number of shares held by SBG multiplied by the share price of each share

(b) Unlisted shares: calculated based on the fair value (or the carrying amount in SBG's balance sheet for those not measured at fair value) of unlisted shares, etc. held by SBG

(c) SB Northstar: SBG's share of SB Northstar's NAV



Net debt

- Net debt = SBG net interest-bearing debt
- SBG net interest-bearing debt = consolidated net interest-bearing debt – net interest-bearing debt at self-financing entities, etc. – other adjustments
Consolidated net interest-bearing debt: excludes bank deposits and cash position at PayPay Bank Corporation
- Net interest-bearing debt at self-financing entities, etc.: the sum of gross interest-bearing debt – the sum of cash positions of self-financing and other entities, such as Arm, SVF1, SVF2, LatAm Funds, and SoftBank (including its subsidiaries).
- Other adjustments: the sum of adjustments of (d) to (i) below
 - (d) Among the hybrid bonds and hybrid loans with a redemption date, the entire amount is recorded as interest-bearing debt in consolidated accounting. Therefore, 50% is deducted from the interest-bearing debt (to be treated as equity).
Applicable to 4th JPY-denominated hybrid bonds, 5th JPY-denominated hybrid bonds, 6th JPY-denominated hybrid bonds.
 - (e) Among the hybrid bonds, perpetual bonds without a redemption date are fully recorded as equity under consolidated accounting. Therefore, 50% of these bonds are included in the interest-bearing debt.
Applicable to USD-denominated NC10 undated hybrid notes
 - (f) Deduction of the amount equivalent to the outstanding balance of the borrowings made through margin loans using Arm shares.
 - (g) Deduction of the equivalent amount of outstanding liabilities for margin loans using SoftBank shares.
 - (h) Deduction of financial liabilities recorded as borrowings related to collar transactions using Deutsche Telekom shares.
 - (i) Deduction of financial liabilities related to prepaid forward contracts (a forward contract) using Alibaba shares.

Message from Arm CEO

Increasing Investment to Advance Arm's Strategy

The world's most pervasive compute platform

Arm is a global leader in semiconductor technology, and we are defining the future of computing through one of the world's most successful technology ecosystems. As the leading provider of compute platforms, we collaborate with more than 1,000

partners to power billions of digital devices.

We fueled the smartphone revolution and are now driving advancements in cloud computing, automotive, IoT, and AI. Our energy-efficient technology and our history of continuous innovation are essential for reducing energy costs and achieving sustainability, while delivering the performance needed for more demanding

applications, making the Arm compute platform ideal across all industries, particularly as AI adoption grows.

Arm's business model

Arm licenses its technology designs to leading technology companies that incorporate Arm's design into their chips. Customers pay a license fee to gain access to our technology and a royalty on every chip that uses one of our technology designs.

The value of the license fee typically depends on the amount of Arm technology being licensed, how advanced the technology is, and the period over which access is being granted. There are mainly two licensing models: *Arm Total Access (ATA)*, a subscription-like business model where customers get access to a large portion of Arm's technology portfolio, and *Arm Flexible Access (AFA)*, a pay-as-you-go model that offers access, design rights, and support with per-project manufacturing fees due only at tape-out. In recent years, many of our larger customers have shifted to the ATA model to access a broader range of Arm technology and future-proof their designs against the fast-changing demands of AI. In addition, because ATA is a multiyear subscription-based licensing model, Arm is able to secure long-term revenue growth.

The value of the royalty fee is often tied to the selling price of the chip and typically increases when more Arm processors are integrated or when more advanced Arm processors are used. As an example, Arm's latest CPU technology, *Armv9*, is gradually replacing the previous generation *Armv8**, especially in smartphones and data center servers. For fiscal 2024, the typical royalty fee for *Armv9* was around double the fee for *Armv8*. Furthermore, Arm's Compute Subsystems (CSS), which are pre-integrated components based on the latest Arm technology and optimized for high performance and energy efficiency, can command even higher royalty revenue than *Armv9* itself.

Each Arm technology design is suitable for a range of end applications and can be reused in a variety of products to address multiple markets. Each new product generates a new stream of royalties. An Arm design can be used in many different chips, and certain Arm-designed products continue to generate royalty revenue 30 years after their initial launch.

* For the quarter ended March 2025, Arm estimates that *Armv9* provided around 30% of royalty revenues, *Armv8* around 45%, and older architectures around 25%.



Rene Haas

Board Director, SoftBank Group Corp.
CEO and Director, Arm Holdings plc

Message from Arm CEO

Investing for the long term

In our fast-paced world, new applications, device categories, and markets are continually emerging. Arm invests in technology today that will power devices 5–10 years from now.

In fiscal 2024, our focus areas included

- Extending leadership in smartphones, consumer electronics, automotive, and embedded computing.
- Enhancing Arm CPUs with greater functionality, efficiency, and specialization.

- Evolving product offerings to deliver more complete system solutions.
- Advancing AI, machine learning, and next-generation technologies.
- Expanding access to serve more customers through flexible business models. For example, during the year we entered into a 10-year agreement with the Malaysian Government to supply technology for their AI-related initiatives.

Revenues today stem from past investments

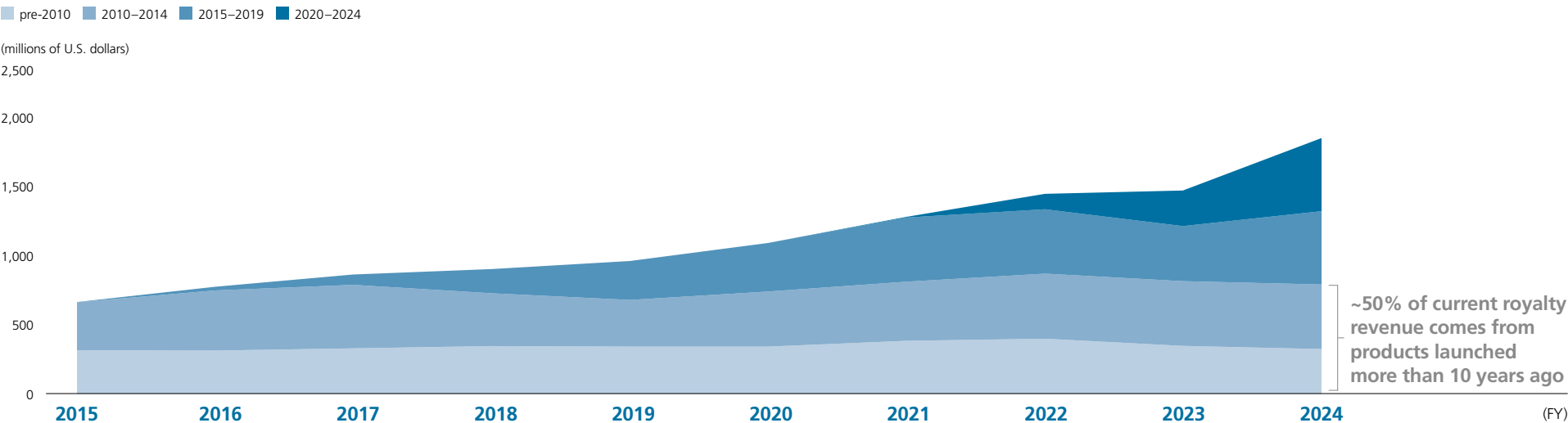
It takes Arm’s customers time to develop the complex chips that contain Arm technology, with royalties typically materializing 2–3 years after licensing. Successful chips generate royalty revenue for years and even decades.

In fiscal 2024, Arm achieved record revenue of \$4,007 million, growing 25.3% year on year, driven by new products. License and other revenue grew 28.5% year on year

to \$1,839 million, as top technology companies aligned with Arm’s roadmap, signing long-term agreements. Demand for our compute platform accelerated due to the need for energy-efficient AI across all markets.

Arm’s royalty revenue grew 22.7% year on year to \$2,168 million, supported by the adoption of *Armv9* in high-end smartphones, automotive growth, and an increased presence in cloud servers, partially offset by a decline of chip sales for industrial IoT and networking equipment.

Royalty revenue from Arm product by fiscal year of launch



Note: Based on data derived from royalty reports provided by Arm’s customers. Royalty revenue refers to royalty revenue reported by Arm. Fiscal year refers to Arm’s fiscal year.

Message from Arm CEO

Advancing Arm's strategy: Delivering innovation and growth

In fiscal 2024, Arm's journey entered a new phase—one focused on accelerating investments in R&D to develop next-generation technologies and enhancing ecosystem support to help our customers get their Arm-based products to market even faster.

During the year, we increased investment in four key areas:

Expanding Our Leadership in AI

Arm's compute platform powers AI workloads from the data center to the edge. In the data center, NVIDIA pairs its Arm-based Grace chip with its Blackwell GPU to accelerate training and inference. In edge devices, Arm-based chips enable AI applications in PCs, smartphones, smart cameras, and autonomous vehicles. To further support AI innovation, we introduced new CPUs and software frameworks. We also strengthened partnerships with key AI ecosystem players, including Meta and OpenAI, ensuring Arm remains the primary compute platform for AI workloads globally.

Deepening Our Automotive Market Engagement

Arm's compute platform is widely used in in-vehicle infotainment (IVI) systems and advanced driver-assistance systems (ADAS) and in early-stage autonomous driving applications such as Renesas Electronics' series of R-Car chips. During the year, Arm continued to work with leading automotive companies to develop software-defined vehicles (SDVs), an important step in the creation of fully autonomous vehicles. This included announcements of a new AI framework for SDVs based on Arm's latest *Armv9* compute platform with *SOAFEE*, an industry consortium co-founded by Arm, which now includes more than 120 automotive companies.

Strengthening Our Data Center Presence

Most of the world's largest hyperscalers are either already deploying Arm's compute platforms in their data centers or are developing their first Arm-based data center chips. During the year, Amazon announced that more than 50% of the server chips deployed in its data centers since 2023 were based on Arm's compute platform. Also, Microsoft and Google both launched services powered by their first Arm-based data center chips, reinforcing Arm's growing footprint in cloud computing.

Investing in Supporting Innovation Across Our Global Ecosystem

Our focus on software development enablement has helped developers bring solutions to market more quickly across IoT, mobile, and embedded segments. We estimate that more than 20 million software developers are writing applications for Arm's compute platform, making it the largest software ecosystem in the world.

Our solid performance through fiscal 2024 confirms Arm's strategic direction. Looking ahead, we remain committed to expanding our portfolio of high-performance, energy-efficient compute platforms; investing in robust software solutions; and deepening our ecosystem collaborations. By doing so, we position Arm not only to capitalize on current opportunities but also to shape the future of computing for years, if not decades, to come.

Message from SoftBank Vision Funds CEO

Balancing Discipline and Opportunity Amid Macroeconomic Uncertainty

SoftBank Group has long been a champion of the transformative power of AI. Breakthroughs in AI have driven strong performance across private and public markets, reinforcing our conviction in the immense potential of this transformational technology. We have begun to see tangible

AI-driven productivity improvements, particularly in sectors such as software, professional services, manufacturing, and logistics. AI's transformative power also contributed to the performance of technology stocks and drove vast sums of private capital into AI startups – particularly

those developing AI models, applications, and infrastructure.

Amid these advances, the global economy experienced modest growth. In the U.S., GDP grew by 2.8% in 2024,^{*1} bolstered by a more dovish Federal Reserve, a resilient labor market, and strong consumer spending, even in the face of inflationary pressures. Europe, on the other hand, saw a slow recovery and still faces challenges, while emerging markets, especially India and parts of Southeast Asia, exhibited relative strength, contributing positively to global growth narratives. These divergent regional dynamics provided challenges and opportunities, which we navigated through a disciplined focus on long-term value creation.

Despite mixed macroeconomic conditions, our portfolio demonstrated resilience throughout the fiscal year. Our early conviction in AI has positioned us to benefit from AI-fueled growth. Performance stabilized in fiscal 2024, with steady increases in the total fair value^{*2} of our funds, which stood at \$157.3 billion^{*3} as of fiscal year-end, up from \$145.7 billion^{*3} at the end of fiscal 2023. We distributed \$11.4 billion to LPs during the fiscal year, including \$4.9 billion in the March quarter alone. These results reflect the strength of our

portfolio companies and our ability to realize value even amid a complex exit environment.

AI remained central to our investment thesis. We made 27 new investments in AI companies during fiscal 2024. These include OpenAI, Databricks, Wiz, Perplexity, DayOne, Glean, and AlphaSense. To diversify our exposure, we deployed capital across every layer of the AI stack—from foundational models to vertical applications and infrastructure.

Among our most significant AI investments, in September 2024, we made our first investment in OpenAI, a company widely recognized for its advancements in AI research and deployment. OpenAI is fast evolving and growing at a rapid pace. In the six months between October 2024 and March 2025, OpenAI's leading product, ChatGPT, doubled its weekly active users, and its o3 model ranks in first place against other Large Language Models (LLMs).^{*4} With a market share of approximately 80%,^{*5} ChatGPT is quickly becoming a household name and defining the broader generative AI category.

Since our initial investment, we have participated in multiple funding rounds with OpenAI. As of May 31, 2025, SoftBank Vision Fund 2's total investment in OpenAI



Alex Clavel
CEO, SoftBank Investment Advisers
CEO, SoftBank Global Advisers

Message from SoftBank Vision Funds CEO

stood at \$9.7 billion. We are extraordinarily bullish about OpenAI's potential—not only as an investment, but as a partner for driving innovation and value across our portfolio. For example, we expect “Cristal intelligence,”^{*6} the advanced enterprise AI solution SoftBank Group is developing with OpenAI, to be deployed across Group companies to support existing efforts aimed at accelerating innovation, growth, and operational scale. SoftBank Group is also partnering with OpenAI to build critical AI infrastructure, at scale, in the U.S. and United Arab Emirates through Stargate.

Our ability to stay nimble and strategically seize exit opportunities was also a key driver of our performance in fiscal 2024. Here are a few examples:

Despite muted IPO activity elsewhere around the world, three of our portfolio companies publicly listed in India. Capitalizing on favorable macro conditions and continued strong performance, Ola Electric, FirstCry, and Swiggy all debuted on public markets in fiscal 2024. Notably, Swiggy's IPO raised \$1.3 billion in proceeds, representing the world's largest technology listing of the year. Including Swiggy, seven of the eight largest tech IPOs in India since 2021 were SoftBank Vision Funds portfolio

companies, underscoring our leadership in the region. Other IPO successes at the Funds included Metsera and XtalPi, both of which performed well, supported by compelling equity stories.

On the M&A front, Google's acquisition of our portfolio company Wiz, the largest in cybersecurity history, is expected to generate robust returns upon completion. We also fully exited SoftBank Vision Fund 1's position in DoorDash, making it the Fund's best-performing asset to date with an investment gain of \$7.3 billion.

Our strong performance in fiscal 2024 validates our strategy of executing with both discipline and opportunism. As broader uncertainty continues into 2025—evidenced by the weak performance of the “Magnificent Seven” and double-digit declines in the Nasdaq in Q1 of the calendar year—this balance becomes even more critical. Our proven ability to return capital across market cycles has deepened trust with our LPs and reaffirmed our long-term commitment to creating value.

Looking ahead, we continue to operate with pragmatism, discipline, and a clear focus on fundamentals. We are working closely with our portfolio companies to advance these principles within their

businesses—97% by fair value now have 12 or more months of cash runway, and 78% are either free cash flow positive or have sufficient cash to reach profitability. This approach applies equally to current holdings and future investments, driven by our unwavering focus on long-term value generation.

Just as the internet reshaped the global economy, we believe AI will redefine the world as we know it. We are still in the early stages of the AI revolution, and history has shown that while market cycles ebb and flow, technological inflection points endure. Our mission remains the same: to identify and invest in the transformative technologies that will shape the future. We look forward to continuing our momentum in fiscal 2025.

 ^{*1} The Bureau of Economic Analysis. Gross Domestic Product by State and Personal Income by State, 4th Quarter 2024 and Preliminary 2024. March 2025.

^{*2} Includes the fair value of investments held as of March 31, 2025 and the sale price of exited investments.

^{*3} Based on the figures recorded in the SoftBank Vision Funds segment in SBG's consolidated financial statements. All other figures in this section are on an SVF stand-alone basis. Before deducting third-party interests, tax, and expenses.

^{*4} Hugging Face, April 30, 2025. Based on “Style Control” rankings, which accounts for factors like response length and markdown usage to decouple model performance from these potential confounding variables.

 ^{*5} Similarweb. AI Global, Global Sector Trends on Generative AI. May 2025.

^{*6} “Cristal intelligence” is a provisional name and not the official designation.

SoftBank Vision Funds: In Focus

Sustaining Growth and Building Future Opportunities

See SoftBank Vision Funds' website for further details.

Performance snapshot

As of March 31, 2025

LatAm Funds
SVF2
SVF1



We were early believers that AI would be a revolutionary force that would reshape entire industries and create new ones. Recent technological leaps, especially in AGI, have only bolstered our belief. Generative AI has now evolved from an experimental technology to a transformative reality, unlocking new efficiencies and opportunities along the way.

One of the most exciting additions to our portfolio, OpenAI, is at the forefront of AGI. In 2025, SoftBank Group led a historic \$40 billion funding round in OpenAI to support its efforts to advance AGI for the benefit of humanity. OpenAI will use capital from this round to push the frontiers of AI research, scale compute infrastructure to meet the growing complexity of models, and deliver increasingly powerful tools for businesses and individuals.

Our investments span the entire AI technology stack, diversifying our exposure across infrastructure, hardware, and advanced software applications. Another portfolio company, Databricks, enables businesses to customize off-the-shelf LLMs with proprietary data, and recently announced a \$10 billion fundraising, valuing the company at \$62 billion.*¹ DayOne, a pioneer in data centers for hyperscalers and large enterprises, upsized its Series B round and will use the funds to develop over 1 GW of data center capacity. Glean, which focuses on enhancing workplace productivity through advanced AI-driven

search and automation tools, recently surpassed the \$100 million revenue milestone. And Wayve, an autonomous-driving company, has made significant strides in testing self-driving cars in Germany, the U.S., and Japan.

In fiscal 2024, SoftBank Vision Funds achieved a \$3.1 billion markup, reflecting our portfolio's resilience, disciplined monetization strategy, and commitment to creating value for LPs, with performance stabilizing over the year due to the strength of our diversified portfolio across products, technologies, and geographies. SoftBank Vision Fund 1 delivered \$6.7 billion of gains, driven largely by the outperformance of ByteDance, which reached annual revenue of \$155 billion in 2024 according to reports, up almost 30% year-over-year. Since inception, the Fund has generated cumulative gains of \$23.4 billion. While SoftBank Vision Fund 2 saw a markdown of \$3.6 billion, our portfolio companies are well-positioned to navigate challenges and adapt to evolving market dynamics. Meanwhile, LatAm Funds were broadly flat, benefiting from foreign exchange tailwinds and strong performance by PropTech platform QuintoAndar, and public investments like NuBank and Banco Inter.

We are also committed to delivering value for our LPs. Across all Funds, distributions now total \$71.5 billion, with \$4.9 billion distributed in this latest March quarter alone. Of this \$4.9 billion, \$3.5 billion was allocated to third-party

investors, with \$1.4 billion distributed back to SBG. Our ability to return capital to LPs reflects our disciplined approach to investment and our commitment to realizing value, all with the goal of generating sustainable returns, even in challenging market conditions.

^{*1} Databricks. Databricks is Raising \$10B Series J Investment at \$62B Valuation. December 2024.
Note: The figures in this section are based on gain (loss) on investments at SVF1, SVF2, and LatAm Funds recorded in the SoftBank Vision Funds segment. Figures in subsequent sections are presented on an SVF stand-alone basis. Before deducting third-party interests, tax, and expenses.

Harnessing opportunities to drive investment growth

Since their inception in 2017, SoftBank Vision Funds have navigated diverse macroeconomic environments while identifying key technology leaders and generating significant value. Around the world, our public portfolio companies are delivering strong results and are positioned for sustainable growth.

As of the end of fiscal 2024, our private portfolio encompassed 393 investments, representing 73% of SoftBank Vision Funds' unrealized fair value. These companies inspire strong investor confidence, as evidenced by the \$28.5 billion collectively raised across 74 funding rounds in 2024. Notably, 72% of these rounds were either up or flat, underscoring the strength and resilience of our portfolio, even in a volatile macro environment.

SoftBank Vision Funds: In Focus

As highlighted, AI was another bright spot within the portfolio. OpenAI is now one of SoftBank Vision Fund 2's largest private investments. On March 31, 2025, OpenAI announced a landmark capital raise of up to \$40 billion over two closings,^{*2} with a pre-money valuation of \$260 billion.

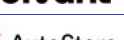
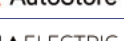
In March 2025, ChatGPT reached 500 million weekly active users, which doubled over the past six months—meaning 5% of

the global population now uses its services. It also launched groundbreaking products like Image Generation, Deep Research, and Operator, solidifying its leadership in AI. OpenAI's growth and long-term value proposition drove our decision to increase our investment, ensuring we support the founders and companies defining the AI revolution.

^{*2} The investment entity for the second closing has not been determined.

Top 10 public investments by fair value

As of March 31, 2025

		FV (\$ bn) ^{*2}	Commentary ^{*4}
# Current Investments^{*1} 41 Unrealized FV – Public^{*2} \$22.8 bn Of Total Unrealized FV^{*3} 27%	SVF 1		4.7 Q4 2024 revenue rose 7% YoY to \$7.3bn, driven by increase in Core Platform GTV
	SVF 1		1.4 2024 revenue increased 33% YoY; net income increased 40% YoY
	SVF 1		0.8 Reported all-time highs in units sold, gross profit, and adjusted EBITDA for 2024
	SVF 1		0.5 Achieved record GTV, revenue, and adjusted EBITDA in 2024
	SVF 1		7.7 Q4 2024 net revenue rose 21% YoY to \$8.0bn; gross profit increased 48% YoY
	SVF 1		1.8 Outperformed 2024 revenue guidance; adjusted EBITDA hit record \$313 mn
	SVF 1		0.6 Six Investigational New Drug (IND) applications cleared
	SVF 2		1.2 Q4 2024 revenue decreased YoY; full year 2024 revenue exceeded guidance
	SVF 2		0.5 Q4 2024 revenue declined 19%; market share leadership of 26% maintained
	SVF 2		0.7 Grew GOV 38% YoY in Q3 2024; consolidated EBITDA loss reduced YoY
Other Investments		3.1	

^{*1} Current Investments include publicly listed portfolio companies of SVF that have not been fully realized as of March 31, 2025.
^{*2} "Unrealized FV - Public" and "FV" are the unrealized value of SVF's public holdings as of March 31, 2025. Total figures may differ due to rounding.
^{*3} % of Total Unrealized FV is the sum of the Public Investments' unrealized fair value divided by SVF's total unrealized fair value as of March 31, 2025.
^{*4} SBIA analysis based on most recent Company Press Releases and Earnings Calls & Presentations. YoY growth reported on constant currency basis.

Building momentum:
Late-stage strength and IPO readiness

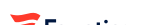
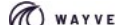
The late-stage portfolio remains a cornerstone of our strategy, combining scale, resilience, and readiness to capture opportunities in public and private markets. As of the end of fiscal 2024, our late-stage portfolio was valued at \$36 billion,

representing 60% of the private unrealized value within the Funds. This robust pipeline of mature companies in our portfolio positions us to capitalize on liquidity opportunities and maximize value as market conditions evolve.

Timing can be critical when preparing our portfolio companies for IPOs. We stay nimble and opportunistic, seeking to maximize value while monitoring market conditions. XtalPi, a

Private investments overview

As of March 31, 2025

	SVF1	SVF2	LatAm Funds
# Current Investments^{*1} 393 Unrealized FV – Private^{*2} \$60.8 bn Of Total Unrealized FV^{*3} 73%	Unrealized FV^{*2} \$26.5 bn	Unrealized FV^{*2} \$29.4 bn	Unrealized FV^{*2} \$4.9 bn
Top Private Investments By FV^{*4}			
  			

^{*1} Current Investments include investments in private portfolio companies made by SVF, and JVs with existing portfolio companies from Funds inception to March 31, 2025, that have not been fully realized or publicly listed as of March 31, 2025.
^{*2} "Unrealized FV - Private" and "Unrealized FV" are the Unrealized value of SVF's holdings in private Investments as of March 31, 2025.
^{*3} % of Total Unrealized FV is the sum of the Private Investments' Unrealized FV divided by SVF's total unrealized fair value as of March 31, 2025.
^{*4} Includes top ten private Investments by Unrealized FV for each Fund as of March 31, 2025, and excludes undisclosed investments, fund of funds, and similar indirect investments.

SoftBank Vision Funds: In Focus

biotech R&D company powered by AI, listed in Hong Kong last summer, generating more than \$100 million in proceeds. XtalPi's IPO was oversubscribed by 2.13x—clear evidence that investor appetite is there, for the right company. The January 2025 listing of Metsera, an obesity-focused biotech company, raised more than \$300 million and, as of March 31, 2025, our investment was valued at \$131 million, representing a compelling MOIC of 3.6x since March 2024, a strong return in just one year.

We also capitalized on momentum in the Indian markets, supporting companies like Ola Electric, FirstCry, and Swiggy on their public listings. While Indian markets have recently been under pressure, we remain

confident in these companies' long-term potential. Ola Electric and FirstCry are well-positioned to navigate these market challenges, and Swiggy continues to progress, achieving nearly 40% year-over-year growth in gross order volume and narrowing its consolidated EBITDA loss.

These IPOs add to our strong track record of 55 successful public listings since the launch of the Funds. While some green shoots for the IPO market emerged last year, recent volatility has led some portfolio companies, like Klarna, to delay their listing plans. Importantly, 97% of our portfolio companies maintain cash runways exceeding 12 months, ensuring resilience and flexibility to debut as strong public companies when

the time is right.

Strategic exits and M&A activity have provided critical liquidity during a subdued period for public listings. Highlights include the \$32 billion acquisition of Wiz by Google—the largest cybersecurity deal in history—which is expected to deliver strong returns, as we originally invested at a \$10 billion valuation. We also fully exited DoorDash, realizing gross proceeds of \$7.9 billion and a gross IRR of 152% at 11.7x gross MOIC—making it our best-performing exit in the Funds to date. Since the inception of SoftBank Vision Funds, we have completed 17 strategic exits across the Funds, generating \$9 billion in gross proceeds. As we move into 2025, we will continue

monitoring market conditions and exploring exit opportunities to generate value.

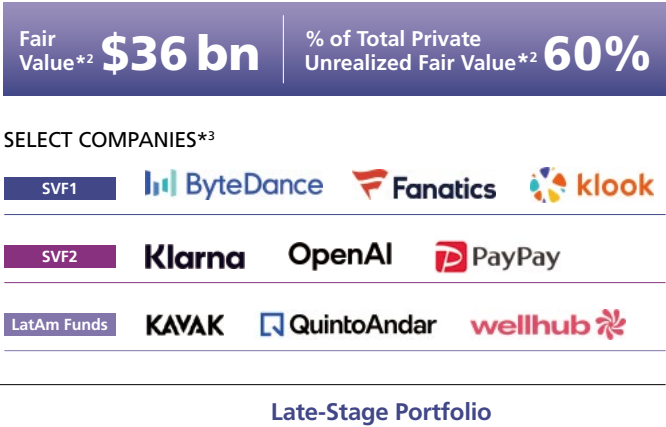
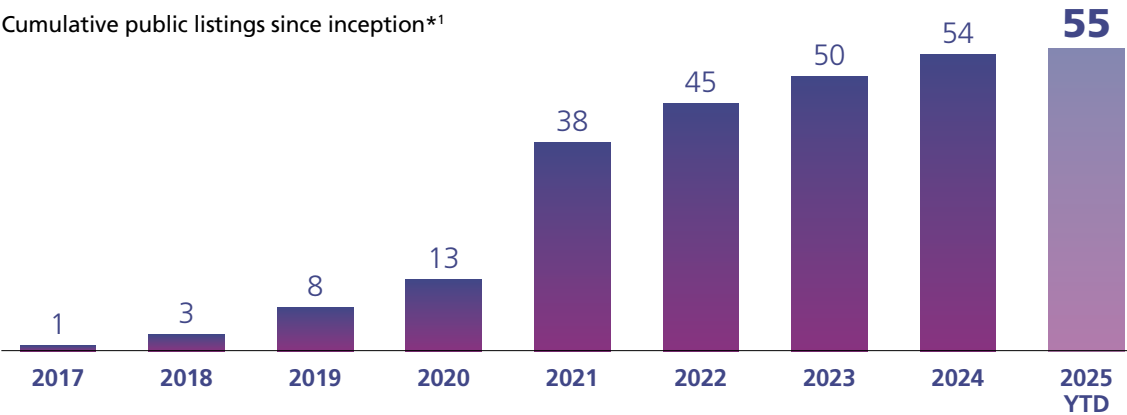
Conclusion

We remain confident in our investment strategy and future. Moving forward, we are doubling down on bold investments that will shape a future powered by AI. With financial strength and operational expertise, we are poised to invest in companies redefining industries and creating new ones. Our commitment to founders, shareholders, and LPs remains steadfast as we build a future defined by innovation, resilience, and sustainable growth.

Achieved listings & late-stage portfolio

As of March 31, 2025

Cumulative public listings since inception*1



*1 Listings since inception includes companies invested in on IPO/public listing date. WeWork and Full Truck Alliance are counted as one listing each, despite being both SVF1 and SVF2 investments.

*2 "Fair Value" represents the total Unrealized Fair Value of the late-stage portfolio, as defined in footnote 3, of SVF as of March 31, 2025. "% of Total Private Unrealized Fair Value" is the value of the late-stage portfolio divided by the total private Unrealized Fair Value of SVF.

*3 SBIA Analysis. As of March 31, 2025. Includes portfolio companies that have raised Series E onwards or equivalent late-stage rounds. OpenAI is included as a "late-stage" company based upon its significant fundraising history and most recent valuation. Selected companies include the largest private investments by Unrealized Fair Value that have raised a Series E or equivalent late-stage round as of March 31, 2025, or are likely to publicly list in the near-term based on SBIA Analysis.

Note: Select investments presented herein are solely for illustrative purposes and have been selected in order to provide examples of investments made by SVF1, SVF2, and LatAm Funds that have gone public or, in the opinion of SBIA, may go public in the future and do not purport to be a complete list of investments. References to investments included herein should not be construed as a recommendation of any particular investment or security. It should not be assumed that investments made in the future will be comparable in quality or performance to the investments described herein. Past performance is not indicative of future results.

SoftBank Vision Funds: In Focus

Outline of SoftBank Vision Funds

As of March 31, 2025

	SVF1	SVF2	LatAm Funds
Total committed capital	\$98.6 billion	\$65.8 billion	\$7.8 billion
Limited partners	The Company, external investors	The Company, management* ¹	The Company, management* ¹
Fund manager	SB Investment Advisers (UK) Limited (SBG's wholly owned foreign subsidiary)	SB Global Advisers Limited (SBG's wholly owned foreign subsidiary)	SB Global Advisers Limited (SBG's wholly owned foreign subsidiary)
Start of operation	2017	2019	2019
Fund life	Until 2029 + Up to two 1-year extensions by SBIA	Until 2032 + Up to two 1-year extensions by SBGA	Until 2032 + Up to two 1-year extensions by SBGA
Current cycle	Value creation and realization period	Investment period	Investment period

Capital Structure of SVF1

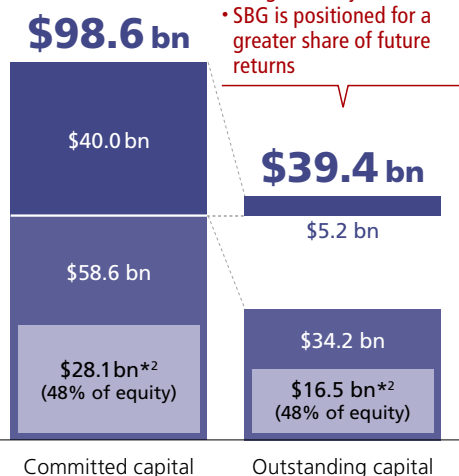
Preferred equity (fixed distribution)

- A fixed rate of 7% on outstanding preferred equity contributions is distributed in proportion to the investment principal, regardless of the investment performance
- Prioritized over equity upon distribution

Equity (performance-based distribution)

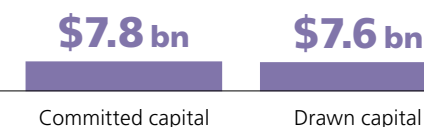
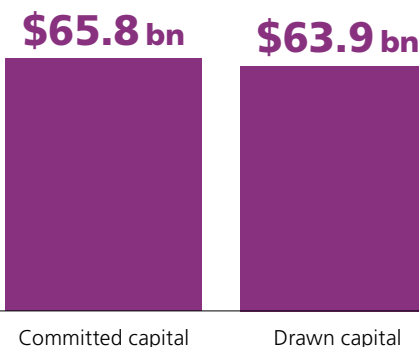
- Distribution to limited partners is fully dependent on investment performance
- Has lower priority during distribution, compared to preferred equity interest

SBG has committed to equity interests



Returned nearly 90% of the preferred drawn capital

- Ongoing coupon payment is significantly reduced
- SBG is positioned for a greater share of future returns



*1 A co-investment program has been introduced for SBG's management. An investment entity for the co-investment program participates in both funds.

For further details of the program, see "a. Co-investment program with restricted rights to receive distributions" in "(1) Related party transactions and balances" under "Note 45. Related party transactions" in "Notes to Consolidated Financial Statements" in "Financial Report 2025."

*2 Excludes committed capital for an incentive scheme related to SVF1.

Our Sustainability

Sustainability Vision “Help Shape the Next 300 Years for Our Future Generations and the Planet”

The SoftBank Group’s philosophy, Information Revolution—Happiness for everyone embodies our determination to bring happiness to everyone, even to future generations 300 years from now. To create a world where people can live in harmony with the earth, we will fulfill our responsibility as a leader of the Information Revolution to realize a sustainable society.

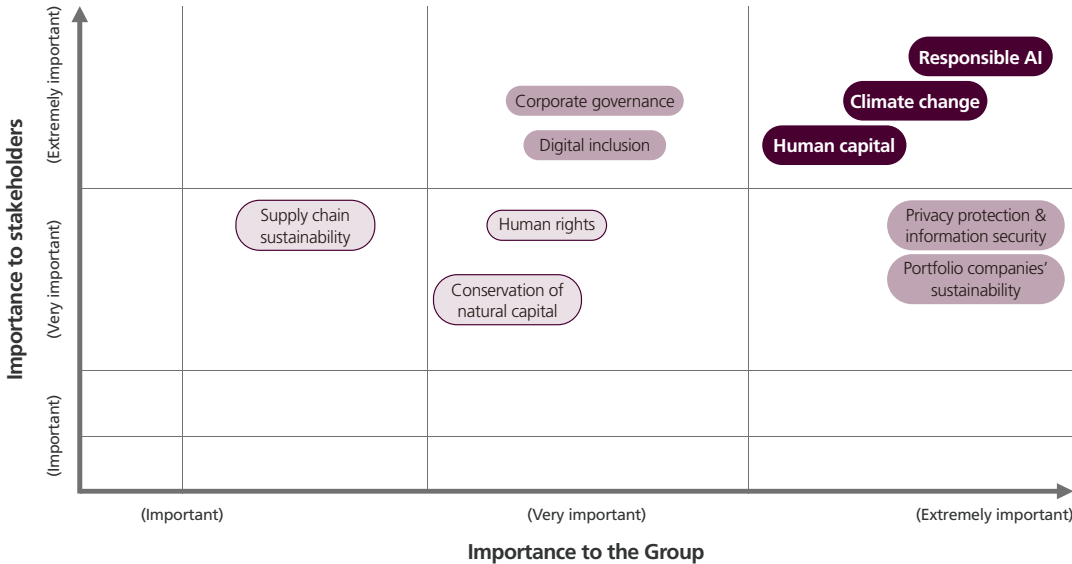
Sustainability principles

SBG has established The SoftBank Group Sustainability Principles as a guideline for the Company’s sustainability, so as to achieve sustainable growth by meeting the expectations of shareholders, creditors, customers, business partners, employees, local communities, and all other stakeholders. Based on these principles, we identify material issues relating to sustainability (“Material Issues”) reflecting the business characteristics and social demands of each Group company.

Material issues relating to sustainability

Based on our view of double materiality, SBG classifies issues to be addressed from two perspectives: the importance to stakeholders and to the Group. Among these issues, we identify material issues relating to sustainability that should be addressed with priority, determined by the Board of Directors.

As for the importance to the Group, issues in the major business sectors in which the Group is engaged are analyzed to determine the order of priority.



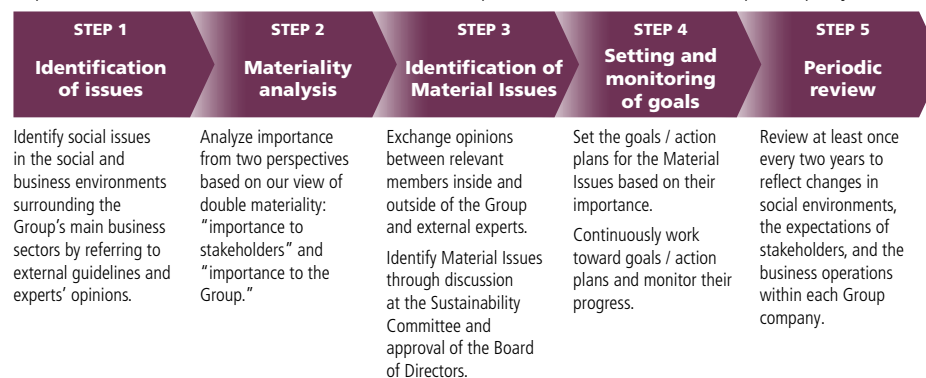
Our Sustainability

Concept of each Material Issue

Material Issue	Concept
Responsible AI	Stand at the forefront of the Information Revolution, and create new value through the utilization of responsible AI to build a more connected, empowered, and joyful world.
Climate change	Challenge issues of global climate change through business activities of a diverse group of companies.
Human capital	Strive for sustainable growth by creating an internal environment in which employees, who are the source of value creation, can challenge themselves and play an active role.
Privacy protection & information security	As a leader of the Information Revolution, sincerely deal with protection of information assets, and lead to realization of a safe and secure digital society.
Portfolio companies' sustainability	As a strategic investment holding company, contribute to the realization of a sustainable society through investment, together with portfolio companies.
Corporate governance	Under the fundamental concept of "free, fair, and innovative," strengthen governance structure ensuring transparency and effectiveness.
Digital inclusion	Promote the Information Revolution, strive to eliminate the digital divide to realize a world in which everyone can benefit from technology.
Human rights	Respect human rights for everyone in all aspects of our business activities, including those who belong to our supply chains.
Conservation of natural capital	As a global citizen, take serious efforts to conserve the global environment.
Supply chain sustainability	Pursue to build sustainable supply chains by cooperating with stakeholders in all business activities.

Identification and review of Material Issues

The following process is performed to identify our Material Issues. In addition, Material Issues are reviewed at least once every two years to reflect changes in social environments, the expectations of stakeholders, and the business operations within each Group company.



Goals / action plans

For the Material Issues that should be addressed with priority, we have set the following goals / action plans and are continuously working toward them while monitoring their progress.

Responsible AI

We aim to establish an appropriate AI governance structure through discussions in our working group.

➡ See page 47 for details of our initiatives related to responsible AI.

Climate change

We promote initiatives to achieve our Group target: "Carbon Neutrality by fiscal 2030."

➡ See page 40 for details of our initiatives related to climate change.

Human capital

We regard human resources as a source of value creation and important stakeholders for supporting our sustainable growth. Accordingly, we will continuously work on creating an internal environment in which employees can challenge themselves and play an active role while making the most of their individuality and abilities, as well as attracting autonomous and professional human resources and supporting their growth and advancement.

➡ See page 44 for details of our initiatives related to human capital.

Our Sustainability

Sustainability governance

Sustainability governance structure

SBG's Board of Directors has appointed the Chief Sustainability Officer (CSusO), who is responsible for the promotion of Group-wide sustainability, and has established the Sustainability Committee for the purpose of promotion of the sustainability-related activities of the Group. The Sustainability Committee continuously discusses overall policies such as the sustainability vision and basic policies; policies of individual activities such as sustainability-related issues, goal setting, and information disclosure; and sustainability promotion systems and operation policies. The Committee is chaired by the CSusO (Corporate Officer, Senior Vice President Kazuko Kimiwada) and currently has one member: Board Director, Corporate Officer, Senior Vice President Yoshimitsu Goto. The CSusO reports the details of discussions of the Sustainability Committee to the Board of Directors for oversight.

Sustainability Committee

SBG's Sustainability Committee was established in June 2020 and, in principle, meets once every three months. In addition to the Committee members, the heads of relevant departments attend the meetings to engage in cross-functional discussions based on specialized knowledge and multiple perspectives.

The Committee met three times in fiscal 2024 (April, July, and October 2024). The Committee discussed a variety of matters including enhancement of sustainability information disclosure, development of approaches to responsible AI, response to climate change, integration of a sustainability risk assessment framework into the investment process, and compliance with mandatory non-financial information disclosure requirements.

Committee members

As of June 27, 2025

Chairperson	Kazuko Kimiwada (Corporate Officer, Senior Vice President, CAO & CSusO, Head of Accounting Unit)
Other member	Yoshimitsu Goto (Board Director, Corporate Officer, Senior Vice President, CFO, CISO & GCO, Head of Finance Unit, Head of Administration Unit, Head of Legal Unit)

Committee activity

Meetings held	Fiscal 2024: 3 times (14 times since established)	
Main discussion matters in fiscal 2024	- Enhancement of sustainability information disclosure - Development of approaches to responsible AI - Response to climate change	- Integration of a sustainability risk assessment framework into the investment process - Compliance with mandatory non-financial information disclosure requirements

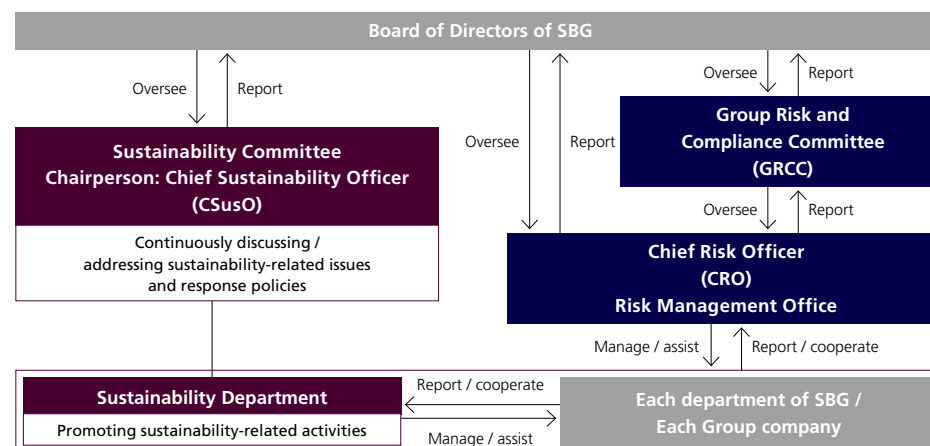
Sustainability risk management

At SBG, the Risk Management Office is responsible for the integrated management of Group-wide risks in accordance with the Risk Management Policy. As for sustainability-related risks, the Sustainability Department under the CSusO identifies risks through reports from each department of SBG and its major Group companies and identifies risks that should be addressed as prioritized risks through discussions at the Sustainability Committee. In addition, the Sustainability Department reports the identified risks, countermeasures, and their status to the Risk Management Office under the framework of the Group-wide risk management process referenced above.

The Risk Management Office analyzes and assesses various risks including sustainability and corresponding countermeasures, considering the likelihood that a risk could materialize and the magnitude of the potential impact. For material risks that could significantly impact the Group's sustainable growth, the Risk Management Office collaborates with the relevant departments or Group companies to understand the implementation status of countermeasures and monitor their effectiveness. Material risks and the status of countermeasures are reported to and discussed every quarter by the Board of Directors and the Group Risk and Compliance Committee (GRCC), which consists of Board Directors and Corporate Officers of SBG. Based on the results of discussions, the Risk Management Office strives to strengthen the Group's risk management system.

See page 66 for details of our risk management.

Sustainability governance and risk management structure



Our Sustainability



Kazuko Kimiwada
Corporate Officer,
Senior Vice President
CAO & CSusO,
Head of Accounting Unit

Message from our Chief Sustainability Officer (CSusO)

A Responsible Challenge with a 300-Year Vision: Sustainability Linking Philosophy and Growth

The Company has upheld its corporate philosophy, Information Revolution—Happiness for everyone, since its founding. This philosophy is carried on in our sustainability vision: “Help shape the next 300 years for our future generations and the planet.” At the heart of our organization is a strong commitment to making people happy across generations.

With this resolve, in 2024 we reviewed and updated our material issues relating to sustainability, identifying ten issues. Among them, three have a particularly high priority: “Responsible AI,” “Climate change,” and “Human capital.”

“Responsible AI,” as emphasized by our management, has been positioned as the highest-priority issue. While recognizing and addressing the ethical and safety risks of AI is essential, we also see AI as holding immense potential to bring happiness to people. That is why we emphasize a dual approach—both defense and offense—in promoting the social implementation of AI.

Regarding “Climate change,” we are accelerating investments in renewable energy businesses, particularly in the U.S., in anticipation of increased electricity demand driven by AI deployment. We also plan to introduce renewable energy in our data centers, as part of our efforts toward realizing a sustainable society.

For “Human capital,” we are committed to creating an environment where individuals of diverse backgrounds—including nationality, culture, and gender—can thrive as we expand our global business and investment activities. We promote local talent to management roles and foster dialogue that respects diverse values across countries and companies. These efforts form a core business foundation, while our culture of free thinking and bold, goal-driven execution—balanced with discipline—drives sustainable growth and strong performance.

As an investment company, we also prioritize due diligence concerning human rights and the environment. We assess these risks before investing, and based on the risk level, we provide engagement and follow-up support post-investment to help enhance their value.

My role is to link sustainability initiatives with financial information through meaningful discussions at the Sustainability Committee and communicate them accurately both internally and externally. Rather than treating sustainability as mere social contribution, we position it as a growth-oriented business strategy, pursuing substantial actions and reliable disclosures to enhance corporate value.

External evaluations of sustainability (as of May 31, 2025)

The main external evaluations of the Group’s sustainability are shown below.

Inclusion in ESG indexes

Index name	Company name
Dow Jones Best-in-Class World Index	SoftBank
Dow Jones Best-in-Class Asia Pacific Index	LY Corporation
FTSE4Good Index Series* ¹	SBG
FTSE Blossom Japan Index* ¹	SoftBank
FTSE Blossom Japan Sector Relative Index* ¹	LY Corporation
MSCI Nihonkabu Select Leaders Index* ²	SBG* ³ SoftBank* ³ LY Corporation* ³
MSCI Japan Empowering Women Index (WIN)* ²	SBG SoftBank LY Corporation

Major evaluations and accreditations

Sustainability Yearbook Member

SBG,*⁴ SoftBank,*⁵ LY Corporation*⁶

Selected as a “Sustainability Yearbook Member” by S&P Global in “The Sustainability Yearbook 2025,” a listing of companies with outstanding sustainability

Eruboshi

SBG, SoftBank

Granted “Eruboshi” Level 3 (highest grade) certification as a company promoting women’s advancement

CDP

SBG, SoftBank, LY Corporation, Arm

Earned a climate change response score of B by CDP (a global environmental NGO) for SoftBank Group, SoftBank, and Arm, and a score of A for LY Corporation

See each company’s website for further details: SBG SoftBank LY Corporation

*1 FTSE Russell (the trading name of FTSE International Limited and Frank Russell Company) confirms that SoftBank Group Corp., SoftBank Corp., and LY Corporation have been independently assessed according to the FTSE4Good Index Series, FTSE Blossom Japan Index, and FTSE Blossom Japan Sector Relative Index criteria, and have satisfied the requirements to become constituents of those index series.

*2 THE INCLUSION OF SoftBank Group Corp., SoftBank Corp., and LY Corporation IN ANY MSCI INDEX, AND THE USE OF MSCI LOGOS, TRADEMARKS, SERVICE MARKS OR INDEX NAMES HEREIN, DO NOT CONSTITUTE A SPONSORSHIP, ENDORSEMENT OR PROMOTION OF SoftBank Group Corp., SoftBank Corp., and LY Corporation BY MSCI OR ANY OF ITS AFFILIATES. THE MSCI INDEXES ARE THE EXCLUSIVE PROPERTY OF MSCI. MSCI AND THE MSCI INDEX NAMES AND LOGOS ARE TRADEMARKS OR SERVICE MARKS OF MSCI OR ITS AFFILIATES.

*3 It is also included in the MSCI Japan ESG Select Leaders Index.

*4 SBG was selected as among the top 15% of companies in its industry.

*5 SoftBank was awarded a “Top 10% S&P Global CSA Score” in its industry.

*6 LY Corporation was awarded a “Top 5% S&P Global CSA Score” in its industry.

Our Sustainability

Portfolio companies’ sustainability

Considering sustainability standards in investment activities, we support the sustainable development of society at large while also enhancing the performance of our investments over the medium to long term. Under this belief, we are undertaking the following initiatives.

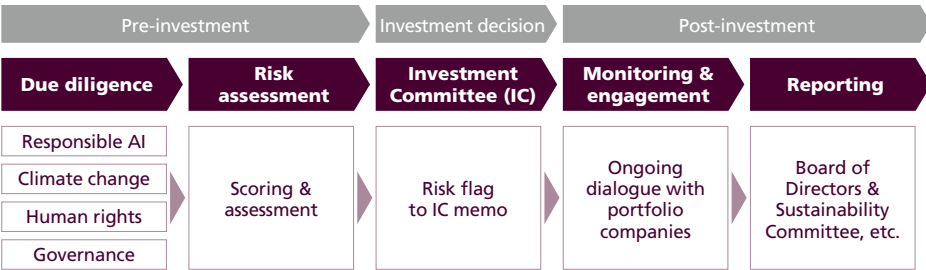
Integrating sustainability factors (ESG) into the investment process

Actively committed to integrating ESG into the investment process, SBG has established the Portfolio Company Governance and Investment Guidelines Policy. The Policy sets out criteria for assessing portfolio companies’ governance systems during the investment process. It also states that environmental and social risks and opportunities are to be assessed in this process. The Policy applies to SBG and its subsidiaries,*⁷ each of which develops and carries out its own specific investment plans.

*7 Includes SoftBank Vision Funds and other investment subsidiaries managed by subsidiaries of SBG but excludes listed subsidiaries and subsidiaries that the Group is restricted from controlling for regulatory reasons and their subsidiaries

Integrating ESG into SoftBank Vision Funds’ investments

Softbank Vision Funds integrate ESG into their investments in the following ways.



Pre-Investment due diligence and risk assessment

In consideration of its importance to the international community and our investment business, SoftBank Vision Funds have identified four key themes to be assessed prior to investment: responsible AI, climate change, human rights (forced labor; discrimination and harassment) and governance. SoftBank Vision Funds assess how these themes are addressed by potential portfolio companies through due diligence, assess the associated risks, and incorporate the findings into their investment decisions. SoftBank Vision Funds review the important themes and assessment methods as necessary in response to changes in their external environment and business strategies, and reflect the latest sustainability issues and assessment perspectives.

Post-Investment monitoring and engagement

After investing, SoftBank Vision Funds continually monitor the portfolio companies to prevent risks from materializing. With regard to key themes, SoftBank Vision Funds conduct engagements (dialogue) that deepen their understanding of portfolio companies’ initiatives and encourage further improvement, thereby contributing to the sustainable development of society as a whole and enhancing medium- to long-term investment performance.

Reporting

SBG monitors and oversees the integration of ESG into the SoftBank Vision Funds’ investment process through reports to the Board of Directors and the Sustainability Committee on the investment process and assessment results.

Our Sustainability

Contributing to solving global challenges and realizing sustainability on a global scale through investments

SBG contributes to solving global challenges—such as climate change and economic inequality—and to realizing sustainability on a global scale by investing in AI applications, innovative technologies, and business models through investment businesses such as the SoftBank Vision Funds.

Portfolio companies contributing to solving sustainability challenges

Developing next-generation solar construction solutions to accelerate decarbonization

Terabase Energy is a solar technology company focused on transforming utility-scale solar projects with integrated solutions that reduce costs, improve quality, and unlock scalability. Its platform supports the full life cycle of a solar farm project—from planning and design to construction and operations. The company has pioneered a “field factory”^{*8} approach, combining robotics and automation to streamline construction in the field. This next-generation method accelerates the deployment of large-scale solar projects and contributes meaningfully to global decarbonization efforts.

^{*8} The field factory approach combines an automated on-site mobile assembly line with robotic rovers in order to centralize the assembly of solar panel systems, bringing factory-level efficiency to solar farm construction.

Terabase Energy



AI-driven precision medicine to treat complex neurological and autoimmune diseases

Neuron23 is a clinical-stage biotechnology company developing precision medicines for genetically defined neurological and immunological diseases. By combining insights from human genetics with a state-of-the-art drug discovery and biomarker platform,^{*9} the company is pioneering targeted therapies for some of the most challenging and debilitating conditions. Neuron23 leverages cutting-edge machine learning and artificial intelligence to accelerate therapeutic development—advancing a new generation of treatments with the potential to transform patient outcomes.

^{*9} A platform for collecting and analyzing quantifiable biological molecules and informational indicators (biomarkers) used for disease diagnosis and prediction of a therapeutic response

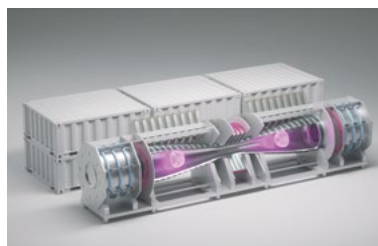
Neuron23



Pursuing reliable, carbon-free energy at scale from fusion

Helion Energy is a fusion power company developing revolutionary technology to generate clean, abundant energy. Its mission is to solve one of humanity’s biggest challenges: delivering sustainable, carbon-free power at scale to meet rising global energy demand and combat climate change. Helion’s novel approach to fusion directly converts fusion energy into electricity—bypassing the traditional, inefficient steam cycle used in conventional power generation. This breakthrough has the potential to transform the global energy system and accelerate the transition to a carbon-free future.

Helion Energy



Transforming the way people move through autonomous solutions

Nuro is a leading AI robotics company developing fully autonomous vehicles that bring the power of artificial intelligence into the physical world—transforming how people and goods move through everyday life. Through partnerships with automotive and mobility companies, Nuro is reimagining personal vehicles, ride-hailing services, and commercial fleets. Its technology aims to create safer streets, reduce emissions, and give people back valuable time—advancing a more sustainable and efficient transportation future.

Nuro



Sustainability: Environment

Initiatives for the Maintenance and Preservation of the Global Environment

Maintenance and preservation of the global environment are our responsibility as global citizens and represent an important foundation supporting the Group’s sustainable development and growth. We are working to reduce the negative impact of our business activities on the environment. We are also leveraging the strengths and advanced technologies of each Group company to address climate change and other environmental issues.

Basic policy on environmental initiatives

Environmental Policy

In May 2021, SBG established the Environmental Policy as a set of principles for conducting corporate activities in consideration of the global environment. The Company’s activities are in accordance with the Policy, which stipulates, among other guidance, that we comply with environment-related laws and regulations, respond to climate change, reduce environmental impact, conserve resources, and preserve biodiversity.

See “Environmental Initiatives” under “Sustainability” on our website for the full text of the Policy.

Supplier Code of Conduct

SBG sets out our Supplier Code of Conduct, including compliance with environmental laws and regulations, managing and reducing waste, avoiding wasteful use of resources, and consideration of biodiversity, and requires our suppliers to work in accordance with the Code.

See “Social Initiatives” under “Sustainability” on our website for the full text of the Code.

Climate change

Climate-related information disclosures in accordance with the TCFD recommendations (Summary)

SBG recognizes the impact of climate change on our businesses and discloses its response to climate change in line with the TCFD recommendations.

See “Environmental Initiatives” under “Sustainability” on our website for the full text of our TCFD disclosures.

Governance

SBG’s Board of Directors deliberates on and makes decisions on overall climate-related actions, including identifying climate-related risks and opportunities, developing countermeasures, and setting the Group’s target for greenhouse gas emissions reduction. In addition, the Sustainability Committee, chaired by the Chief Sustainability Officer (CSusO), discusses and examines climate-related actions, and reports the details of the discussion to the Board of Directors for oversight.

See page 36 for details of our sustainability governance.

Risk management

At SBG, the Risk Management Office is responsible for the integrated management of Group-wide risks in accordance with the Risk Management Policy.

As for sustainability-related risks, including climate change, the Sustainability Department under the CSusO identifies risks through reports from each department of SBG and its major Group companies, and identifies risks that should be addressed as prioritized risks through discussions at the Sustainability Committee. In addition, the Sustainability Department reports the countermeasures and their status to the Risk Management Office.

See page 36 for details of our sustainability risk management.

Strategy

SBG identifies, analyzes, and develops actions to manage climate-related risks and opportunities for the Investment Business of Holding Companies segment and the SoftBank Vision Funds segment (the “Company’s Investment Business”).

In the SoftBank segment, SoftBank discloses information in line with the TCFD recommendations. In the SoftBank Vision Funds segment, SBIA discloses information about SVF1 in line with U.K. legislation analogous to the TCFD recommendations. In the Arm segment, Arm discloses information in line with such legislation. For information about each company’s TCFD disclosures, see their respective websites.

Risks and opportunities in the Company’s Investment Business and our responses

Summary of risks and opportunities

	Opportunities	Risks
New investments	Expected returns from new investments in companies that provide climate-related technologies and services (e.g., climate tech)	Reduced investment opportunities due to potential portfolio companies’ reluctance to accept the Company’s investments if its climate change response is inadequate
Existing investments	Enhanced enterprise value of existing portfolio companies from their adequate response to climate change	Decline in enterprise value of existing portfolio companies due to their inadequate response to climate change
Financing	Expansion of financing opportunities by gaining investors’ support for the Company’s steady responses to climate change	Decline in financing opportunities due to lower evaluation from investors if the Company’s climate change response is inadequate

Sustainability: Environment

Our recognized impact of risks and opportunities

Although there are aforementioned risks that the Company could lose investment and financing opportunities if its response to climate change is deemed significantly inadequate, we believe that it is possible to avoid those risks by maintaining steady efforts such as reducing greenhouse gas emissions. We also acknowledge that, within our portfolio companies, the materialization of climate-related risks could potentially impact their financial performance. Our AI-related portfolio companies use data centers that are inherently associated with transition and physical risks. Given the significance of these risks, we are examining appropriate response measures.

Meanwhile, under our corporate philosophy, Information Revolution—Happiness for everyone, we aim to contribute to the well-being of people through the superstructure of the ecosystem with entrepreneurs who possess new technologies and business models. In a world increasingly beset by natural disasters and other climate risks, we can meet the demand for climate action and fulfill our corporate philosophy by proactively investing in businesses that offer the innovative climate solutions the world needs.

Responses to risks and opportunities

We are addressing the climate-related risks and opportunities through the following measures:

► Investments in climate tech

Invest in companies that provide climate-related technologies and services



► Responses in the investment process

Incorporate climate-related risk / opportunity assessments into the investment process



► Portfolio company engagement

Engage with portfolio companies on climate change, including holding workshops for those companies

► Greenhouse gas emissions reduction

Reduce greenhouse gas emissions from our business activities, including switching to electricity derived from renewable energy sources

Metrics and targets

Seeking to further reduce greenhouse gas emissions from our business activities, SBG set a Group target to achieve “Carbon Neutrality by fiscal 2030”^{*1} in June 2022.

To achieve the target, the entire Group is working on switching to electricity derived from renewable energy sources, using energy-efficient measures, and other measures.

See the “ESG Data” under “Sustainability” on our website for our greenhouse gas emissions and plan for reducing emissions.

To achieve the Group target

In March 2024, SBG formulated and disclosed a plan for reducing greenhouse gas emissions^{*1} to achieve the Group target, which is reviewed when required. SBG and its major subsidiaries are undertaking greenhouse gas emissions reduction initiatives in accordance with this plan.

Group target^{*1} Carbon Neutrality by fiscal 2030

Targets and achievements at SBG and its major subsidiaries

	Targets	Achievements
SBG	Achieved Carbon Neutrality in fiscal 2020 (and continues to be carbon neutral today) ^{*2}	
SoftBank	Carbon Neutrality in its group by fiscal 2030 ^{*2} Net Zero in its group by fiscal 2050 ^{*3}	Sourced 92.6% renewable electricity used at base stations (fiscal 2024) ^{*4}
LY Corporation	Net-zero greenhouse gas emissions in LY Corporation by fiscal 2025 ^{*2} Net-zero greenhouse gas emissions in its group by fiscal 2030 ^{*2}	Converted 87.4% of energy used by its group to renewable energy (fiscal 2024)
Arm	Convert 100% of electricity used by its group to renewable energy by 2023 Committed to cutting its absolute GHG emissions by 50% from an FYE2020 baseline across all emissions sources (Scope 1, 2, and the six categories of Scope 3 relevant to Arm) by FYE2030 in line with a 1.5°C climate pathway and the Paris Agreement	Sourced 100% renewable electricity for its group's electricity used in business activities (since fiscal 2022)

^{*1} Applies to greenhouse gas emissions (Scope 1 and 2) from the business activities of SBG and its major subsidiaries (in principle, “Principal Subsidiaries” in the Annual Securities Report)

^{*2} Applies to greenhouse gas emissions (Scope 1 and 2)

^{*3} Applies to greenhouse gas emissions (Scope 1, 2, and 3)

^{*4} Undergoing assurance procedures as of June 30, 2025

Sustainability: Environment

Promoting and expanding the use of renewable energy

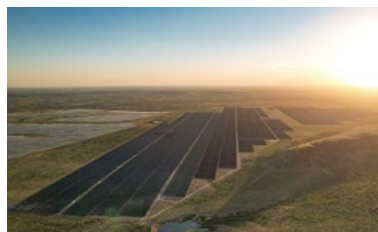
U.S. solar power project

To promote renewable energy, SB Energy Global and its subsidiaries operate a power generation business that boasts one of the largest solar power businesses in the U.S. The business has nine solar farms, which collectively generate 2,130 MW.*⁵

SB Energy Global is currently constructing four additional solar farms in the U.S., which will collectively generate 1,180 MW of solar and 1,361 MW of battery storage.*⁵

*⁵ Generation capacity in AC, as of March 31, 2025

SB Energy Global



Investment in the clean energy transition across Africa, the Middle East, and Asia

AMEA Power

AMEA Power is an SBG portfolio company that is actively contributing to decarbonization and the realization of a sustainable society across Africa, the Middle East, and Asia through the development and operation of clean energy projects.

In December 2024, the company commenced commercial operations of a 500-MW solar power plant in Egypt. This plant is among the largest of its kind on the African continent and significantly contributes to Egypt's decarbonization goals. In addition to its environmental benefits, the project has created thousands of jobs through its construction and operation, thereby stimulating the local economy. Furthermore, AMEA Power completed the construction of a 500-MW wind power project in June 2025. The company is also deploying large-scale battery energy storage systems in Egypt, aiming for further expansion in the region.

With more than 6 GW in the project pipeline, and more than 2.6 GW of operating and under or near construction capacity across more than 20 countries,*⁶ AMEA Power is one of the fastest-growing clean energy companies in the region. In addition to increasing renewable energy such as solar and wind power, the company is actively promoting the adoption of utility-scale battery storage and exploring opportunities in green hydrogen, playing a vital role in accelerating the transition to clean energy.

*⁶ As of April 30, 2025



100% renewable energy-powered green data center

SoftBank is building a decentralized network of AI data centers across Japan and plans to utilize renewable energy sources in these centers. The Hokkaido Tomakomai AI Data Center, scheduled to open in fiscal 2026, is designed to operate entirely on renewable energy supplied by SB Power and Hokkaido Electric Power. It seeks to become a green data center through the active use of locally generated renewable energy, aiming to reduce environmental impact and promote harmony with the surrounding community.

SoftBank



Image of how the Hokkaido Tomakomai AI Data Center will look when completed

Developing energy-efficient technology

Semiconductor architecture that improves energy efficiency

Arm

As compute demands continue to grow to handle increasingly complex workloads, Arm's solutions prioritize power efficiency while providing market-leading performance.

Hyperscalers like Amazon Web Services (AWS), Google Cloud, and Microsoft Azure have adopted the Arm compute platform to build their own general-purpose custom silicon to transform energy usage in the data center and cloud, reporting better efficiency compared to previous-generation chips.

For example, Google Cloud introduced custom Google Axion Processors, based on Arm Neoverse V2, for general-purpose compute and AI inference workloads. Axion powers instances that deliver up to 60% better energy efficiency than comparable current-generation x86-based instances.

Sustainability: Environment

Promoting decarbonization through initiatives

Participation in the One Planet Sovereign Wealth Fund (OPSWF) Network

SBG, SBIA

SBG and SBIA participate in the One Planet Sovereign Wealth Fund (OPSWF) Network, which was established as a Working Group in July 2018. That same year, the OPSWF's founding members developed the OPSWF Framework to advance the integration of climate change risks and opportunities into large and diversified asset pools. The Abu Dhabi Investment Authority, the Kuwait Investment Authority, the New Zealand Superannuation Fund, the Public Investment Fund, and the Qatar Investment Authority currently lead the OPSWF's Steering Group. In July 2019, the One Planet Asset Manager (OPAM) Initiative was launched to allow asset managers to support the OPSWF Framework. Similarly, in July 2020, the One Planet Private Equity Funds (OPPEF) Initiative was founded by Ardian, The Carlyle Group, Global Infrastructure Partners, Macquarie Asset Management, and SBIA.



SBIA and the OPPEF Group, now comprising 14 members, actively engage in the OPSWF's programs and discussions, including the Network's Annual CEO Summits and its Peer Exchanges. As of March 2025, the OPSWF Network is comprised of 50 members representing more than \$46 trillion in assets under management and ownership.

Establishment and operation of the Renewable Energy Council and the GDC Renewable Energy Council

SBG

Together with local governments, SBG established the Renewable Energy Council and the Government-Designated Cities (GDC) Renewable Energy Council in 2011. Led by 35 prefectures and 20 designated cities throughout Japan, the two Councils share information to promote and expand the use of renewable energy and make policy recommendations to the Japanese government. As their secretariat, SBG works with affiliated local governments to drive the net-zero transition in Japan.

 See the Renewable Energy Council's website for its details (Japanese language only).

 See the Government-Designated Cities Renewable Energy Council's website for its details (mainly Japanese language, with some English pages).

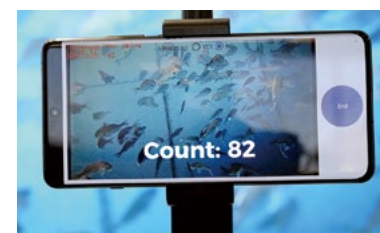
Conserving natural capital

The importance of conserving natural capital is increasing year by year. Guided by the Environmental Policy, the Group is working to reduce the environmental impact of its business activities, including reducing water consumption. In addition, the Group leverages technology to contribute to conserving natural capital.

Using edge AI to support sustainable aquaculture

SoftBank

Aquaculture plays an important role in preserving natural resources and addressing food-supply issues. However, it is also plagued by inefficiency, as it involves numerous manual operations such as manually counting the number of fish and estimating their size. In 2023, SoftBank launched an initiative for AI-driven smart farming of red sea bream in Ehime Prefecture in Japan. In 2024, it started collaborating with the U.S. company Aizip to develop an on-device AI application for counting fish in real time and with high accuracy. Operating on smartphones or other edge devices, the application analyzes footage recorded by an underwater camera in the pond and counts the number of fish. Demonstrating an accuracy rate of approximately 95%, the application won the CES® 2025 Innovation Award in the Food & AgTech category. In the future, SoftBank plans to apply this technology to estimate fish size and detect fishnet damage. Such applications will help make aquacultural operations more efficient and the fisheries industry more sustainable.



Fish being counted

Sustainability: Social

How We Serve People and Society as a Leader of the Information Revolution

We strive to create a diverse, inclusive workforce and a positive, respectful workplace. As a leader of the Information Revolution, we channel the various strengths of our Group companies into addressing the social challenges of this age of information and globalization.

Initiatives related to human capital

The Group regards human resources as a source of value creation and important stakeholders for supporting its sustainable growth. Accordingly, we believe that creating an internal environment in which employees can challenge themselves and play an active role while making the most of their individuality and abilities will increase corporate value.

Human resource strategy

SBG's human resource strategy is to attract autonomous and highly skilled talent and support their growth and advancement, and we are making ongoing efforts to achieve these goals. For specific initiatives, see "Diverse human capital management" and thereafter.

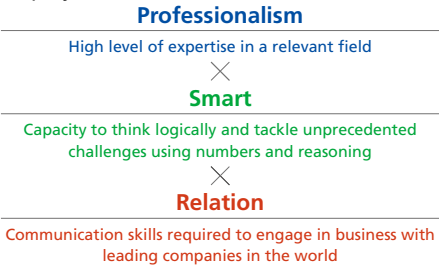
The human resource strategies of subsidiaries and Group companies are determined by each company, based on the *Cluster of No. 1 Strategy* of growing together in a symbiotic ecosystem where decisions made by each company are respected.

Diverse human capital management

Professional recruitment emphasizing core competencies

SBG hires professionals based on three core competencies: professionalism, smart, and relation. We work to attract excellent and diverse human resources under a basic policy of assigning the most suitable person to each position, regardless of age, gender, nationality, or disability.

Three core competencies we seek in our employees



Diversity and inclusion

SBG is committed to assignments that allow employees, who are the driving force behind corporate growth, to make the most of their individuality and abilities. We promote the hiring of human resources and appointment of managers regardless of age, gender,

nationality, or disability, thereby creating a workplace rich in diversity where everyone can play an active role.

As of March 31, 2025, 46.4% of all employees and 25.4% of managers were women. Each of them is engaged in their profession by making the best use of their advanced expertise. We will continue promoting the advancement of women. In March 2024, we earned "Eruboshi" Level 3 (highest grade) certification under the Act on the Promotion of Women's Participation and Advancement in the Workplace.

Human resources data by gender

	As of March 31, 2025	
	Men	Women
Ratio of employees	53.6%	46.4%
Average age (years)	42.3	40.1
Average length of employment (years)	10.1	10.1
Ratio of managers	74.6%	25.4%

As of March 31, 2025, we have achieved the legally mandated rate of 2.5% for people with disabilities. We are continuing our hiring activities with the aim of further improving the ratio of employees with disabilities.

Evaluation and compensation

SBG respects employees who actively take on challenges. To properly reward employees for their achievements, we conduct personnel evaluations and reflect the results of those evaluations in employees' salaries and bonuses under the principle of reward and punishment.

We also encourage employees to work with a sense of ownership. Accordingly, our human resource policy emphasizes contribution to enhancement of corporate value and includes providing stock-based compensation based on personnel evaluations.

In fiscal 2024, the indexed compensation levels for regular employees by gender were as follows. Women in managerial positions received approximately 70% of the compensation that their male counterparts received. Women in non-managerial positions received approximately 90%, and overall, women received approximately 55% of the compensation that men received. We will promote women's advancement and address pay disparities.

Human resource development for autonomous and continuous growth

Career development

SBG emphasizes the importance of self-

Sustainability: Social

driven career development. By providing opportunities for individual awareness through ongoing one-on-one meetings with line managers and multifaceted 360-degree review from peers, we encourage growth through self-review and self-reflection.

Education and training

To help employees continue to develop professionally, SBG provides an environment that enables employees to voluntarily acquire the knowledge and skills necessary for their work. For example, we offer training programs, such as English conversation classes that can be taken freely at any time, and training programs operating within the Group (SoftBank University). We have also allocated a talent development budget to each department so that employees can take external training courses. Moreover we provide hierarchical training to new graduates and newly appointed organization heads according to their career stages. After employees have taken the training course, we provide online training to improve understanding and acquire skills.

We also provide support for the advancement of professional personnel, such as lawyers, patent attorneys, certified public accountants, and certified tax accountants, by covering expenses related to the registration and maintenance of various professional qualifications required for job execution. In fiscal 2024, we provided such support to approximately 12% of our employees.



Group human resource development system

The Group offers a wide variety of

opportunities for employees to play an active role within our organization. These include the Free Agent System, which allows employees to voluntarily arrange personnel transfers; SoftBank Academia, designed to discover and develop the next generation of Group management talent; and SoftBank InnoVenture, a program to train internal entrepreneurs to create a strategic assembly of synergistic group companies.

Dual employment

SBG also allows employees to engage in dual employment (side jobs) as an opportunity for personal growth through diverse experiences.

Work-style reform

Improving workplace environments

SBG respects and supports the efforts of employees in achieving a good work-life balance. Therefore, we introduced a “super-flex time system” with no core hours and offer working from home providing an environment where employees can work effectively regardless of time and place. As part of our efforts to create an open and inclusive work environment, we organize cross-departmental events and other opportunities that encourage communication among employees.

Childcare support

It is extremely important to provide working parents with opportunities to be involved in their children’s development, and we believe proactive efforts must be made to foster the development of society. In fiscal 2024, around 60% of SBG’s male regular employees whose spouses gave birth took

childcare leave.

We are taking measures to alleviate income-related concerns, such as subsidizing expenses through the Children and Families Agency’s babysitter coupons and letting employees accumulate and carry over unused annual leave for pre-natal and post-natal leave, leave of absence for childcare, and leave of absence for childcare at birth. To support employees who have taken such leave to return to work as soon as possible, we offer shared use of company-led nursery schools. In addition, we offer generous leave programs to help employees balance work and family commitments and provide opportunities for employees with childcare commitments to engage and interact with one another.

Well-being

As a pure holding company, SBG takes various initiatives to manage, maintain, and promote the health of its employees, its greatest asset. In addition to regular medical examinations, in fiscal 2023 we introduced a system that allows employees to undergo optional medical examinations tailored to their age group at the Company’s expense. About 37% of employees used the system in fiscal 2024.

Meanwhile, we continue to encourage employees to take annual leave. In fiscal 2024, the annual leave utilization rate was approximately 56% (13.9 days). We have committed to raising the leave utilization rate to the level targeted in our “general employer action plan.” In April 2024, we introduced a program of self-care leave. This program allows employees to take leave for women’s health conditions and leave for infertility treatment or menopausal conditions

regardless of gender. We will continue to develop programs to support employees.

Employee engagement

The Group conducts an annual satisfaction survey of all employees, and 30 domestic Group companies, including SBG, participated in the survey in fiscal 2024. This survey was developed to reflect the characteristics of the Group. Accordingly, responses regarding satisfaction with the organization (job, workplace, and supervisor) and the company each respondent belongs to are scored by item to identify issues at an early stage. Continuous monitoring of these results helps us build a strong organization and increase employee motivation.

Almost 87% of SBG employees responded to the survey in fiscal 2024 and indicated a continued high level of satisfaction. We will continue enhancing employee engagement to foster a workplace environment where each individual feels motivated and professionally fulfilled.

Respect for human rights

SBG has established the Human Rights Policy and has programs in place to instill human rights awareness throughout our organization, from directors, officers to employees. In November 2024, we conducted a survey among directors, officers, and employees (response rate: approximately 77%) to clarify the human rights risks relevant to our business activities and to gain insights into the corrective and preventive actions that might be necessary.

 See the full article of the Policy in “Social Initiatives” on our website.

Sustainability: Social

Addressing social challenges

SBG has established the sustainability vision: "Help shape the next 300 years for our future generations and the planet." Under this vision, SBG and its Group companies engage in social-impact initiatives, leveraging the unique strengths of each Group company.

Digital inclusion

Committed to building a world in which everyone can enjoy the benefits of digital technology, SBG promotes digital inclusion by addressing challenges in local communities and supporting educational initiatives.

Promoting a safe and convenient society for all through digital technology

Japan is facing a variety of social challenges, such as a declining birth rate and an aging population, the need to maintain local public transportation infrastructure, and disaster preparedness. The Company aims to help address these challenges through digital technology, with the goal of creating a society where everyone can live safely and securely.

SoftBank has concluded partnership agreements with 147*¹ local governments in Japan under which the company assists the local governments in digital transformation.*² As part of this initiative, the company is supporting the practical implementation of autonomous driving to provide inclusive mobility for elderly people and people with disabilities. The company is also supporting community wellness by providing apps that people in remote regions can use to access health advice free from restrictions of time and place.

LY Corporation is contributing to the safety and convenience of local communities by



In-vehicle telemedicine consultation

supporting the implementation of a wide range of initiatives through its LINE Smart City Promotion Partner Program. These initiatives include administrative services, such as allowing residents to apply for certificates of residence via the LINE app, as well as the use of AI chatbots to provide evacuation and recovery information during natural disasters.

See SoftBank's website for details of its initiatives for regional revitalization (Japanese language only).

See LY Corporation's website for details of its digital transformation partnerships with local governments (Japanese language only).

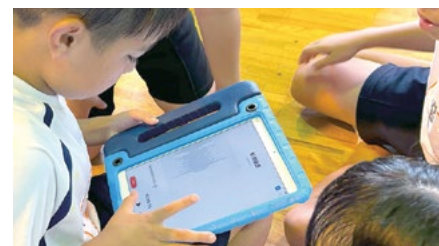
*¹ As of April 9, 2025

*² Through these partnerships, local governments are leveraging digital technology to transform administrative processes and the way public services are delivered, with the aim of improving convenience and satisfaction for residents.

Providing access to education for every young person

To ensure that every child can continue learning regardless of their environment or circumstances, the Company is creating educational opportunities both in Japan and abroad.

Arm is growing its involvement with Data Science Africa (DSA) on its work increasing digital inclusion while advancing technological solutions to local issues. Having partnered since 2015, Arm is now supporting a new visiting fellowship program and new DSA country-specific chapters. The visiting



Children exploring through learning

fellowship program aims to allow young data scientists to spend time at established labs within Africa, focusing on health, agriculture, and environmental conservation. Arm continues to donate to DSA's annual summer school and workshop, which trains students on machine learning and data science methodologies. Summer school projects have led to advances like DSA's deployment of machine learning-enabled sensor systems for water resource monitoring.

SoftBank is promoting inclusive education*³ across Japan in collaboration with the University of Tokyo's Research Center for Advanced Science and Technology, in order to support children who struggle with learning in traditional classroom settings or with focusing their attention appropriately. Specifically, the initiative provides learning and daily life support using ICT devices such as tablets, smartphones, and smart speakers. By experiencing features such as voice input and text-to-speech functionality on these devices, children are discovering and learning how digital technology can help them overcome personal challenges.

See LEARN's website for details of SoftBank's initiatives with LEARN (Japanese language only).

*³ Inclusive education supports independence and social participation for children with particular educational needs.

Cultivating the next generation of talent

SBG supports efforts to cultivate the next generation of talent, recognizing it as a vital investment for the future.

Creating the next generation of leaders to support Tohoku's future

The TOMODACHI Summer SoftBank Leadership Program was launched in 2012, just a year after the Great East Japan Earthquake, when the affected areas still lay strewn with rubble and debris. The program gave students from Tohoku the chance to attend a three-week course on global leadership and community service at the University of California, Berkeley, in the U.S. After returning to Japan, the students would use the knowledge they gained to support their communities. The program ran 10 times by its final iteration in 2024*⁴ and nurtured more than 1,000 young leaders.

Although the program ended in 2024, SBG will continue to engage in efforts to create the next generation of leaders.

*⁴ The program was suspended from 2020 to 2022 due to the impact of the COVID-19 pandemic.

See "TOMODACHI Summer SoftBank Leadership Program" on our website for further details.



Sustainability: Social

Responsible AI

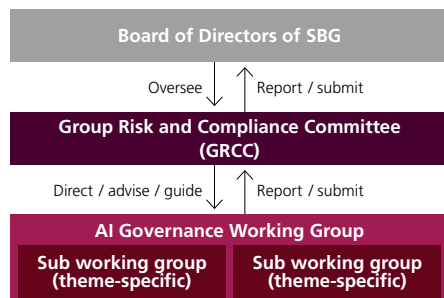
The Group’s mission is to stay at the forefront of the Information Revolution and ensure that the revolution builds a more connected, empowered, and joyful world. At the core of the Information Revolution today lies AI. Aspiring to become a world leader in the use of AI, we are working toward the realization of ASI and are committed to promoting responsible AI so that AI benefits everyone.

SBG’s initiatives

Toward effective Group governance on AI

SBG has identified “Responsible AI” as the most important material issue relating to sustainability that should be addressed with priority and aims to establish an appropriate group AI governance structure. As part of this effort, we established the AI Governance Working Group under the Group Risk and Compliance Committee (GRCC) in April 2024. The members of the working group come from related departments within SBG and major Group companies. The working group convenes regularly to share best practices and to engage in ongoing

AI Governance Working Group structure



discussions on how AI governance should be approached across the Group.

Aiming for the active use of AI

To realize ASI, SBG is facilitating foundational initiatives to enable the active use of AI. For example, we have added action statements on responsible AI to the SoftBank Group Code of Conduct, which enshrines the ethical standards for the Company, and provide training to all SBG officers and employees to promote awareness and understanding of the code. In addition, SBG has established separate guidelines for AI developers, providers, and business users. Also, SBG has a mechanism whereby the Information Security Committee evaluates the project in advance when AI is developed or adopted internally in order to mitigate the risks. Furthermore, SBG implements various measures, including annual assessments of its Group companies, to monitor their initiatives and risks, thereby facilitating the effective use of AI across the entire Group.

Supporting the next-generation AI research partnership

In May 2025, SBG announced that Arm and SBG will contribute \$15.5 million to Carnegie Mellon University, supporting its next-generation AI research partnership with Keio University.*5 This initiative aims to drive cutting-edge AI research and foster a robust pipeline of visionary AI talent prepared for global leadership.

*5 This partnership is one of two university–corporate AI partnerships between the U.S. and Japan, announced on April 9, 2024.

Group companies’ initiatives

Promoting risk-based AI governance

SoftBank

To ensure the company’s AI-driven services are safe and secure for customers to use, SoftBank has established the SoftBank AI Ethics Policy,*6 and is promoting AI governance through collaboration with relevant departments and other related parties, under the leadership of an independent and specialized unit. In April 2024, the company established the AI Ethics Committee, a panel composed of internal members and external AI experts, and since then, it has been discussing regulatory trends and issues both in Japan and overseas. In December 2024, SoftBank launched a risk-based approach to strike a balance between expediting the development and provision of AI services and managing the risks associated with such. With this approach, governance processes are adapted to the risk level of the case in question, enabling dynamic vetting processes that mitigate excessive workload without compromising risk reduction. SoftBank is also committed to AI ethics and governance education. The education includes an annual e-learning course, workshops held twice a year, a monthly online newsletter, and other initiatives for improving employees’ AI literacy. While the above initiatives and insights are partly intended for business purposes, the goal extends beyond the company. They are intended to improve the standard of AI governance across society, enabling the responsible use of AI more broadly.

*6 As of May 2025, the policy applies to 75 Group companies of SoftBank.

Self-directed learning to promote broader use of AI

LY Corporation

In 2021, LY Corporation established the Expert Panel on AI Ethics, on which it continually discusses how to use AI appropriately and what governance frameworks should be in place. LY Corporation has also formulated the Basic Policy on AI Ethics and has established the AI Ethics Governance Department and the Generative AI Group as a dedicated organization to facilitate the use of generative AI across the company. In March 2025, the company further strengthened AI governance by issuing internal guidelines that encompass a comprehensive range of best practices for mitigating risks in the development, provision, and use of AI. Actively committed to educating and training its employees, LY Corporation requires all officers and employees to attend semiannual courses on the risk management and prompt engineering for generative AI. In January 2025, the company launched the Generative AI Boot Camp, a program designed to teach the use of generative AI and prompt engineering, inspired by the concept of turning something difficult into something enjoyable. The content was designed to encourage employees to engage in self-directed learning—to use their spare moments to improve their knowledge. Through initiatives such as these, LY Corporation is improving the AI competence of its employees.

Sustainability: Governance

Effective Governance—the Key to Realizing Our Vision

See “Corporate Governance” on our website for the latest information.

The following information is based on the Corporate Governance Report filed with the Tokyo Stock Exchange on July 4, 2025.

Basic views

The Company is guided by a fundamental concept of “free, fair, and innovative” and a corporate philosophy of Information Revolution—Happiness for everyone. We aim to be a

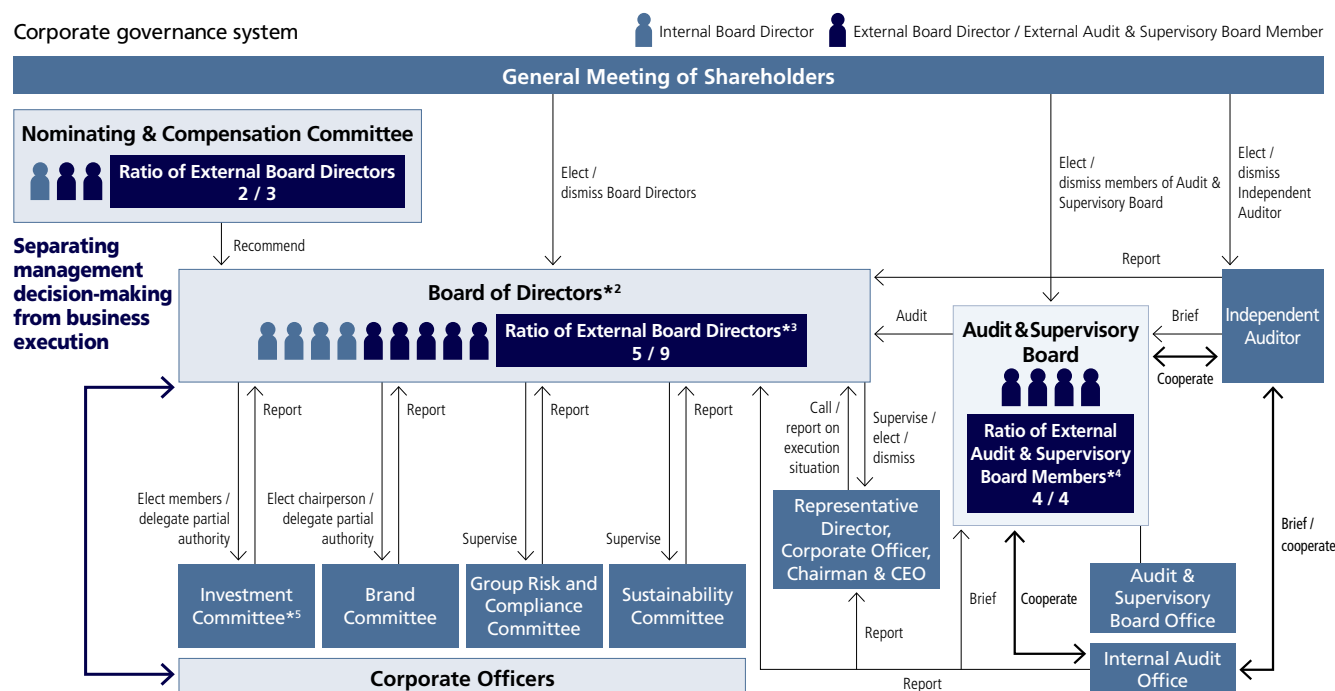
provider of essential technologies and services to people around the world while maximizing our enterprise value. SBG recognizes that it is vital to maintain effective corporate governance to realize this vision. We continue to strengthen governance by establishing a charter and regulations: the SoftBank Group Charter to share the Group’s fundamental concept and corporate philosophy, the Group Company Management Regulations of the SoftBank Group to set forth the management policy and framework for Group companies, and the SoftBank Group Code of Conduct to be followed by the Company and its Board Directors and employees. We have also established the SoftBank Group Sustainability Principles to set forth the guidelines for sustainability and are promoting initiatives for sustainable growth across the Group.

SBG’s path to strengthening governance

- 1994 Registered as an OTC stock with the Japan Securities Dealers Association
- 1995 Appointed the first foreign national Board Director
- 1998 Listed on the First Section of the Tokyo Stock Exchange
- 1999 Invited a Board Director from outside the company (equivalent to a current External Board Director); transitioned to a pure holding company
- 2002 External board directors system introduced in the Commercial Code (currently the Companies Act) of Japan
Started livestreaming of earnings results briefings
- 2003 Started livestreaming of the Annual General Meeting of Shareholders
- 2006 Companies Act of Japan enacted
- 2012 Introduced a Corporate Officer system
- 2015 Japan’s Corporate Governance Code entered into force
- 2019 Established the Group Risk and Compliance Committee
- 2020 Formulated the Portfolio Company Governance and Investment Guidelines Policy; increased the number of External Board Directors; appointed the first female Board Director; established the Nominating & Compensation Committee and the Sustainability Committee; appointed a CSuO and CRO*¹; revised the Board of Directors structure (separation of the management decision-making function from the business execution function)
- 2021 Added environmental and social items to the above policy; achieved a 55.6% external ratio of Board Directors and a 100% external ratio of Audit & Supervisory Board Members
- 2022 Transitioned from the First Section of the Tokyo Stock Exchange (TSE) to the Prime Market of the TSE

*1 Chief Risk Officer

Corporate governance system



*² Special Directors are put in place in accordance with Paragraph 1, Article 373 of the Companies Act.

*³ Of the five External Board Directors, four are designated as Independent Officers.

*⁴ All four External Audit & Supervisory Board Members are designated as Independent Officers.

*⁵ Supervisory Committee is separately put in place to supervise matters such as investments and loans of certain subsidiaries.

Sustainability: Governance

Approach to and policy concerning group management

Based on its unique organizational strategy, the *Cluster of No. 1 Strategy*, SBG makes direct investment (including investment through its subsidiaries) in the Group companies (for example, SoftBank Corp. and Arm Holdings plc), as well as investment funds (for example, SoftBank Vision Funds 1 and 2, and SoftBank LatAm Funds), to build a corporate group that operates a diverse range of businesses in the information and technology sector, and to improve its Net Asset Value (NAV). In this process, each investee will seek self-sustained growth, while SBG, as a strategic investment holding company, will support each investee company in its improvement of corporate value, by utilizing the Group's network as well as promoting collaboration among investee companies.

Furthermore, the Company will confirm, or make reasonable efforts to ensure, that each investee company is operating under environmental, social, and corporate governance standards that are substantially equivalent to those set forth in the Policy on Governance and Investment Guidelines for Portfolio Companies of SBG.

Board of Directors

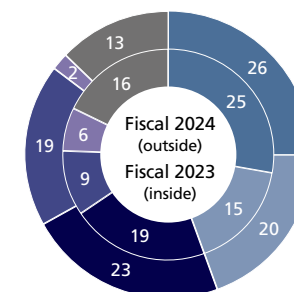
SBG's Board of Directors consists of members with a wealth of knowledge and experience in business management and a global perspective, in consideration of their nationality, ethnicity, gender, or age. The maximum number of Board Directors is set at 11 under the Articles of Incorporation. As of June 27, 2025, the Board of Directors consisted of nine members (five of whom are External Board Directors) and included two non-Japanese and one woman.

Meetings of the Board of Directors shall be held at least once every three months. Agenda items for discussion at the Board of Directors meetings are set forth in the Board of Directors Regulations. The Board discusses statutory matters, as well as critical matters related to business management, such as investments and loans and borrowings, etc., exceeding a certain amount. Furthermore, Special Directors are put in place in accordance with Paragraph 1, Article 373 of the Companies Act, and matters related to disposal and acceptance of important assets and borrowing in a significant amount are resolved by the Board of Special Directors meeting for the purpose of prompt decision-making.

Status of Board of Directors

SBG's Board of Directors had a total of seven meetings in fiscal 2023 and nine meetings in fiscal 2024 (both totals exclude meetings conducted by written resolution). During these meetings, the members mainly discussed the following topics.

Number of Board resolutions / reports



Category	Key topics
Governance	Compensation of Board Director candidates and Board Directors, reports from each committee, evaluation of the effectiveness of the Board of Directors, opinions and reports from the Audit & Supervisory Board Members Audit Report
Internal management (including the management of subsidiaries)	Compliance (oversight over conflict-of-interest transactions, fiscal year compliance reports), risk management, internal control and internal audits, approval of transactions by subsidiaries, etc.
Business reports	Reporting on the status of the portfolio and the status of individual business segments
Finance	Fund procurement, shareholder returns
Investment	Consideration of investment projects
Others	General Meeting of Shareholders, information disclosure, sustainability

Summary of results of the Board of Directors evaluation

From December 2024 to April 2025, SBG evaluated the overall effectiveness of its Board of Directors in the following manner.

Subjects	The Representative Director, Corporate Officer, Chairman & CEO, all Board Directors, and all Audit & Supervisory Board Members
Evaluation method	SBG hired a third-party institution to conduct questionnaire surveys and interviews with relevant members about topics that included composition and operation, and other aspects of the Board of Directors and its support systems.
Evaluation results	As the foundation that supports the effectiveness of the Board of Directors, it was confirmed that the trust relationship, along with a healthy check-and-balance relationship, between Representative Director, Corporate Officer, Chairman & CEO and the Board of Directors has been maintained. Active discussions among the diverse Board Directors were also confirmed. The officers underscored the importance of preserving this board culture. Regarding the priority issues to be addressed going forward, it was confirmed that the SBG Board Directors will work to ensure sharing of SBG's long-term vision and secure discussion opportunities by utilizing off-site meetings, while further strengthening constructive and critical validation by External Board Directors, in order to achieve both agile decision-making by execution divisions and thoughtful consideration by the Board of Directors at the same time.

Sustainability: Governance

Skill Matrix of Board Directors and Audit & Supervisory Board Members

SBG believes it is important for the Board Directors and Audit & Supervisory Board Members to have a wide range of viewpoints and experience, as well as a high level of expertise, to ensure diversity and active discussions and decision-making of the Board of Directors. As of June 27, 2025, the Skill Matrix (skill set expected by SBG) of the Board Directors and Audit & Supervisory Board Members was as follows.

	Name	Areas of expertise particularly expected by SBG (up to three areas)				
		Corporate management	Banking / M&A	Finance / Accounting	Law / Governance	Academic Technology background
Board Director	Masayoshi Son	✓	✓			✓
	Yoshimitsu Goto	✓	✓	✓		
	Ken Miyauchi	✓	✓			✓
	Rene Haas	✓	✓			✓
	Masami Iijima	✓	✓		✓	
	Yutaka Matsuo		✓			✓
	Keiko Erikawa	✓	✓			✓
	Kenneth A. Siegel		✓		✓	✓
	David Chao	✓	✓			✓
Audit & Supervisory Board Member	Maurice Atsushi Toyama		✓	✓		
	Yuji Nakata		✓		✓	
	Kuniko Nishibashi		✓	✓		
	Yuko Kanamaru		✓		✓	

Board Directors As of June 27, 2025 (numbers of shares owned are as of March 31, 2025)

Nominating & Compensation Committee member

Representative Director,
Corporate Officer,
Chairman & CEO

Masayoshi Son

Years in office:

43 years 9 months

Number of shares owned in SBG:

426,661 thousand shares

Sep 1981 Founded SOFTBANK Corp. Japan (currently SoftBank Group Corp.), Chairman & CEO
Oct 2005 Director, Alibaba.com Corporation (currently Alibaba Group Holding Limited)
Apr 2006 Chairman of the Board, President & CEO, Vodafone K.K. (currently SoftBank Corp.)
Sep 2016 Chairman and Executive Director, ARM Holdings plc
Jun 2017 Chairman & CEO, SoftBank Group Corp.
Nov 2020 Representative Director, Corporate Officer, Chairman & CEO, SoftBank Group Corp. (to present)
Apr 2021 Board Director, Founder, SoftBank Corp. (to present)
Aug 2023 Chairman and Director, Arm Holdings plc (to present)



Board Director,
Corporate Officer,
Senior Vice President,
CFO, CISO & GCO

Yoshimitsu Goto

Years in office:

5 years*6

Number of shares owned in SBG:

379 thousand shares

Apr 1987 Joined The Yasuda Trust and Banking Co., Ltd. (currently Mizuho Trust & Banking Co., Ltd.)
Jun 2000 Joined SoftBank Corp. (currently SoftBank Group Corp.)
Apr 2006 Director, Vodafone K.K. (currently SoftBank Corp.)
Jul 2012 Corporate Officer, Senior Vice President, Head of Finance Department, SoftBank Corp. (currently SoftBank Group Corp.)
Oct 2013 President & CEO and acting owner, Fukuoka SoftBank HAWKS Corp. (to present)
Jun 2014 Board Director, SoftBank Corp. (currently SoftBank Group Corp.)
Jun 2015 Corporate Officer, Senior Vice President, SoftBank Corp. (currently SoftBank Group Corp.)
Jun 2017 Corporate Officer, Senior Vice President, SoftBank Group Corp.
Apr 2018 Corporate Officer, Senior Vice President & CFO & CISO, SoftBank Group Corp.
Jun 2020 Board Director, Senior Vice President, CFO, CISO & CSusO, SoftBank Group Corp.
Nov 2020 Board Director, Corporate Officer, Senior Vice President, CFO, CISO & CSusO, SoftBank Group Corp.
Jun 2022 Board Director, Corporate Officer, Senior Vice President, CFO & CISO, SoftBank Group Corp.
Jun 2025 Board Director, Corporate Officer, Senior Vice President, CFO, CISO & GCO (to present)
*CISO: Chief Information Security Officer *CSusO: Chief Sustainability Officer *GCO: Group Compliance Officer



Board Director

Ken Miyauchi

Years in office:

37 years 4 months

Number of shares owned in SBG:

514 thousand shares

Feb 1977 Joined Japan Management Association
Oct 1984 Joined SOFTBANK Corp. Japan (currently SoftBank Group Corp.)
Feb 1988 Board Director, SOFTBANK Corp. Japan (currently SoftBank Group Corp.)
Apr 2006 Executive Vice President, Director & COO, Vodafone K.K. (currently SoftBank Corp.)
Jun 2007 Representative Director & COO, SoftBank Mobile Corp. (currently SoftBank Corp.)
Jun 2013 Representative Board Director, Senior Executive Vice President, SoftBank Corp. (currently SoftBank Group Corp.)
Apr 2015 President & CEO, SoftBank Mobile Corp. (currently SoftBank Corp.)
Apr 2018 Board Director, SoftBank Group Corp. (to present)
Jun 2018 President & CEO, SoftBank Corp.
Apr 2021 Representative Director & Chairman, SoftBank Corp.
Apr 2023 Director & Chairman, SoftBank Corp.
Apr 2024 Director & Special Advisor, SoftBank Corp.
Jun 2024 Special Advisor, SoftBank Corp. (to present)



Board Director

Rene Haas

Years in office:

2 years

Number of shares owned in SBG:

-

Jan 1999 Vice President of Sales, Tensilica
Aug 2004 Vice President of Sales and Marketing, Scintera Networks
Oct 2006 Vice President & General Manager, Computing Products Business Unit, NVIDIA Corporation
Oct 2013 Vice President of Strategic Alliances, ARM Holdings plc
Jan 2015 Executive Vice President & Chief Commercial Officer, ARM Holdings plc
Jan 2017 President of Arm's IP Product Groups (IPG), ARM Holdings plc
Feb 2022 CEO, Arm Limited
Jun 2023 Board Director, SoftBank Group Corp. (to present)
Sep 2023 CEO and Director, Arm Holdings plc (to present)
Jan 2025 Director, AstraZeneca PLC (to present)



Note: "Years in office" refers to the number of years until the conclusion of the General Meeting of Shareholders on June 27, 2025.

*6 Mr. Yoshimitsu Goto has been a Board Director for five years since June 2020 but has served as Board Director for a total of six years, including one year as Board Director from June 2014.

Sustainability: Governance

Independence standards and qualifications for External Board Directors

SBG elects Independent External Board Directors in accordance with the independence criteria established by the Tokyo Stock Exchange. The Board of Directors elects Independent External Board Director candidates who can contribute to increasing enterprise value through their qualifications, ability, and deep knowledge in their fields of expertise. SBG also elects candidates for their ability to participate actively in constructive discussions and express their opinions frankly. SBG ensures adequate independence of each of the External Board Directors, who bring a wealth of knowledge and experience to the Board related to business management and other matters. Each of them actively participates in the discussions at the Board meetings, and SBG makes management judgments and decisions based on these discussions.

Major activities of External Board Directors

Name	Major activities	Attendance rate and attendance at Board of Directors meetings for fiscal 2024
Masami Iijima	Offers supervision and advice on business judgments and decision-making processes based on his extensive knowledge and experience in corporate management and corporate governance. Also, as Chairperson of the voluntary Nominating & Compensation Committee, leads discussions from an independent and objective perspective, and plays a vital role in responding to consultations from the Board of Directors.	100% 9 of 9 meetings
Yutaka Matsuo	Offers advice to supervise business judgments and decision-making processes based on his extensive knowledge and broad experience of AI and other technologies as a leading expert in the field, acquired through his engagement in AI research over many years. Also, as a member of the voluntary Nominating & Compensation Committee, expresses opinions from an independent and objective perspective, and plays a vital role in responding to consultations from the Board of Directors.	100% 9 of 9 meetings
Keiko Erikawa	Offers supervision and advice on business judgments and decision-making processes based on her extensive knowledge and experience in corporate management and technology, acquired through her career as a corporate manager and a finance manager of a global digital entertainment company.	100% 9 of 9 meetings
Kenneth A. Siegel*7	Offers supervision and advice on business judgments and decision-making processes based on his extensive knowledge and experience in corporate acquisitions, joint venture deals, and strategic alliances, acquired through his career as a lawyer at an international law firm.	100% 9 of 9 meetings
David Chao	Offers supervision and advice on business judgments and decision-making processes based on his extensive knowledge and experience in investment, technology, and business management, acquired through his long career as a manager of an investment company.	100% 9 of 9 meetings

*7 Mr. Siegel concurrently holds posts at Morrison & Foerster Gaikokuho Jimu Bengoshi Jimusho and Morrison & Foerster LLP. SBG did not submit notifications to designate him as an Independent Officer as the amount of compensation to be paid to these firms in the future is yet to be decided, regardless of whether there are any transactions between SBG and those firms.

External Board Directors As of June 27, 2025 (numbers of shares owned are as of March 31, 2025)

Independent Nominating & Compensation Committee member External Board Director, Independent Officer Masami Iijima Years in office: 7 years Number of shares owned in SBG: 1 thousand shares	Apr 1974 Joined MITSUI & CO., LTD. Apr 2006 Managing Officer, Chief Operating Officer of Iron & Steel Raw Materials and Non-Ferrous Metals Business Unit, MITSUI & CO., LTD. Apr 2008 Executive Managing Officer, MITSUI & CO., LTD. Jun 2008 Representative Director, Executive Managing Officer, MITSUI & CO., LTD. Apr 2009 Representative Director, President and Chief Executive Officer, MITSUI & CO., LTD. Apr 2015 Representative Director, Chairman of the Board of Directors, MITSUI & CO., LTD. Jun 2018 Board Director, SoftBank Group Corp. (to present) Jun 2019 Counselor, Bank of Japan (to present)	Apr 2021 Director, MITSUI & CO., LTD. Jun 2021 Counselor, MITSUI & CO., LTD. (to present) Jun 2021 Director (Audit & Supervisory Committee member), Takeda Pharmaceutical Company Limited Jun 2022 Director, Takeda Pharmaceutical Company Limited (to present) Jun 2023 Director, KAJIMA CORPORATION (to present)	
Independent Nominating & Compensation Committee member External Board Director, Independent Officer Yutaka Matsuo Years in office: 6 years Number of shares owned in SBG: -	Apr 2002 Researcher, National Institute of Advanced Industrial Science and Technology Aug 2005 Visiting Scholar, Stanford University Oct 2007 Associate Professor, Graduate School of Engineering, the University of Tokyo Jun 2017 Chairman, Japan Deep Learning Association (to present) Apr 2019 Professor, Graduate School of Engineering, the University of Tokyo (to present) Jun 2019 Board Director, SoftBank Group Corp. (to present) Jun 2025 Director, Panasonic Holdings Corporation (to present)		
Independent External Board Director, Independent Officer Keiko Erikawa Years in office: 4 years Number of shares owned in SBG: 203 thousand shares	Jul 1978 Founded KOEI Co., Ltd. (currently KOEI TECMO GAMES CO., LTD.), Senior Executive Director Apr 1994 Director, Foundation for the Fusion of Science and Technology (to present) May 2007 Head Director, Association of Media in Digital (to present) Jun 2013 Chairman, Representative Director, KOEI TECMO GAMES CO., LTD. Jun 2013 Chairman, Representative Director, KOEI TECMO HOLDINGS CO., LTD. Apr 2015 Chairman Emeritus (Director), KOEI TECMO GAMES CO., LTD. Jun 2021 Board Director, SoftBank Group Corp. (to present) Feb 2025 Representative Director and President, KOEI TECMO CORPORATE FINANCE CO., LTD. (to present) Jun 2025 Chairman Emeritus (Director), KOEI TECMO HOLDINGS CO., LTD. (to present)		
External Board Director Kenneth A. Siegel Years in office: 4 years Number of shares owned in SBG: -	Aug 1986 Joined Morrison & Foerster LLP Jan 1994 Partner, Morrison & Foerster LLP Aug 1996 Managing Partner, Morrison & Foerster Tokyo Office (Morrison & Foerster Gaikokuho Jimu Bengoshi Jimusho) (to present) Jan 2009 Member of Executive Committee, Morrison & Foerster LLP Jan 2009 Board Director, Member of Executive Committee, Morrison & Foerster LLP (to present) Jun 2021 Board Director, SoftBank Group Corp. (to present)		
Independent External Board Director, Independent Officer David Chao Years in office: 3 years Number of shares owned in SBG: -	Jun 1988 Joined Recruit Co., Ltd. (currently Recruit Holdings Co., Ltd.) Jun 1989 Joined Apple Computer, Inc. (currently Apple Japan, Inc.) Aug 1993 Joined McKinsey & Company, Inc. May 1996 Co-Founder and CTO, Japan Communications Inc. Jan 1997 Co-Founder and General Partner, DCM Ventures (to present) Jun 2022 Board Director, SoftBank Group Corp. (to present)		

Note: "Years in office" refers to the number of years until the conclusion of the General Meeting of Shareholders on June 27, 2025.

Sustainability: Governance

Corporate Officer system

SBG adopted the Corporate Officer system in July 2012 to further strengthen its business execution functions. In November 2020, SBG clarified the individuals responsible for business execution by separating the management decision-making function from the business execution function.

Corporate Officers As of June 27, 2025



Organizational chart As of June 27, 2025



Sustainability: Governance

Audit & Supervisory Board Members and the Audit & Supervisory Board

The Audit & Supervisory Board Members attend the Board of Directors meetings, allowing them to monitor and verify decision-making of the Board and fulfillment of the Board’s obligation to supervise the execution of duties by each Board Director. Moreover, the Audit & Supervisory Board Members receive regular reports from Board Directors, employees, Audit & Supervisory Board Members and other personnel of major subsidiaries and conduct hearings, as necessary, to audit the execution of duties by the Board Directors of SBG. The Audit & Supervisory Board consists of four External Audit & Supervisory Board Members (two full-time members and two part-time members), and is chaired by Maurice Atsushi Toyama, who has served as a full-time Audit & Supervisory Board Member since June 2015. The Audit & Supervisory Board meets once a month, in principle. At these meetings, in addition to formulating the audit policy and plan, details of various internal and external meetings attended only by full-time members are reported to part-time members. The Audit & Supervisory Board also explains details of the audit plan for each fiscal year, interim audit status, and audit results to the Board of Directors. Furthermore, the Audit & Supervisory Board determines whether or not the reappointment of the Independent Auditor is appropriate, each term. Audit & Supervisory Board Members are supported by the Audit & Supervisory Board Office. This office has four dedicated personnel who act under the directions of the Audit & Supervisory Board Members to gather information, investigate financial statements, requests for approval, treasury stock and matters related to the General Meeting of Shareholders, among other matters, and give other assistance.

Major activities of External Audit & Supervisory Board Members

Name		Major activities or reason for nomination	Attendance rate and attendance for fiscal 2024	
			Board of Directors meetings	Audit & Supervisory Board meetings
Maurice Atsushi Toyama	Major activities	Makes remarks based on his extensive knowledge and experience as a Certified Public Accountant, State of California, U.S.	100% 9 of 9 meetings	100% 12 of 12 meetings
Yuji Nakata	Major activities	Makes remarks based on his extensive knowledge and experience, acquired through his career as a risk management manager at financial institutions.	100% 9 of 9 meetings	100% 12 of 12 meetings
Kuniko Nishibashi	Reason for nomination	Kuniko Nishibashi has extensive knowledge and experience as a certified public accountant. Although she does not have management experience other than in the capacity as an external officer, SBG appointed her as an External Audit & Supervisory Board Member based on her knowledge and experience to have her audit from an expert standpoint and to ensure audits are conducted from a more independent perspective.	—	—
Yuko Kanamaru	Reason for nomination	Yuko Kanamaru has extensive knowledge and experience as a lawyer. Although she does not have management experience other than as an external officer, SBG appointed her as an External Audit & Supervisory Board Member based on her knowledge and experience, expecting her to perform audits from a professional standpoint and a more independent perspective.	—	—

Audit & Supervisory Board Members

As of June 27, 2025 (numbers of shares owned are as of March 31, 2025)

Independent Full-time External Audit & Supervisory Board Member, Independent Officer Maurice Atsushi Toyama Certified Public Accountant, State of California, U.S. Years in office: 10 years Number of shares owned in SBG: —	Sep 1977 Joined San Francisco office of Price Waterhouse (currently PricewaterhouseCoopers) Aug 1981 Certified Public Accountant, State of California, U.S. Jun 2006 Partner, PricewaterhouseCoopers Aarata (currently PricewaterhouseCoopers Japan LLC) Jun 2015 Full-time Audit & Supervisory Board Member, SoftBank Corp. (currently SoftBank Group Corp.; to present)	
Independent Full-time External Audit & Supervisory Board Member, Independent Officer Yuji Nakata Years in office: 4 years Number of shares owned in SBG: —	Apr 1983 Joined Nomura Securities Co., Ltd. Apr 2007 Executive Managing Director, Nomura Securities Co., Ltd. Apr 2007 COO, Nomura Asia Holding N.V. Apr 2008 Executive Managing Director, Global Markets, Nomura Holdings, Inc. Nov 2008 Senior Managing Director, Risk Management, Nomura Securities Co., Ltd. Apr 2016 Executive Managing Director, Group Entity Structure and Co-CRO, Nomura Holdings, Inc. Apr 2017 Representative Executive Officer and Deputy President, Nomura Securities Co., Ltd. May 2019 Executive Managing Director and Chief Risk Officer, Nomura Holdings, Inc. Apr 2020 Senior Adviser, Nomura Institute of Capital Markets Research Jun 2021 Full-time Audit & Supervisory Board Member, SoftBank Group Corp. (to present)	
Independent External Audit & Supervisory Board Member, Independent Officer Kuniko Nishibashi Certified Public Accountant Years in office: — Number of shares owned in SBG: —	Oct 1983 Joined Chuo Audit Corporation Mar 1987 Registered as a Certified Public Accountant Aug 2000 Partner, ChuoAoyama Audit Corporation Jul 2007 Partner, Ernst & Young Shinnihon (currently Ernst & Young ShinNihon LLC) Jul 2008 Senior Partner, Ernst & Young Shinnihon LLC Jul 2018 Director, Minori Audit Corporation Mar 2019 Partner, Minori Audit Corporation (to present) Mar 2022 Director (Audit and Supervisory Committee Member), I-ne Co., Ltd. Jun 2025 Audit & Supervisory Board Member, The Sumitomo Warehouse Co., Ltd. (to present) June2025 Audit External & Supervisory Board Member, SoftBank Group Corp. (to present)	
Independent External Audit & Supervisory Board Member, Independent Officer Yuko Kanamaru Lawyer Years in office: — Number of shares owned in SBG: —	Oct 2006 Admitted to practice law in Japan Joined Mori Hamada & Matsumoto Feb 2013 Admitted to practice law in the State of New York, U.S. Jan 2018 Partner, Mori Hamada & Matsumoto Jan 2023 Partner, Gaien Partners (to present) Jun 2023 Director (Audit and Supervisory Committee Member), AI, Inc. (to present) Jul 2023 Director (Audit and Supervisory Committee Member), HEROZ, Inc. (to present) Jun 2024 Director, MIRARTH HOLDINGS, Inc. (to present) June2025 Audit External & Supervisory Board Member, SoftBank Group Corp. (to present)	

Note: “Years in office” refers to the number of years until the conclusion of the General Meeting of Shareholders on June 27, 2025.

Sustainability: Governance

Independent Auditor

Status of audit by the Independent Auditor

SBG concluded an independent audit agreement with Deloitte Touche Tohmatsu LLC based on the Financial Instruments and Exchange Act. The names of the certified public accountants who executed audit duties, the consecutive auditing period, the number of assistants for audit duties, the policy for selection of audit corporation and evaluation of audit corporation by the Audit & Supervisory Board for fiscal 2024 are as follows:

Names of certified public accountants who executed audit duties

Designated Limited Liability Partner and Engagement Partners: Nozomu Kunimoto, Ayato Hirano, Yusuke Masuda

Consecutive auditing period

19 years

Composition of assistants who supported audit duties

Certified public accountants: 33, Others: 49

Policy for selection of audit corporation and evaluation of audit corporation by the Audit & Supervisory Board

The Audit & Supervisory Board sets forth criteria for appropriately selecting an Independent Auditor and appropriately evaluating the Independent Auditor in the Audit & Supervisory Board Members Audit Regulations. In accordance with such criteria, the Audit & Supervisory Board takes into account the system to ensure the proper execution of duties by the Independent Auditor, the independency required by the Independent Auditor, and its expertise, including the possession of worldwide network resources, and determines whether the reappointment of the Independent Auditor is appropriate each fiscal year. The Audit & Supervisory Board has determined that reappointment was appropriate for fiscal 2024 and 2025. In the event that the Audit & Supervisory Board determines that reappointment is inappropriate, it considers other candidates for Independent Auditor in accordance with such criteria, upon taking into account factors such as audits at other companies.

The Audit & Supervisory Board has resolved, as its decision-making policy of dismissal or not reappointing of the Independent Auditor, that the Independent Auditor may be dismissed by the Audit & Supervisory Board with unanimity of Audit & Supervisory Board Members when the Independent Auditor corresponds to any of Paragraph 1, Article 340 of the Companies Act, and that, other than those cases above, the Audit & Supervisory Board shall submit a proposal on dismissal or not reappointing of the Independent Auditor to the Annual General Meeting of Shareholders when it is acknowledged that the execution of appropriate audit is difficult due to the occurrence of an event which impairs the qualification or independency of the Independent Auditor.

Compensation for audits and other duties (fiscal 2024)

Compensation for auditing certified public accountants and other assistants

	Compensation for audit certification duties (Millions of yen)	Compensation for non-audit duties (Millions of yen)
SBG	940	106
Consolidated subsidiaries	4,164	147
Total	5,104	253

Note: The non-audit duties for SBG consist of the preparation of comfort letters when issuing corporate bonds. The non-audit duties for consolidated subsidiaries of SBG mainly consist of the preparation of comfort letters when issuing corporate bonds.

Compensation to the same network as SBG's auditing certified public accountants and other assistants (Deloitte Touche Tohmatsu Limited) (excluding "Compensation for auditing certified public accountants and other assistants")

	Compensation for audit certification duties (Millions of yen)	Compensation for non-audit duties (Millions of yen)
SBG	—	1
Consolidated subsidiaries	4,584	93
Total	4,584	94

Note: The non-audit duties for SBG consist of advisory services for taxation. The non-audit duties for the consolidated subsidiaries of SBG mainly consist of reviews of internal controls related to preparations for listing and other related duties.

Other material compensation for audit certification duties

Not applicable.

Reason(s) why the Audit & Supervisory Board gave its consent to the compensation of the Independent Auditor, etc.

The Audit & Supervisory Board, based on the "Practical Guidelines for Cooperation with Accounting Auditors" published by the Japan Audit & Supervisory Board Members Association, reviewed and examined the plan details of the audit conducted by the Independent Auditor, the performance status of accounting audit duties, and the basis for calculating compensation estimates, and from the results, has given the consent prescribed in Paragraph 1, Article 399 of the Companies Act for the compensation paid to the Independent Auditor.

Sustainability: Governance

Cooperation between the Audit & Supervisory Board Members, the Independent Auditor, and the Internal Audit Office

The Audit & Supervisory Board Members receive regular briefings from the Independent Auditor (Deloitte Touche Tohmatsu LLC) on the audit plan, interim reviews, audit results, and other matters. The Audit & Supervisory Board Members and the Independent Auditor also cooperate as necessary by exchanging information and opinions, among other measures. Furthermore, the Audit & Supervisory Board Members receive briefings from the Internal Audit Office, which is responsible for SBG's internal audits. The briefings include the audit plan and the results of internal audits performed on each department of SBG and its major subsidiaries. The Audit & Supervisory Board Members and the Internal Audit Office also cooperate as necessary by exchanging information and opinions, among other measures.

The Independent Auditor receives briefings from the Internal Audit Office on the audit plan and, when necessary, on the results of internal audits and other matters. The Internal Audit Office receives regular briefings from the Independent Auditor regarding audit results and other matters. Moreover, both parties cooperate with each other as necessary by exchanging information and opinions, among other measures.

Committees that make decisions on matters delegated by the Board of Directors

► Investment Committee

The Investment Committee has the purpose of making decisions on matters for which it has been delegated authority by the Board of Directors, to carry out corporate activities flexibly. The Committee comprises five members elected by the Board (Representative Director, Corporate Officer, Chairman & CEO Masayoshi Son, Board Director, Corporate Officer, Senior Vice President Yoshimitsu Goto, Corporate Officer, Senior Vice President Kazuko Kimiwada, Corporate Officer Seiichi Morooka and Corporate Officer Yoshimasa Magata). The Committee resolves matters set forth in the Regulations of the Investment Committee, such as investments and loans and borrowings below a certain size. Resolutions of the Committee are only approved by majority agreement. If a proposal submitted to the Committee is approved, and if a member who rejected the proposal considers it necessary, such proposal may be submitted to the Board of Directors. All resolutions of the committee are reported to the Board of Directors.

► Brand Committee

The Brand Committee has the purpose of making decisions on and properly managing matters related to the SoftBank brand for which it has been delegated authority by the Board of Directors. The Committee comprises the chairperson (Board Director, Corporate Officer, Senior Vice President Yoshimitsu Goto), who has been selected by the Board of Directors, and four members (Corporate Officer, Senior Vice President Kazuko Kimiwada, the head of the CLO Office Natsuko Oga, the head of the Corporate Communications Office Takeaki Nukii, and the head of the General Administration Department Tatsuya Iida), who have been appointed by the chairperson. The Committee resolves matters set forth in the Regulations of the Brand Committee, including the licensing of the

SoftBank brand. Resolutions of the Committee are only approved by unanimous agreement from all members. All decisions made by the Committee are reported to the Board of Directors.

Voluntary committees

► Nominating & Compensation Committee

The Nominating & Compensation Committee is a voluntary advisory body to the Board of Directors deliberating on matters related to nominations and compensation of Board Directors, and report the results of the deliberation to the Board of Directors and other appropriate approval organizations. The Committee members are elected by the Board of Directors from among the Board Directors, with a majority being Independent External Board Directors to enhance independence and objectivity. Currently, the Committee comprises three members: Masami Iijima (Committee Chairman, Independent External Board Director), Yutaka Matsuo (Independent External Board Director), and Masayoshi Son (Representative Director, Corporate Officer, Chairman & CEO). The Committee consists of regular meetings and special meetings. The Regular Committee meeting is, in principle, held in April, while the Special Committee is convened as necessary. In fiscal 2024, the Nominating & Compensation Committee met once, with all members in attendance.

► Group Risk and Compliance Committee (GRCC)

The GRCC was established by the Board of Directors for the purpose of overseeing the risk management and compliance programs of SBG and its Group companies, and of continuously discussing key issues and promotion policies. The Committee is chaired by the Group Compliance Officer (GCO) (Board Director, Corporate Officer, Senior Vice President Yoshimitsu Goto), who was appointed by the Board of Directors, and comprises the Chairperson and one member (Corporate Officer, Senior Vice President Kazuko Kimiwada). The GRCC discusses matters related to the risk management and compliance activities of SBG and its Group companies as set forth in the GRCC Operation Regulations. Its decisions are only approved by majority agreement. The Committee reports to the Board of Directors periodically (at least once a year) on matters to be discussed by the Committee, the results of the discussions, and the like, in accordance with the provisions of the Board of Directors Regulations.

► Sustainability Committee

The Sustainability Committee was established by the Board of Directors for the purpose of continuously discussing sustainability-related issues and promotion policies of SBG and its Group companies on an ongoing basis. The Committee is chaired by the Chief Sustainability Officer (CSusO) appointed by the Board of Directors, Kazuko Kimiwada (Corporate Officer, Senior Vice President). The Committee comprises the chairperson and one member nominated by the chair: Yoshimitsu Goto (Board Director, Corporate Officer, Senior Vice President). The Committee discusses matters related to sustainability as set forth in the Sustainability Committee Operation Regulations. The matters to be discussed by the Committee and the results of the discussions are reported to the Board of Directors as appropriate in accordance with the provisions of the Board of Directors Regulations.

Sustainability: Governance

Policy on determining compensation amounts and calculation methods

Overview of the executive compensation system

To realize SBG's philosophy of Information Revolution—Happiness for everyone, the executive compensation policy of SBG is decided by a resolution of the Board of Directors, accounting for the societal and relative status of each officer as well as the degree of their respective contributions to SBG, while referring to compensation survey results conducted by professional organizations, so that the system provides compensation that is reasonably competitive and can attract global talent that share the same aspirations. The individual amount of compensation is determined pursuant to the procedure described in "Organization and procedures for deciding executive compensation." For Board Directors whose main duties are as officers of subsidiaries and Group companies, compensation is determined by the compensation policy of each company, based on the *Cluster of No. 1 Strategy* for us to grow together through the bond of camaraderie, and such compensation is paid by subsidiaries and Group companies. The compensation for External Board Directors and Audit & Supervisory Board Members consists exclusively of fixed compensation because they are independent of business execution.

Components of executive compensation

	Component	Details	Overview
Aggregate compensation for Board Directors*8	Fixed compensation	Basic compensation	▷ An annual amount is set on an individual basis and paid in fixed monthly cash installments. ▷ The amount of compensation is decided on an individual basis, taking into consideration whether the officer is full-time or part-time, as well as their positions and the duties they are in charge of.
	Performance-based compensation*9	Cash bonuses	- Incentive for short-term performance ▷ Cash bonuses are paid every fiscal year as compensation for the execution of duties while in office.
		Share-based payment	- Incentive to improve corporate value over the medium to long term ▷ Stock options using stock acquisition rights are provided with an aim to encourage executives to make continuous management effort, while sharing mutual interest with shareholders through share price increases. ▷ The contents of stock acquisition rights include normal stock options (with the exercise price calculated based on the market price at the time of allotment) and share-based stock options (with an exercise price of ¥1 or no payment required). The exercisable period will be set within a range of 10 years from the day following their allotment date.

*8 Excludes compensation for External Board Directors

*9 The amount of cash bonuses and the number of stock acquisition rights allotted as stock compensation are decided based on multiple performance indicators for adequately rewarding the results achieved through business activities. Specifically, it is decided on an individual and shall take into consideration individual performance based on each officer's ability and achievements, as well as company performance including consolidated results, the stock price, and NAV (Net Asset Value).

Organization and procedures for deciding executive compensation

Executive compensation is paid within the range of the aggregate amount of compensation approved by the resolution of the General Meeting of Shareholders, subject to confirmation that it is in line with the aforementioned compensation policy and is found to be both rational and reasonable. The aggregate amount of compensation for Board Directors is resolved as up to ¥5 billion per year for monetary compensation and up to ¥5 billion per year for stock compensation for Board Directors*10 and up to ¥160 million per year for Audit & Supervisory Board Members.*11

Compensation of the Board Directors for fiscal 2024 has been decided by Representative Director, Corporate Officer, Chairman & CEO (Masayoshi Son), based on the content of discussions by the Nominating & Compensation Committee, which is a voluntary advisory body to the Board of Directors, within the range of authority entrusted to him by the resolution of the Board of Directors. The Nominating & Compensation Committee reviews the proposed compensation from multiple viewpoints including consistency with the SBG compensation policy and makes a report to the Board of Directors on its deliberation details. The Board of Directors has decided that the deliberations are in line with the SBG compensation policy. To ensure independence, compensation for Audit & Supervisory Board Members for fiscal 2024 was decided by consultation among Audit & Supervisory Board Members after the conclusion of the Annual General Meeting of Shareholders in June 2024.

*10 Resolved at the 38th Annual General Meeting of Shareholders on June 20, 2018. SBG was served by 12 Board Directors (including three External Directors) at the time of the resolution.

*11 Resolved at the 41st Annual General Meeting of Shareholders on June 23, 2021. SBG was served by four Audit & Supervisory Board Members (all four being External Audit & Supervisory Board Members) at the time of the resolution.

Total amount of compensation by title (fiscal 2024)

Title	Number of people	Subtotals for each type of compensation (Millions of yen)			Total amount of compensation (Millions of yen)
		Fixed compensation (Basic compensation)	Performance-based compensation (Bonus)	Others	
Board Directors (excluding External Board Directors)	4	222	504	1	727
External Board Directors	5	198	—	—	198
External Audit & Supervisory Board Members	4	90	—	—	90
Total	13	510	504	1	1,015

Total consolidated compensation paid to respective Board Directors whose total consolidated compensation is ¥100 million or more (fiscal 2024)

Name	Amount of consolidated compensation (Millions of yen)	Title	Company name	Subtotals for each type of consolidated compensation (Millions of yen)			
				Basic compensation	Bonus	Share-based payment	Others
Masayoshi Son	100	Board Director	SBG	12	88	—	—
Yoshimitsu Goto	501	Board Director	SBG	84	416	—	1
Ken Miyauchi	105	Board Director	SBG	30	—	—	—
			SoftBank Corp.	48	—	27	—
Rene Haas	4,904	Board Director	SBG	96	—	—	—
			Arm Limited	206	435	4,164	3

Sustainability: Governance

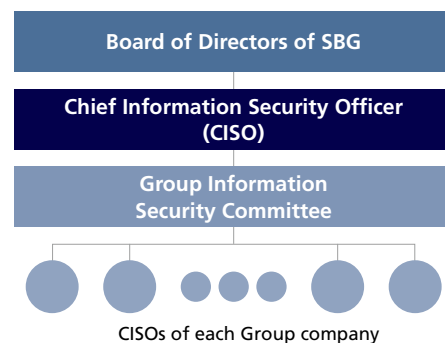
Information security

As a strategic investment holding company, SBG promotes initiatives to strengthen information security in the Group to realize and lead a safe and secure digital society.

Constructing an information security governance system

To promote and reinforce information security of the Group, Yoshimitsu Goto (Board Director of SBG) has been appointed as Chief Information Security Officer (CISO), and the information security governance system has been established.

Information security governance structure



In the event of a serious information security incident in the Group, the relevant department shall respond to and restore the situation quickly and appropriately under the supervision of the CISO. In addition, employees are required to report any identified information security incident, vulnerability, or suspicious behavior to their superiors or an information security representative. The person responsible for handling the report determines and

implements the necessity of an initial response. Furthermore, to prevent any recurrence, the causes of the incident are analyzed, and future issues are identified. The findings are also utilized to reflect improvements in the information security—strategy and the content of security-related education for officers and employees.

Initiatives to strengthen information security

Collaboration with Group companies and portfolio companies

SBG regularly exchanges information on information security threats and countermeasures with Group companies and investee companies that do business globally. In addition to keeping abreast of the latest security-related technologies, we act quickly to introduce advanced services and systems offered by each company to ensure secure work environments.

Alignment with international standards, appraisal by third parties inside and outside Japan

SBG's cybersecurity measures align with NIST CSF,*¹² a cybersecurity framework used by organizations and enterprises around the world. The measures have been reviewed by third-party experts knowledgeable in cybersecurity in developed nations outside Japan. In Japan, the Information Technology Federation of Japan awarded SBG two stars (the highest rating) for the second year running in recognition of our group-wide commitment to cybersecurity and our cybersecurity-related communication (SBG was one of only 13 companies to earn such

a rating). The appraisals we have received inside and outside Japan guide us in our efforts to build a globally standard architecture for cybersecurity.

*12 NIST CSF is a cybersecurity framework (CSF) established by the National Institute of Standards and Technology (NIST) that consolidates standards, guidelines, and best practices for cybersecurity risk management.

For the latest information on SBG's information security, see "Information Security" on our website.

For more information about the Information Technology Federation of Japan's rating program, see "External Evaluation" on our website.

Policy for constructive dialogue with shareholders

SBG proactively engages in constructive dialogue with shareholders and investors (investors in stocks and bonds) to contribute to maximizing enterprise value. Under the supervision of the Board Director and Executive Vice President, CFO, the dedicated Investor Relations Department (comprising 15 members including the Head of IR as of June 1, 2025) plays a central role in these efforts, working in close coordination with relevant departments such as Accounting, Finance, Legal, and General Administration. Dialogues with shareholders and other investors are conducted by the management, including the Board Director, Corporate Officer, and Senior Vice President, CFO, and the Investor Relations Department.

Relaying stakeholders' feedback to the management and the Board of Directors

To create a positive cycle of feedback, opinions and concerns from shareholders and investors are compiled and conveyed to the management and the departments concerned in a timely fashion, so that the

Number of meetings with institutional investors /analysts

Fiscal 2022	Fiscal 2023	Fiscal 2024
661	762	825

Main themes of dialogue and shareholder concerns (as of June 30, 2025)

1. Investment strategy
2. Financial strategy
3. NAV discount
4. Arm
5. SoftBank Vision Funds

Communication with international investors

- Video interview with CFO (short video format)
- Transcription of Q&A sessions at various earnings events



management and the departments will make the necessary changes in their initiatives, disclosures, or messaging. Alongside this feedback cycle, the Board of Directors regularly hears reports on stakeholder feedback and shareholders' holding trends.

For the latest IR information, see "Investor Relations" on our website.

Status of implementation of share price-conscious management

In accordance with the request it received from the Tokyo Stock Exchange on March 31, 2023, SBG has disclosed the status of implementation on our website.

See "Status of Implementation of Share Price-Conscious Management" on our website.

Sustainability: Governance

Initiatives for taxation

Tax Policy (Effective as of July 29, 2022)

The Group's Tax Policy sets out the principles concerning taxation affairs to be observed by SBG and its subsidiaries when conducting business activities. The Policy was decided by a resolution of SBG's Board of Directors. It states the Group's system for the execution of operations and risk management related to taxation affairs, compliance with all relevant tax-related laws and ordinances when conducting business activities, endeavor to ensure appropriate payment of taxes and optimization of tax costs, and the establishment of favorable relationships with tax authorities. The Group will conduct its business activities in accordance with the laws and ordinances of each country and fulfill its tax obligations appropriately, thereby contributing to the economic and social development of the countries in which we operate.

 See the full text of our Tax Policy on our website.

Policy

Governance

The Head of the Accounting Unit of SBG is the person responsible for the taxation affairs of the Group, and the Accounting Unit of SBG (the "Accounting Unit") shall be the organization responsible for overseeing operations related to the taxation affairs of the Group. Each Group company shall establish a department or appoint personnel specializing in taxation affairs ("Tax-related Department") and work closely with the Accounting Unit to conduct day-to-day management of taxation affairs. The Accounting Unit will regularly report on the status of execution of duties related to the Group's taxation affairs to the Board of Directors and the Audit & Supervisory Board of SBG, and will be supervised to ensure an appropriate system for the execution of operations related to taxation affairs.

Tax risk management

The Accounting Unit and the Tax-related Departments of Group companies will effectively utilize the knowledge of external experts to constantly stay abreast of the latest information on tax-related laws and regulations in Japan and overseas, and international standards and the like, and endeavor to proactively foresee tax risks. In addition, they will strive to minimize risks by considering countermeasures for any foreseen tax risks. In the event that a significant tax risk of the Group materializes, each Group company shall immediately report to the Accounting Unit, and the Accounting Unit will promptly report to SBG's Board of Directors and Audit & Supervisory Board, and coordinate with Group companies as necessary, and endeavor to take appropriate measures.

Compliance with laws and regulations

The Group will comply with all relevant tax-related laws and regulations when conducting business activities and take measures based on the "Action Plan on Base Erosion and Profit Shifting" (BEPS Action Plan) set forth by the Organisation for Economic Co-operation and Development (OECD) to ensure appropriate payment of taxes. We will also take measures with respect to transfer pricing taxation to ensure compliance with OECD Transfer Pricing Guidelines, including the arm's length principle.

Appropriate payment of taxes and optimization of tax costs

The Group will comply with all tax-related laws and regulations related to its business and endeavor to ensure appropriate payment of taxes and optimization of tax costs by taking measures such as utilizing preferential tax treatment allowed under the tax laws of each country in which we operate and eliminating double taxation, thereby improving the Group's corporate value.

Relationship with tax authorities

The Group will establish sound and favorable relationships with tax authorities in Japan and overseas ("Authorities") and will sincerely explain the Group's tax status to the Authorities in a factual manner. In the event that any difference of opinion arises between the Group and the Authorities with respect to any particular matter, we will strive to resolve such differences through constructive discussions.

Competent department

The Accounting Unit of SBG is in charge of this Policy.

Revision or repeal

Any material revision or repeal of this Policy requires a resolution of the Board of Directors of SBG.

Sustainability: Governance

Characteristics of the Group's taxation

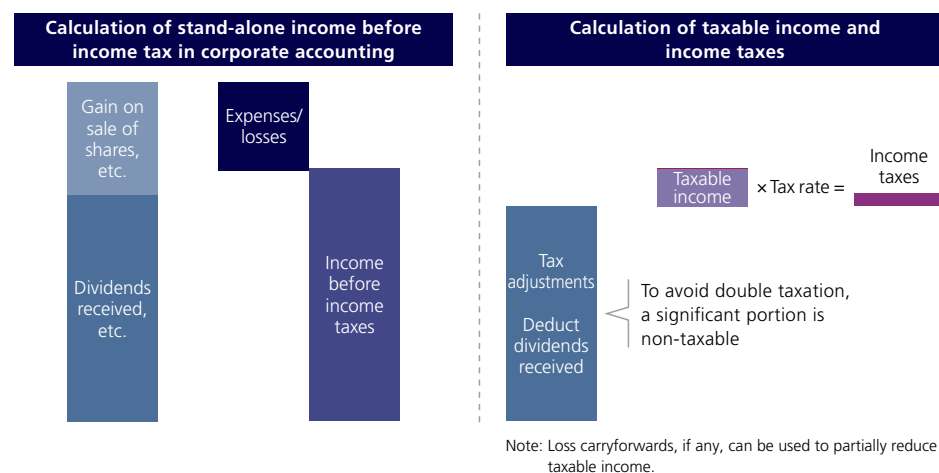
Income on the consolidated statement of profit or loss is not directly connected to SBG's stand-alone tax payment amount.

The consolidated statement of profit or loss of SBG presents the operating results for SBG and its subsidiaries as a group, while the stand-alone statement of profit or loss presents SBG's operating results as a stand-alone company. Moreover, the income on SBG's stand-alone statement of profit or loss is only the income for accounting purposes, which differs from the income used as the basis for calculating income taxes (taxable income). SBG has not introduced the Consolidated Tax Return Filing System (Japanese Group Relief System).

The majority of SBG's stand-alone operating revenue is dividends received from affiliates, a significant portion of which is non-taxable.

As a pure holding company, the majority of SBG's stand-alone operating revenue is dividends received from its subsidiaries and associates. These subsidiaries and associates pay income taxes on their respective income and then pay dividends from the remaining income. Therefore, a substantial portion of the dividends received falls outside the scope of taxation for SBG. On the other hand, one-time gains from the sale of shares owned by SBG are taxable.

Illustration for calculation of SBG's stand-alone income before income tax and income taxes



Taxes related to the SoftBank Vision Funds investment business are compliant with the tax systems of the relevant jurisdictions, including Japan.

Income taxes paid on a consolidated basis (net)

(Billions of yen)

	Fiscal 2021	Fiscal 2022	Fiscal 2023	Fiscal 2024
Consolidated	589.3	525.9	816.8	215.2
Japan	551.2	469.7	717.0	131.6
SBG and intermediate holding companies (wholly owned subsidiaries)	200.0	214.2	443.3	(46.1)
Operating companies, mainly SoftBank and LY Corporation	351.2	255.5	273.7	177.7
Overseas	38.1	56.2	99.8	83.6

Notes:

- The amounts are the net amount of tax payments and tax refunds.
- Income taxes paid on a consolidated basis match the net amount of "income taxes paid" and "income taxes refunded" in the consolidated statement of cash flows.
- SBG and intermediate holding companies in Japan have paid ¥443.3 billion in income taxes for fiscal 2023, including an interim payment of ¥118.0 billion. Of this sum, ¥76.7 billion was refunded as of July 31, 2024.

Message from External Board Director

Driving Toward ASI with a Bold Balance of Offense and Defense

In the AI era, intelligence decides who wins

The AI landscape has changed dramatically since I last contributed to our Annual Report five years ago. OpenAI's breakthrough advances in generative AI set off a wave of innovation, with new models emerging, including from start-ups in China, further accelerating the pace of progress.

In May 2025, Japan enacted its first comprehensive AI legislation* under a national policy aimed at making the country the most AI-friendly in the world. I believe the law's underlying logic, that managing AI risks, such as the spread of misinformation, is not a hindrance but a pathway to innovation, is fundamentally sound. Innovation and risk management in AI are not trade-offs. Rather, by clearly defining rules around privacy, security, transparency, and accountability, we create an environment where AI can be adopted with confidence—ultimately driving innovation and paving the way for broader societal adoption.

In times like these, I believe the real driver of long-term global competitiveness will be a nation's ability to harness AI-generated

intelligence—namely, advanced cognitive processing capabilities. To achieve this, the key will be how effectively foundational resources, such as electricity and semiconductors, can be secured. That's exactly where global players are heading. While short-term corrections like those seen during the Internet era might occur, the long-term contest will center on who can best acquire and deploy this intelligence.

Amid these developments, we are proactively advancing AI infrastructure development and investments in that quest to realize ASI. Behind our key decisions, such as the Stargate Project and follow-on investment in OpenAI, is a far-reaching vision to build a generative AI value chain, including power and semiconductors. Mr. Son shares these strategic ambitions with us external directors regularly, and I find them both compelling and inspiring.

* Act on the Promotion of Research, Development, and Utilization of Artificial Intelligence-Related Technologies

Why OpenAI, and why now

As with the acquisition of Arm, some shareholders and other investors have



Yutaka Matsuo
External Board Director,
Independent Officer

expressed concerns regarding our investment in OpenAI, questioning the valuation and whether it is wise to proceed. What's critical is whether OpenAI can establish a "winner-takes-all" dynamic in the generative AI space and maintain its first-mover advantage. Mr. Son deeply understands the nature of the Internet and information industries. He has a keen intuition for how early leadership in these sectors creates enduring dominance. Looking back at past successes, our investments in companies like Yahoo! and Alibaba are prime examples of identifying

future winners early—well before they were proven winners. I believe that, in the case of OpenAI as well, the investment decision was made with the same clear recognition of that company's intrinsic value.

One of OpenAI's standout strengths lies in its start-up-driven velocity. While Big Tech firms like Google are technologically advanced, their corporate caution slows them down. In contrast, OpenAI races ahead—releasing models, gauging market response, and iterating quickly. Its ability to secure substantial capital, attract top talent,

Message from External Board Director

and sustain momentum is not easily replicated, even by tech giants. Supporting such high-velocity start-ups is where SBG thrives. Indeed, Mr. Son's swift decision-making and the Group's industrial reach, especially through Arm, make SBG an ideal and strategic partner for OpenAI. I believe this positions both companies in a win-win relationship.

The competitiveness of generative AI can be evaluated through many lenses. But ultimately, I believe brand recognition will play a decisive role. As with smartphones or cars, once a product becomes widely adopted, user preferences tend to be shaped not by subtle performance differences but rather by how much trust and familiarity people associate with the brand. OpenAI has already made ChatGPT the first name that comes to mind when people think of generative AI. This brand leadership creates a significant barrier to entry and is a core part of OpenAI's competitive strength.

Leadership and governance that master the shift between offense and defense

Since becoming an external director of SBG in June 2019, I have been impressed by SBG's ability to navigate both offense and defense with agility. A notable example came in early 2020, when the outlook was still uncertain due to COVID-19. Even before Japan declared a state of emergency, Mr. Son demonstrated remarkable foresight: predicting the coming

wave of infections, the development of vaccines by fall of that year, the manufacturing delays that would push vaccinations into the following year, and, ultimately, that it would take about two years for the pandemic to subside. Based on these projections, he set forth a policy to increase cash reserves and strengthen SBG's defensive posture. Later, as the pandemic waned, he pivoted quickly—moving decisively to offense with bold actions such as the IPO of Arm and, more recently, the partnership with OpenAI. Mr. Son often likens management to warfare. Like a seasoned war strategist, he reads the tides with precision—knowing just when to defend and when to strike. His ability to pivot between offense and defense is truly remarkable.

When it comes to playing offense, Mr. Son's expansive vision leaves no doubt about the vast potential that AI holds for the future. As an external director, however, I see it as my role to balance that ambition with careful scrutiny from the shareholders' perspective. All external directors share this mindset. Whenever concerns arise, we engage with the executive team to clarify any questions or request additional information as needed through open communication.

SBG responds to requests from external directors with great sincerity. At its core, the company has an honest corporate culture with absolutely no attempts to conceal or mislead, which earns our trust and makes collaboration easy.

A Japanese challenger shaping the future of AI

SBG is charting a bold global AI strategy with Arm and OpenAI at its core. At the same time, in Japan, the Group is promoting widespread adoption of generative AI across its companies, such as SoftBank, where tens of thousands of employees are competing to develop ideas for utilizing generative AI. While many companies in Japan have yet to fully embrace AI, there is significant latent demand for adaptation, and I believe SBG's initiatives are both forward-looking and highly relevant. As generative AI technologies developed by OpenAI continue to evolve, I also see strong potential for new synergies to emerge with the portfolio companies of the SoftBank Vision Funds, which have long invested with the AI revolution in mind.

SBG is one of the few Japanese companies engaging Big Tech head-on in the global AI race. Whether we ultimately win or lose is yet to be seen, but simply taking on this challenge is commendable and deserves far more support from across Japan. I hope our stakeholders will continue to support SBG's bold challenges. This spirit of challenge can inspire other Japanese firms and help create a broader national momentum to compete on the world stage. Whether Mr. Son's vision becomes a reality ultimately depends on the execution capabilities of the leadership team. The journey ahead will not be easy. However, I am confident that with unwavering leadership and the right balance of offense

and defense, even greater success awaits.

Message from Audit & Supervisory Board Member

Supporting SBG's Shift to Offense with a Watchful Eye on Defense

Understanding SBG from the outside

During my time at Nomura Securities, where I oversaw risk management, I closely monitored SBG's business and financial condition. At the time, SBG was the second most highly indebted company in Japan, and that left a strong impression on me. Nomura played a key role in supporting SBG's efforts to broaden its investor base, including retail bond underwritings and the 2018 IPO of SoftBank Corp. As one of our most important counterparties, SBG represented significant credit exposure for Nomura—not only because our clients held substantial positions in its equity and bond, but also because Nomura itself underwrote SBG bonds. From the perspective of counterparty credit risk management, I was responsible for assessing Nomura's total exposure to SBG and its affiliates, which informed a number of key decisions across the firm.

How my view changed after joining the Board

At Nomura, I took a conservative view of the company, analyzing mainly publicly available information about its business and financial position through the lens of a risk manager.

The company's substantial debt levels naturally raised questions about its creditworthiness, and the diversity and complexity of its investment portfolio, along with its heavy dependence on investee performance, made the business appear highly uncertain.

However, after joining the Board, I gained a much clearer understanding of how SBG is actually managed. From outside, it is difficult to see how management operates or how robust the company's governance framework is. Having access to these internal dynamics firsthand has been extremely valuable in deepening my understanding of the organization.

Having spent many years in risk management, I have observed a general shift in the prevailing approach, from a traditional focus on robustness*¹ to a growing emphasis on resilience.*² This transition became especially apparent around the time of the COVID-19 pandemic. The pandemic served as a major inflection point. It brought home the reality that unforeseen disruption will continue to occur, and that resilience, the capacity to recover and rebuild, must now take precedence in risk management thinking.

Over the past four years, I have come to recognize that SBG possesses a deep underlying resilience—a capacity to recover



Yuji Nakata
Full-time External Audit &
Supervisory Board Member

and adapt that is built into the fabric of the organization. With SBG now shifting into an offensive phase, I believe its resilience will prove even more essential, enabling the organization to navigate the challenges that inevitably come with bold strategic moves.

What sets SBG apart from my time at Nomura

In the financial sector, regulatory compliance demands considerable resources. During my time as head of risk management at Nomura, which is a financial institution subject to oversight by the Financial Services

Agency, nearly half of my day-to-day responsibilities involved regulatory reporting and communications with authorities. By contrast, SBG operates outside that heavily regulated framework and is not subject to the same compliance burdens. As a result, I found its management structure to be notably more streamlined and efficient.

Another key difference lies in governance. SBG is led by its founder, Mr. Son, who owns approximately 30% of the company's shares and serves as both Chairman and CEO. In contrast, most non-founder-led companies in Japan are typically headed by career executives promoted from within the

Message from Audit & Supervisory Board Member

organization. This fundamental difference in ownership structure naturally influences how governance is exercised.

The two companies also differ significantly in their governance framework. SBG operates as a “company with a board of auditors,” where the Board of Directors serves as the primary decision-making body. In contrast, Nomura adopted the “company with a nominating committee, etc.” model, which clearly separates business execution and supervision. These structural distinctions shape the roles and perspectives of Board members in markedly different ways.

The speed of decision-making at SBG

When I joined the Audit & Supervisory Board in June 2021, I was immediately struck by the speed of SBG’s decision-making and execution, a pace that left a strong and positive impression on me. The market environment in 2021 marked a turning point. After a sharp run-up fueled by the widespread shift to remote work during the pandemic, tech stocks entered a correction phase, with previously overstretched valuations beginning to fall back to more sustainable levels. Against that backdrop, I was struck by the decisiveness and speed of SBG’s management, qualities that I came to recognize reflect the strengths of a founder-led organization. In large institutions, it is often difficult to shift direction quickly or decisively discontinue an initiative. Once a course is set, there is a tendency for it to continue with sheer momentum, even when circumstances have clearly changed. This contrast left a lasting impression on me.

Boardroom discussions

Fiscal 2024 brought yet another wave of global change, especially following the announcement of Donald Trump’s victory in the U.S. presidential election in November 2024. In response, SBG’s Board of Directors convened several extraordinary meetings, on top of our regularly scheduled sessions, beginning in December 2024.

SBG fosters an open corporate culture where people are encouraged to speak up and raise concerns. This openness is complemented by the strong leadership Mr. Son demonstrates, particularly when the Board of Directors is faced with major investment decisions. One reason the company is able to move swiftly is that the Board shares a deep understanding of, and alignment with, Mr. Son’s strategic vision. That vision centers on AI but also extends to critical areas such as data centers, energy infrastructure, and semiconductors. As Board members, we are regularly exposed to Mr. Son’s unique ideas, inspirations, and creative thinking—and we make a conscious effort to understand and support the direction he seeks to pursue, especially when timely decisions are required.

Details matter, of course. The Board must deliberate on a range of practical matters, such as the sequence of investments and the means of securing the necessary funding. This was not only true in fiscal 2024 but also will be the case going forward. That said, I believe the decision-making process at SBG’s Board of Directors is both sound and well-structured. In the case of the major investments decided in fiscal 2024, all members had a clear grasp of the strategic direction, which enabled the Board to make timely decisions without unnecessary delay or confusion. As a result, I

found few points that required intervention or concern on my part.

My role on the Audit & Supervisory Board

As part of SBG’s structure for auditing and supervision, two independent officers, Mr. Maurice Atsushi Toyama and myself, serve as full-time members of the Audit & Supervisory Board. While we work in close coordination, our responsibilities are generally divided: Mr. Toyama focuses on overseas matters, drawing on his expertise in international business as a certified public accountant, while I primarily oversee domestic business, such as SoftBank Hawks, alongside a broad range of investment-related matters. The Audit & Supervisory Board meets monthly to hear reports and conduct interviews with representatives from various divisions. These sessions also provide opportunities for discussion with our part-time colleagues, and we regularly exchange views among the full board to ensure consistent oversight.

Topics regularly discussed at Audit & Supervisory Board meetings include the governance framework for critical decisions, processes that enable effective deliberation within the Board of Directors, oversight of subsidiaries and portfolio companies, the design and operation of internal control systems, risk management structures, and mechanisms for managing insider information and investment-related conflicts of interest.

While these topics are handled with due diligence, my background in financial risk management leads me to believe that some areas warrant even deeper discussion. In particular, I believe greater emphasis should be placed on how lessons from past

investment failures are captured and applied to future decisions and portfolio oversight. SBG has achieved remarkable successes, such as Alibaba and Arm, but naturally not every investment has gone according to plan. Amid the spotlight on major wins, it can be difficult to assess whether sufficient learning has occurred from past setbacks. Yet minimizing such failures is critical to maximizing NAV. Unless the organization systematically distills and retains insights from experience, there is a risk that it may come to rely too heavily on Mr. Son’s individual intuition and foresight.

A fresh chapter for the Audit & Supervisory Board

In fiscal 2025, Ms. Kuniko Nishibashi and Ms. Yuko Kanamaru joined the Audit & Supervisory Board, succeeding two outgoing members. Their appointment represents a meaningful step toward greater diversity and is expected to enrich our discussions with new perspectives. I welcome this development and look forward to the new insights they will contribute. At the same time, SBG is entering a distinctly proactive phase. From the perspective of the Audit & Supervisory Board, this makes it all the more important to ensure that the defensive side of governance remains robust. In other words, effective offense must be underpinned by equally effective defense.

*1 Robustness refers to a company’s ability to maintain steady performance during unexpected shocks or crises without undergoing any major organizational or business changes.

*2 Resilience refers to a company’s ability to adapt and recover quickly after unexpected shocks such as natural disasters or social changes. Robustness emphasizes the ability to weather shocks, whereas resilience emphasizes the ability to recover from them.

Compliance

Commitment to Integrity

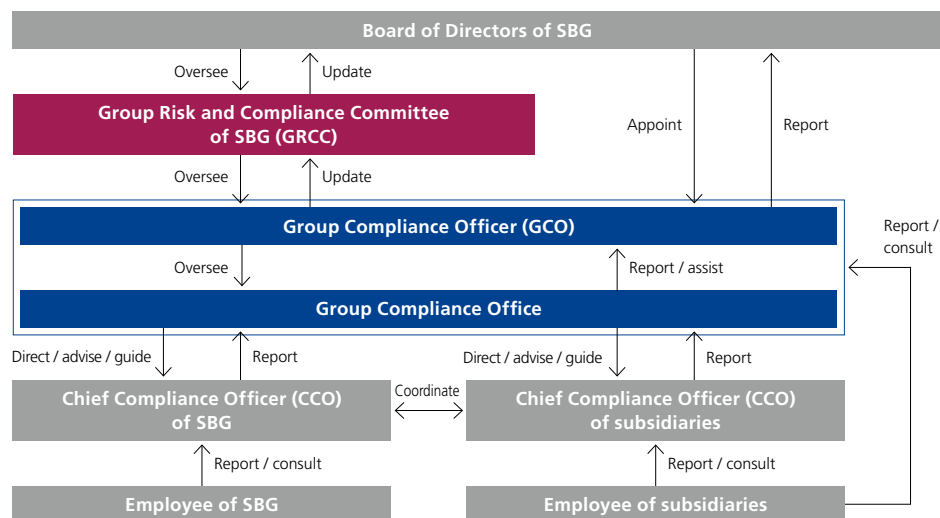
Compliance as the foundation of our business

We believe that our commitment to integrity, which goes beyond legal and regulatory compliance, must be the foundation of our business. We aim to create an organization where every officer and employee demonstrates the highest degree of ethical conduct in every action they take.

Organizational structure

The Board of Directors of SBG has appointed a Group Compliance Officer (GCO) as the chief officer responsible for compliance across the Company, and similarly, each subsidiary appoints a Chief Compliance Officer (CCO). The GCO and CCOs have the responsibility to implement systems designed to ensure compliance with applicable laws and regulations and to promote ethical conduct. The GCO and CCOs periodically report material incidents and risks together with activities of their ethics and compliance programs to their respective board of directors.

Group compliance structure



Ethics and compliance program and oversight

The Group Risk and Compliance Committee (GRCC) consists of Board Directors and Corporate Officers of SBG and provides oversight of the risk management and ethics and compliance programs of the Company. The GRCC assesses the key performance indicators that measure the effectiveness of the risk management and ethics and compliance programs such as risk assessments, risk mitigation, and incidents

of noncompliance. SBG's Board of Directors receives regular separate reports on, and evaluates and supervises the effectiveness of, the ethics and compliance programs.

Code of conduct and Group policies

SBG has established the "SoftBank Group Code of Conduct" as the standard that all the Company's officers and employees should follow. Our Code of Conduct sets out standards to guide the Company's officers

Structure of SBG's ethics and compliance program



and staff across various areas such as anti-corruption, prohibition on discrimination, confidentiality, conflicts of interest, antitrust laws, money laundering, insider trading, working environment, and whistleblowing. In April 2024, SBG updated the SoftBank Group Code of Conduct to proactively integrate AI into our operations. This update reflects our belief in the future happiness that AI can bring. It also outlines the necessary considerations for promoting the ethical and responsible use of AI by our employees, aiming for the achievement of

Compliance

Top page of the SoftBank Group Code of Conduct website



See the full text of our Supplier Code of Conduct on our website.

See the SoftBank Group Code of Conduct on our website for further details.

responsible AI practices. Additionally, SBG incorporated “Responsible AI” as one of the key topics in the 2024 SoftBank Group Code of Conduct training. SBG has also established the “Supplier Code of Conduct” to clarify the ethical standards we would like our suppliers to follow.

SBG has implemented a full suite of Group Policies that establish Group-wide minimum requirements for all subsidiaries and their officers and employees across key risk areas such as anti-corruption, competition law, conflicts of interest, insider trading, economic sanctions, information security, privacy, human rights, brand management, corporate governance, the environment, risk management, and taxes. In fiscal 2024, SBG

revised our Competition Law Compliance Policy to clarify our operational framework in response to changes in the global competition law environment.

SBG conducts an annual review of all the Group Policies and has made certain revisions as appropriate. We will continue to periodically review and revise them.

Training and awareness

The Company conducts training and awareness-raising activities to ensure that officers and employees recognize risk areas and have the information they need to make the right choices.

In fiscal 2024, in addition to the annual



Top screen of intranet site, Compliance Awareness Month 2024



Animated video on compliance

SoftBank Group Code of Conduct training, we provided training for officers and employees regarding high-risk areas such as insider trading, discrimination and harassment, and competition laws. SBG has introduced a global training system, which, in addition to providing the Code of Conduct training, provides subsidiaries in Japan and abroad with training that addresses different areas of risk for each of them.

As one example of the awareness-raising activities, SBG holds the Compliance Awareness Month annually for officers and employees of SBG and those at its major subsidiaries in Japan and overseas. SBG also periodically delivers communications through animated videos and comics featuring

actual cases and familiar compliance issues to enable its officers and employees to refresh and consolidate their knowledge about ethical behaviors. The use of visually memorable contents is designed to be easily understood.

Monitor, audit, and review

SBG has established a global ethics and compliance helpline to receive reports and consultations regarding compliance violations involving the Company or its officers and employees, from our officers, employees, business partners, and other third parties. Reports and consultations can be made anonymously to the extent permitted by laws and regulations. We received frequent reports and requests for advice in fiscal 2024 from across the Company. The CCOs are responsible for setting up helplines for their respective companies. Significant substantiated cases must be escalated to the GCO.

SBG also conducted an employee survey to measure its ethical culture and the effectiveness of its ethics and compliance program in fiscal 2024. SBG uses the results of the survey to improve its ethics and compliance programs for fiscal 2025 and beyond.

Risk Management

Eliminating and Reducing Impediments to Sustainable Growth

Risk management system

At SBG, the Risk Management Office spearheads Group-wide risk management activities cooperating with Group companies and departments. The office is supervised by the Chief Risk Officer (CRO), who is appointed by the Board of Directors with responsibility for Group-wide risk management.

SBG established the Risk Management Policy to ensure a Group-wide understanding of the purpose of risk management and to clarify the basic roles of officers, employees, and risk managers. This policy applies to all officers and employees of SBG and the Group companies to encourage their active

involvement in risk management activities. Under this policy, and in accordance with SBG's Risk Management Regulations and the Group Company Management Regulations, we appoint risk managers at SBG and its Group companies, comprehensively identify financial and non-financial risks that might arise during business activities, and monitor the countermeasures and their implementation status on at least a quarterly basis.

The Risk Management Office ensures the effectiveness of Group-wide risk management by receiving reports on material matters from risk managers and confirming compliance with the regulations. These policies and regulations are periodically reviewed and approved by the Board of Directors of SBG and other bodies.

The Risk Management Office quarterly reports identified risks that are material to the Group and their countermeasures to the Board of Directors and the Group Risk and Compliance Committee (GRCC), respectively. Accordingly, both governance bodies oversee the Risk Management Office. The GRCC consists of Board Directors and Corporate Officers of SBG and provides oversight of the risk management and ethics and compliance programs of the Company.

Risk Management Office confirms the agenda items in advance and consults with the relevant departments, if necessary. It also ensures that risk-related information that needs to be considered is reflected in the agenda.

► Portfolio risk analysis

The Risk Management Office performs risk analysis on the entire Group's investment portfolio from various perspectives. For example, the Risk Management Office monitors the impacts on SBG's financial indicators that are caused by changes in the external environment such as economic and monetary policies and other political conditions. It also monitors the concentration of investments in specific countries, regions, and sectors continuously.

► Risk information gathering

The Risk Management Office comprehensively gathers information on various risks from major Group companies and SBG departments. When risks materialize, the relevant parties report the issues to the Risk Management Office in a timely manner.

Responding to risks

Based on the information gathered through the above initiatives, the Risk Management Office analyzes and assesses various risks and corresponding countermeasures, considering

Risk management initiatives

The Risk Management Office works to strengthen risk management activities by identifying and addressing risks, with the aim of eliminating and reducing impediments that adversely affect the Group's sustainable growth.

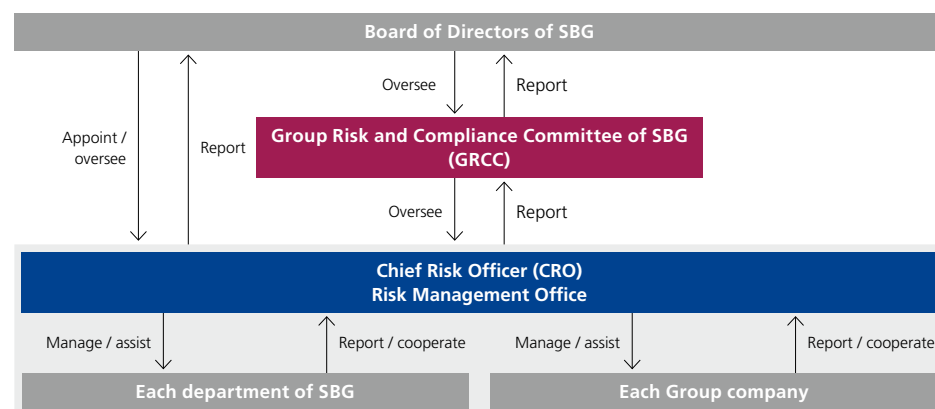
Identifying risks

The Risk Management Office is pursuing the following initiatives to gain a comprehensive understanding of financial and non-financial risks across the entire Group.

► Key agenda confirmation

When decisions are to be made about new investments or other material matters by the Board of Directors, Investment Committee, or other decision-making bodies in SBG, the

Risk management system



Risk Management

the likelihood that a risk could materialize and the magnitude of the potential impact. For material risks that could significantly impact the Group's sustainable growth, the Risk Management Office collaborates with the relevant departments or Group companies in order to understand the implementation status of countermeasures and monitor their effectiveness. To address AI-related risk, which is identified as one of the material risks, the Risk Management Office participates as a member of the AI Governance Working Group, which was established in fiscal 2024, and monitors ongoing developments.

Through this process, material risks and the status of countermeasures are reported to and discussed by the Board of Directors and the GRCC every quarter. Based on the results of those discussions, the Risk Management Office strives to strengthen the Group's risk management system. In addition, as part of educational efforts and to ensure that external directors, etc., can make informed decisions based on a proper understanding of the Group's overall risk exposure, the Risk Management Office regularly provides individual briefings on the latest risk trends and other relevant information and facilitates opportunities for dialogue. The feedback obtained from these discussions is used to further enhance risk management initiatives.

Message from Our Chief Risk Officer (CRO)

Preparing for uncertainties—as we advance toward ASI

Q1 Given the changes in the international landscape over the past year, are there any risks that you are particularly keeping an eye on?

In fiscal 2024, the pace of AI progress accelerated, while global uncertainties intensified. Ongoing events such as Russia's invasion of Ukraine, unrest in the Middle East, and U.S.-China tensions contributed to a deteriorating international climate. In response, many governments introduced policy changes aimed at strengthening economic security, including export controls and tariff measures. As an organization that invests globally and whose portfolio companies operate across diverse countries and regions, SBG is exposed to geopolitical and regulatory risks. For example, with SVF now having more than 400 portfolio companies, rising geopolitical tensions could significantly impact these companies' growth potential, profitability, and exit opportunities. In addition, as Arm derives a portion of its revenue from China, its business performance could be affected by export controls, sanctions, or tariff actions imposed by various countries.

In view of this situation, the Risk Management Office regularly communicates with government affairs teams in various countries to gather information. Such information includes developments of investment-related regulations that could affect our investment activities, export controls on semiconductors to China, and changes to sanctions or export control lists in the U.S. and elsewhere. The office also engages in discussions with key subsidiaries to help ensure early identification and timely monitoring of such risks across the Group.

Q2 What are the risks associated with investments toward realizing ASI, and how are you planning to address them?

AI made significant advances in fiscal 2024, and the competitive landscape has grown more intense. In this environment, we have been accelerating our investments toward realizing ASI. What may have stood out for many was the announcement of new initiatives in early 2025, particularly the Stargate Project, which involves building dedicated AI infrastructure for OpenAI in the U.S. Beyond that, we have also been investing in a variety of other areas. For example, we established SB TEMPUS to contribute to further advancements of Japan's healthcare through the use of AI. We also made SBE Global, which constructs and operates solar power plants in the U.S., a subsidiary. In addition, we have invested in companies engaged in robotics, warehouse automation, and autonomous driving. These investments have contributed to the expansion of our portfolio as a strategic investment holding company.

The Risk Management Office monitors the performance of these portfolio companies, tracks SBG's investment amounts and expected future payment, and gathers information on their business progress and challenges. A reporting structure is in place to ensure this information is regularly reported to our management. We plan to maintain a proactive investment stance in fiscal 2025. Our future investment scale, including follow-on investments in OpenAI, is expected to exceed that of recent years. As such, it will be important to identify a wide range of risks at an early stage—not only financial risks but also those related to the pace of AI technological advancement, the evolving competitive landscape, and regulatory changes. Acting independently from operating divisions, the Risk Management Office will continue to evaluate these risks from multiple perspectives to support efforts to realize ASI.

Kiyoshi Ichimura
CRO,
Head of Risk Management
Office



Risk Factors

Risk Factors

The material risks that the Company (SBG and its subsidiaries) believes could significantly affect investors' investment decisions as of June 26, 2025 are outlined below. The materialization of these risks could have an adverse effect on:

- NAV (Net Asset Value): equity value of holdings – adjusted net interest-bearing debt*1
- LTV (Loan to Value): adjusted net interest-bearing debt ÷ equity value of holdings*1; The ratio of debt to asset holdings.
- Financial condition and results of operations
- Distributable amount of SBG

These risks do not include all the risks that the Company could face, nor is there a guarantee that measures to address such risks will be fully effective. Forward-looking statements were determined as of June 26, 2025, unless otherwise stated.

*1 See pages 22-24 for details on the calculation method of NAV and LTV.

(1) Group overall

Under the Company's management system, the Company actively invest in and operate businesses in fields essential to the realization of Artificial Super Intelligence (ASI), while making strategic investments in and building partnerships with leading enterprises in the generative AI domain, with SBG, a strategic investment holding company, exercising overall control over its subsidiaries, associates and investees as our portfolio companies (hereinafter "portfolio companies")*2. The Company's material risks in the execution of its business are stated in subsections a. through c. below.

Additionally, please refer to "(2) SoftBank Vision Funds business," "(3) SoftBank business," and "(4) Arm business" for the material risks in the SoftBank Vision Funds segment, SoftBank segment, and Arm segment, respectively.

*2 As new AI-related initiatives, in January 2025, SBG announced the "Stargate Project" to build AI infrastructure in the U.S. for OpenAI Inc., a U.S.-based AI research and development company, and its affiliates (hereinafter "OpenAI"). In February 2025, the Company also announced a partnership with OpenAI to develop and commercialize a cutting-edge enterprise AI solution, "Cristal intelligence."*1 Furthermore, in March 2025, SBG reached an agreement with OpenAI to make a follow-on investment of up to USD 40 billion in OpenAI Global, LLC, OpenAI Inc.'s for-profit subsidiary. After accounting for the USD 10 billion planned to be syndicated to co-investors, the Company's effective investment amount is expected to be up to USD 30 billion. Also in March 2025, SBG agreed with Ampere Computing Holdings LLC—a U.S.-based semiconductor design company specializing in high-performance, energy-efficient, and sustainable AI computing based on the Arm compute platform—and certain of its equity holders, to acquire 100% of its equity interest. The progress and outcome of these initiatives may be influenced by a variety of factors and may not proceed as expected by the Company. These factors include advances in AI technologies, changes in the competitive environment, the establishment or strengthening of laws, regulations, and other rules, the status of obtaining necessary approvals and permissions from regulatory authorities, and, with regard to the follow-on investments in OpenAI Global, LLC (up to USD 30 billion, the planned investment amount for the second closing whose targeted investment timing is December 2025), the completion of a recapitalization of OpenAI Global, LLC's economic waterfall and the issuance of convertible preferred shares in a new entity.

1 "Cristal intelligence" is a provisional name and not the official designation.

a. Investment activities overall

(a) Market environment

The Company invests mainly in information and technology companies that leverage AI; however, the valuation of these companies can vary significantly depending on the outlook for technological progress and market growth. Therefore, the Company's equity value of holdings may be affected by these types

of sector-specific factors, in addition to macroeconomic, monetary policy, and stock market trends. In addition, private portfolio companies are also affected by trends in the venture capital and IPO markets.

Since Arm continues to be a consolidated subsidiary after its listing in September 2023, its stock price change does not affect the Company's financial condition and results of operations. However, the stock price change has a substantial effect on the Company's equity value of holdings since Arm shares represent a large portion of the Company's equity value of holdings.

Moreover, the Company may be affected by foreign exchange rate movements in connection with its ownership of foreign currency-denominated assets and liabilities.

The Company aims to conduct stable financial management to withstand the impacts of market volatility. For details, see "Message from Our CFO" on pages 18-21.

(b) International conditions and regulatory trends

The Company invests in companies and other entities that operate not only in Japan, but also in countries and regions overseas, such as the U.S., China, India, Europe, and Latin America. Therefore, due to changes in political, military, or social circumstances and to the establishment of new laws, regulations, systems and other rules (hereinafter "laws and regulations") and the strengthening thereof (including changes in interpretation and implementation) in those countries and regions, the investment activities of the Company and the business activities of portfolio companies may not develop as expected. Laws and regulations include, besides those related to investment, laws and regulations related to businesses such as AI, semiconductors, data centers, energy, telecommunications services, internet advertising, e-commerce, financial services and payments, automated driving, robotics, logistics, and to other corporate business activities (including, but not limited to, laws and regulations related to business permits and licenses, national security, import and export, personal information and privacy protection, the environment, product liability, fair competition, consumer protection, prohibition of bribery, labor management, intellectual property rights, prevention of money laundering, taxation, and foreign exchange). The investment activities of the Company and the business activities of portfolio companies are directly or indirectly affected by those laws and regulations. Recently, countries have been taking steps to implement stricter regulations from a national security perspective, against the backdrop of factors such as the Russia-Ukraine conflict, the situation in the Middle East, and intensified U.S.-China rivalry. For example, the introduction of laws and regulations to restrict investment in specific countries or companies could constrain the Company's investment activities, as well as cause the realization of investments to be delayed or the terms and conditions for the realization of investments to deteriorate. Additionally, some countries are moving to strengthen export controls for certain advanced technologies and related products and to revise tariff policies. If these heightened geopolitical risks result in further supply chain disruptions, restrictions on the import and export of specific products and technologies, or increased trade costs, the business development and operating results of portfolio companies may be adversely affected.

Moreover, the investment activities of the Company may require approvals and permissions from the regulatory authorities of relevant countries, or the Company's involvement with portfolio companies may be restricted. If the necessary approvals and permissions cannot be obtained or other restrictions cannot be avoided, the Company may be unable to successfully implement its investment or divestment plans as it expects.

Risk Factors

The Company collects information about the changes in the external environment described above and assesses the impact they may have on investment activities, while receiving advice from outside advisers. Concurrently, the Company works to address each of these regulations. In addition, the Company continuously monitors the concentration of investments in specific countries or regions, and business sectors, within its investment portfolio. By doing so, the Company identifies risks and reflects them in its management decisions.

(c) Business development of portfolio companies

The Company aims to maximize returns from a medium- to long-term perspective by making investments in information and technology companies that leverage AI. However, portfolio companies may be unable to develop businesses as envisioned at the time of the investment decision, due to factors including the obsolescence of portfolio companies' technologies and business models, and intensified competitive environments. This may lead to a significant deterioration in business performance or a drastic revision of their business plans. Moreover, the Company may provide loans, loan guarantees, additional investment or other forms of financial support as deemed necessary to improve their shareholder value, if they are unable to develop businesses as anticipated. Providing such support could increase the Company's exposure to those portfolio companies. Nevertheless, the Company has a general policy of not making investments solely for the purpose of providing relief.

Even after making investments, the Company continuously monitors major risk factors of portfolio companies, including financial and management information, key performance indicators, differences between business plans at the time of the investment decision and actual progress, and the status of corporate governance. To address these risk factors, the Company implements measures such as providing advice and dispatching officers to improve the management of portfolio companies, as necessary.

(d) Investment decisions

In the investment decision-making process, the Company may make investment decisions while misjudging the risks concerning such factors as the technology, business model, competitive environment, financial condition, compliance, and governance of an investment target, or the integrity of the founders and managers who have critical influence. In particular, the transparency, accuracy, and completeness of information on which the Company bases its investment decisions are relatively more likely to be inadequate at private companies.

In the investment decision-making process, the Company seeks to assess investment-related risks by conducting due diligence on important factors of the target, while obtaining the cooperation of, for example, outside financial, legal and tax advisers as necessary, in addition to referring to research and reviews by the relevant internal departments. Based on the results of such procedures, investment decisions are made by either the Board of Directors of SBG, the Investment Committee to which authority is delegated by the Board of Directors, or the Investment Committee of the fund management subsidiary.

b. Fund procurement

The Company utilizes a diverse range of procurement methods, such as loans from financial institutions and the issuance of bonds, as well as raising funds through asset-backed financing and selling assets.

For loans from financial institutions and bonds, if the procurement environment deteriorates due to factors such as changes in interest rates or credit rating, the Company may be unable to raise funds at the planned timing, scale, or conditions. In addition, various covenants may be attached to the debts. If these covenants are breached, the Company may forfeit the benefit of the term with respect to such obligations. Furthermore,

in connection with this forfeiture, the Company may be requested to make lump-sum repayments with respect to other obligations.

For asset-backed financing (excluding prepaid forward contracts) using public equities such as Arm shares, or private equities, if the value of eligible equity holdings declines, the Company may be required to post additional cash collateral or incur prepayment obligations. The Company may also face difficulties in raising new funds and refinancing.

Regarding fundraising through the sale of asset holdings, the Company may be unable to sell assets at anticipated prices when necessary due to factors such as sluggish market liquidity, contractual restrictions on asset sales, and delays in scheduled IPOs.

To control risks related to fund procurement, the Company raises funds with timing and methods that are deemed appropriate based on careful monitoring of market conditions. In particular, when borrowing from financial institutions, issuing corporate bonds, and conducting asset-backed financing, the Company increases the stability of each type of fund procurement by conducting prior reviews and implementing measures based on various anticipated scenarios. Through these measures, the finance departments strive to maintain a sufficient cash position in accordance with SBG's financial policy.

c. Management team

The Company's major subsidiaries and investment funds are run autonomously, the subsidiaries by their respective CEOs and other leaders, and the investment funds by the CEOs of fund operating subsidiaries described below. However, unforeseen situations with respect to Representative Director, Corporate Officer, Chairman & CEO Masayoshi Son, who plays a pivotal role in the Company's management, could impede the overall activities of the Company.

If such an unforeseen situation were to occur, the decision-making process could be affected. To minimize this impact, the Company has drawn up contingency plans. In addition, the Nominating & Compensation Committee periodically discusses succession plans.

(2) SoftBank Vision Funds business

SoftBank Vision Funds (SVF1, SVF2 and LatAm Funds, hereinafter "SVF") aim to maximize returns over the lifecycle of each of the funds by making investments in technology companies primarily leveraging AI that are deemed to have high growth potential. SBG invests in these investment funds as a limited partner. Additionally, the Company's wholly owned subsidiaries who manage these funds (SBIA, which manages SVF1, as well as SBGA, which manages SVF2 and LatAm Funds, hereinafter the "Managers") are respectively entitled to receive management fees, performance-linked management fees, and performance fees, each of which is measured by reference to the investment activities of the investment funds.

The material risks at SVF and their Managers are stated in subsections a. through d. below. In this section (2), the phrase "portfolio companies" refers to the investees of SVF.

a. Business execution risks of portfolio companies

Many portfolio companies are seeking to leverage new technologies such as AI and big data to create new business models. There are various risks involved for these companies to develop their businesses as planned, earn profits, and establish a solid business foundation.

In particular, these risks include: that they may not be able to develop technologies or implement business models as expected, or provide products and services that meet customer needs and market practices; their unit economics may not be strong enough to fully cover the cost of the platform and continued investment in technological advancement; they lose out to other new entrants with the latest technologies or to incumbents with strong business foundations; they are unable to adjust themselves to their expansion into adjacent businesses or different geographies and to changes in the economic or business environment; they are not

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able to secure profits if the customer acquisition costs, such as advertising and sales staffing, significantly exceed their original plans; and, they are unable to respond to growing compliance complexity and/or manage the costs for privacy and AI across varying jurisdictions.

In addition, as the strategic importance of advanced technology in national security has been growing in recent years, and with a backdrop of a challenging relationship between the U.S. and China, it is possible that stricter regulations in various countries will be introduced, which may adversely affect the business development of the portfolio companies or expected return on investment.

Furthermore, many portfolio companies have funding needs for business development. If the fund-raising environment deteriorates, it may not be possible to raise funds on the expected terms, resulting in the need to cut costs materially, which may impede growth, or to raise funds on terms that dilute the Company's share in the portfolio company.

At the Managers, the investment risk team plays a central role in identifying these risks early and mitigating them through the investment approval process and ongoing post-investment monitoring.

b. Lack of opportunity to exit from investments

Due to the illiquid nature of many of the investments that SVF may acquire, as well as economic, legal, political, or other factors, there can be no assurance that SVF will be able to monetize such investments as originally planned. Additionally, SVF may be prohibited by contract or other limitations from selling certain securities for a period, which may mean that SVF is unable to sell investments at favorable market prices.

Approval of an exit strategy is a key part of the Managers' Investment Committees' considerations. Exit strategies are regularly reviewed and updated by the Managers' investment teams. Exit strategies are also stress tested under various market conditions by the investment risk team to aid forward planning. In setting up a long-term fund structure, it was anticipated that multiple economic downturns could occur and that some investments may take longer to exit than others.

c. Securities issued by public companies

SVF's investment portfolios may contain securities issued by public companies. Such asset holdings are subject to risks that include increased obligations to disclose information regarding such companies, limitations on the ability of SVF to dispose of such securities at their discretion, increased likelihood of shareholder litigation and insider trading allegations being brought against such companies' executives and board members, including employees of the Managers. In addition, there may be increased costs associated with addressing each of the aforementioned risks.

The primary mechanism employed to mitigate the market risk following a liquidity event is to follow a deliberate plan for selling down the positions to minimize the market impact and to maximize the value of the proceeds. The Managers also examine whether to hedge the foreign-exchange risk should the securities be denominated in a currency whose exchange rate relative to USD is volatile.

Additionally, the operational and compliance risks that arise while managing SVF's public securities positions are managed through an appropriate control framework spanning the Managers' operational, compliance, and enterprise risk activities including, policies, staff training, whistleblower helpline, pre-trade approval processes (including the approval of trading counterparties), and post-trade reconciliations and exception monitoring.

d. Securing and retaining human resources

The Managers seek to maximize the equity value of SVF funds that they respectively manage, by carefully selecting investments and promoting growth after investment through the provision of a wide range of support. For the success of these investment activities, it is essential to secure and retain capable personnel who possess broad knowledge of technology and financial markets as well as specialized skills in managing investment businesses. A failure of the Managers to secure or retain an adequate number of capable

personnel could have an adverse effect on the maintenance or expansion of the investment scale and future investment performance of the investment funds they manage.

In order to maintain their broad investment and management capabilities, the Managers provide various HR support programs and ensure the human capital in the firm has the requisite skill sets to meet business objectives. The Managers conduct a range of efforts including regularly reviewing performance, organization design, and training and development, as well as moving staff across the organization to ensure they fulfil their potential.

(3) SoftBank business

SoftBank Corp. and its subsidiaries (hereinafter the "SoftBank Corp. Group") engage in its core business of telecommunications, in addition to providing services such as Yahoo! JAPAN, LINE, and PayPay, and developing its business in various fields within the information and technology domain. The material risks at the SoftBank Corp. Group are stated in subsections a. through f. below.

a. Changes in the market environment and competition

The telecommunications-related market has seen major changes in the business environment, mainly driven by the strengthening of pro-competitive policies and new entrants from different industries, and users have also been increasingly seeking more inexpensive and varied services. In order to address the market environment described above, the SoftBank Corp. Group deploys services, products and sales methods that fit consumer preferences. However, if the SoftBank Corp. Group is unable to meet the expectations of consumers for price plans, voice and data communications quality and so forth, or if the service and products provided by the SoftBank Corp. Group have significant defects, there are no assurances that the SoftBank Corp. Group will be able to maintain its current number of subscribers. Moreover, the introduction, amendment, or change in interpretation or application of laws, regulations, systems, and so forth, could result in the effective restriction of services and products that the SoftBank Corp. Group can deliver to its customers, or of sales methods and price plans, etc., causing the SoftBank Corp. Group to experience a decline in revenue and to incur a larger financial burden.

In certain instances, the SoftBank Corp. Group's competitors may have a competitive advantage over the SoftBank Corp. Group in terms of capital, services and products, technology development capabilities, price competitiveness, customer base, sales capability, brands, public recognition, or overall capability in all of these, for example. If these competitors were to sell services and products that harness these competitive advantages to a greater extent than at present, the SoftBank Corp. Group may be placed at a disadvantage in sales competition, including price competition, may be unable to provide services and products, or acquire or retain customers, as anticipated, or may experience a decrease in Average Revenue Per User (ARPU). Furthermore, the services and products of startup companies and new entrants could raise competition with the SoftBank Corp. Group's services and products. Alternatively, it may be costly for the SoftBank Corp. Group to develop the newly emergent services and products needed to demonstrate competitiveness.

The SoftBank Corp. Group may conduct internal realignment for purposes such as streamlining overlapping business resources, speeding up decision-making, and generating greater synergies among businesses. However, if the SoftBank Corp. Group is unable to sufficiently capture the expected benefits of the realignment, problems such as trouble with and delays in services to be rolled out, adverse effects on strategies and synergies, and disruptions associated with the realignment could arise.

b. Response to technology and business models

The SoftBank Corp. Group's primary business domain is the information technology industry, which is subject to rapid changes in technology and business models. Notably, technologies related to generative AI and AI agents have been evolving dramatically and have significantly impacted existing business models.

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The SoftBank Corp. Group is constantly undertaking measures such as surveying the latest technology and market trends, conducting verification trials to introduce services with highly competitive technologies, and considering alliances with other companies. However, there are no assurances that the development of new technologies will proceed on time or results will be delivered as planned, or that common standards or specifications will be established and commercial viability will be achieved. Even if the aforementioned measures are undertaken, the SoftBank Corp. Group may be unable to develop or introduce outstanding services, technologies, and business models in keeping with market trends due to the inability to appropriately adapt to changes in the market environment in a timely manner, such as the emergence of new technologies and business models, or due to the inability to deploy equipment and facilities rapidly and efficiently. In this case, the SoftBank Corp. Group's service offerings could lose competitiveness in the market, possibly curtailing the number of subscribers that the SoftBank Corp. Group is able to acquire or retain, or reducing ARPU.

c. Leakage or inappropriate use of information and inappropriate use of products and services supplied by the SoftBank Corp. Group.

In its business operations, the SoftBank Corp. Group handles customer information (including personal information) and other confidential information. The SoftBank Corp. Group strives to build a framework to protect and manage information assets appropriately, including the appointment of a Chief Information Security Officer and education and training sessions on information security for officers and employees. However, this information could be leaked, lost, or involved in a similar incident, either intentionally or accidentally by the SoftBank Corp. Group (including officers and employees of the SoftBank Corp. Group and people related to subcontractors), or through a malicious cyber-attack, hacking, computer virus infections, or other form of unauthorized access or other means by a third party.

Moreover, if the products and services supplied by the SoftBank Corp. Group are used inappropriately for crimes and so forth such as fraud and the like, it could impair public trust in the SoftBank Corp. Group and the SoftBank Corp. Group's credibility.

Such an occurrence could reduce the SoftBank Corp. Group's competitiveness and give rise to significant costs to the SoftBank Corp. Group for payment of damages and modification of security systems, in addition to having an adverse impact on the SoftBank Corp. Group's credibility or corporate image and making it difficult to acquire or retain customers.

Furthermore, LY Corporation, a significant group company, has submitted reports concerning the incident of unauthorized access it announced on November 27, 2023 to the Ministry of Internal Affairs and Communications (MIC) and the Personal Information Protection Commission of Japan (PPC). LY Corporation is implementing measures in response to this administrative guidance and recommendation. Additionally, in November 2024, a malfunction occurred in LINE Album, a service provided by LY Corporation, in which image data from other users was mistakenly included in album thumbnail images. As a result, on March 8, 2025, LY Corporation received administrative guidance from MIC. LY Corporation regards this as a serious incident that diminishes trust in its role as a platform operator serving a large user base, and it is implementing measures to prevent a recurrence. Furthermore, since its reorganization as LY Corporation, LY Corporation and its group companies have been working to develop and continuously strengthen a framework to ensure the efficient and proper functioning of its group's overall data governance.

However, if the measures of LY Corporation and SoftBank Corp. are judged to be inadequate or insufficient, this could lead to impairment of trust in the SoftBank Corp. Group, a decrease in demand for the SoftBank Corp. Group's services or other such consequences. Such outcomes could have an impact on the SoftBank Corp. Group's businesses.

d. Consignment of operations

The SoftBank Corp. Group consigns in whole or part to subcontractors customer sales activities, acquisition

and retention of customers, and telecommunications network construction and maintenance for various services and products, along with the execution of other related operations. In addition, the SoftBank Corp. Group's information search services make use of other companies' search engines and paid search advertising distribution systems. While the SoftBank Corp. Group strives to reduce risks in the supply chain, if these subcontractors (including their directors and employees, or related parties) are unable to execute operations in line with the SoftBank Corp. Group's expectations, or if a human rights infringement-related issue occurs, such as a case where the information of the SoftBank Corp. Group's customers is obtained without authorization, it could have an impact on the SoftBank Corp. Group's business.

Moreover, any damage to the credibility or corporate image of these subcontractors as a result of the kind of incident described above would also have an impact on the SoftBank Corp. Group's credibility or corporate image. Furthermore, if these subcontractors should fail to comply with laws and regulations, the SoftBank Corp. Group could receive a warning or administrative guidance from the regulatory authorities, or be investigated for non-fulfillment of its supervisory responsibility, and the SoftBank Corp. Group's credibility or corporate image could deteriorate as a result, making it difficult to acquire and retain customers.

e. Service disruptions or decline in quality due to faults in related systems and other factors

In the provision of various services by the SoftBank Corp. Group, including telecommunications networks and systems for customers such as Yahoo! JAPAN, LINE and PayPay, there is a possibility that a major problem could occur if the SoftBank Corp. Group were to become unable to continuously provide the services, or were to suffer a decline in the quality of the services, due to human error or serious problems with equipment or systems (including factors due to natural disasters and other unpredictable events), or cyber-attack, hacking or other form of unauthorized access or other causes by a third party. The SoftBank Corp. Group has built redundancy into its networks, along with clearly defining restoration procedures in preparation for systems faults and other incidents. In the event of a system fault or other incident, the SoftBank Corp. Group conducts restoration activities with appropriate capabilities in place, such as setting up an Incident Response Headquarters according to the scale of the incident. Even with these measures in place, the SoftBank Corp. Group may be unable to avoid disruptions of services or declines in quality. If such disruptions of services or declines in quality were to become widespread or significant time were required to restore services, the SoftBank Corp. Group's credibility or corporate image could deteriorate, making it difficult to acquire and retain customers.

f. Economic security

In accordance with the Act on the Promotion of Ensuring National Security through Integrated Implementation of Economic Measures (hereinafter, the "Economic Security Promotion Act"), SoftBank Corp. and LY Corporation were designated as specified social infrastructure providers (core infrastructure providers) in the telecommunications business on November 16, 2023. From May 17, 2024, this new regulatory framework became effective. If SoftBank Corp. or LY Corporation fail to comply with a national government review mandated by the Economic Security Promotion Act, the authorities may impose administrative measures against them, such as recommendations or orders for business improvement or suspension. These administrative measures may potentially cause temporary business suspensions, delays, or additional capital expenditures, as well as extra measures and costs, and impairment of public trust in the SoftBank Corp. Group. Such outcomes could have an impact on the SoftBank Corp. Group's businesses, financial position, and results of operations.

(4) Arm business

Arm's operations primarily consist of developing and licensing its high-performance and energy-efficient Arm compute platform, including central processing unit (CPU) products and other complementary products. Arm

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licenses its CPU and other products to semiconductor companies, original equipment manufacturers (OEMs) and other organizations to design their chips. These chips are built into end products such as smartphones, tablets and PCs, and vehicles, by systems companies. Arm's revenue includes licensing fees for Arm's technology, and royalties received on chips with Arm's products that the licensees have shipped. The material risks at Arm are stated in subsections a. through k. below.

a. Change in the industry business dynamic

Demand for Arm's technology and services is largely dependent on the semiconductor and electronics industries, which are volatile and intensely competitive and generally characterized by declining average selling prices over the life of a generation of chips. The revenue Arm generates from licensing activities is also largely dependent on the rate at which semiconductor and systems companies develop and adopt new generations of Arm's products, which is affected by the demand for these companies' chips and other products. Decreasing demand from systems companies for chips based on Arm's products would directly and adversely affect the amount of royalty revenues Arm receives.

Arm's success depends substantially on the acceptance of its products and services by semiconductor and systems companies. There are competing architectures in the market and there is no certainty that the market will continue to accept Arm's products.

The semiconductor and electronics industries have also become increasingly complex and subject to increasing design and manufacturing costs. Many of Arm's customers utilize third-party vendors for electronic design automation tools and the manufacture of their semiconductor designs. Arm works closely with those third parties to ensure that its technology is compatible with their design tools and manufacturing processes. However, if Arm fails to optimize its products appropriately or if Arm's access to such tools and processes is hampered, then Arm's products may become less desirable.

In order to mitigate against these risks, Arm's management team regularly reviews its strategy and long-term product development plans to test that Arm is developing products to meet future needs. Arm works with many partners and companies in the semiconductor and electronics industries and is well positioned to detect any change and act accordingly.

b. Competition

The market for Arm's products is intensely competitive and characterized by rapid changes in design and manufacturing technologies, end-user requirements, industry standards, and frequent new products and improvements. Arm anticipates continued challenges from current and new competitors, including established technologies, such as the x86 architecture, and free, open-source technologies, such as the RISC-V architecture.

Arm's competitors may devote greater resources to the development, promotion and sale of products and services, they may offer lower pricing and different customer engagement models, and their performance, features and product quality may be more desirable than those of Arm. Arm may therefore have to invest substantial resources to further develop its ecosystem that allows it to compete with alternative architectures.

Arm mitigates against these risks by working closely with leading semiconductor companies. Arm's established ecosystem includes many software and chip design engineers who understand how to build Arm-based chips and write software optimized for Arm processors. Arm invests in this ecosystem to help further reduce the total cost of developing and maintaining a portfolio of Arm-based chips.

c. Development of new products and changes in business model

To remain competitive, Arm must continue to innovate and develop new products and services, as well as enhancements to existing products and services, in response to expressed or anticipated customer demand and market opportunities. This has resulted in Arm allocating resources to, and exploring, new markets and/

or different products and solutions for existing and prospective customers in various end markets, including, without limitation, new products in Arm's IP portfolio, as well as solutions beyond individual IP designs such as compute subsystems, chiplets and complete end chip solutions. Any products or solutions that constitute an entry into new markets or offerings of different solutions may be unsuccessful for any number of reasons.

For example, as with any company entering a new market or offering new products or solutions, Arm will compete with companies that have a more established presence, long-standing customer relationships and established brand awareness or may have significantly greater resources dedicated to such markets and solutions than Arm. Further, Arm's customers may prefer to continue integrating Arm's IP components in their products and solutions, and, therefore, Arm's more integrated compute products may not be adopted by customers on Arm's expected timeline or at all. To the extent any such developments in Arm's product offerings, and other future changes to Arm's products and services, create real or perceived conflicts with companies that are important to Arm's business, such customers or partners may terminate or materially reduce their relationship with Arm and seek alternative architectures or products from competitors.

In addition, in order to remain competitive, Arm may need to reduce the prices of its products or services or otherwise change the structure and terms of its customer relationships or business model. Arm can provide no assurance that customers will accept these changes. In such case, Arm may not realize the anticipated financial benefits of such changes as anticipated, on the expected timeline, or at all.

Additionally, increases in the number or value of licenses signed in the future may not materialize in the same way or at all under a new business model and, therefore, licensing revenue and royalty revenue may be lower than expected. Further, the use of a new business model may have unexpected consequences for Arm, including making Arm's products less attractive to customers.

In order to mitigate these risks, Arm undertakes extensive reviews in relation to its new business models, including undertaking discussions with its customers in advance of implementing key changes, in order to ensure that any risks are identified and managed appropriately.

d. Research and development

To remain competitive, Arm must continue to innovate and develop new products, applications and enhancements to existing products and services, particularly as next-generation technology is adopted by market participants. Allocating and maintaining adequate research and development resources, such as the appropriate personnel and development technology, to meet the evolving demands of the market is essential to Arm's continued success, but Arm's allocations may be inadequate or Arm may pursue research and development initiatives based on assumptions about future demand that prove to be incorrect.

In order to mitigate these risks, Arm's management team regularly reviews its research and development resources.

e. Customer concentration

A significant portion of Arm's total revenue is generated from a limited number of key customers. As a result of this customer concentration, Arm is particularly susceptible to adverse developments affecting its key customers and their respective businesses.

In order to mitigate this risk, Arm typically develops multiple processors each year, reducing the impact of a customer deciding not to move forward with Arm.

f. Fragmentation of the global market

The global market for Arm's products may be impacted by geopolitical factors. A shift towards geopolitical rivalry could lead to the fragmentation of the global semiconductor market, as certain countries want more end-to-end control of architecture, leading to increased architectural fragmentation and a reduced role for a global architecture. For Arm, this could lead to increased costs to support region specific products, reduced

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revenue as a result of lost investment in territories that no longer use Arm products and loss of potential markets and future licensing opportunities.

Arm mitigates this risk by working with trade authorities to reduce the risk of any impact of new trade barriers and reviewing its strategy to ensure that it is developing products in line with the future needs of the industry.

g. Concentration on China

A significant portion of Arm's revenues are derived from Chinese semiconductor companies and OEMs, and from non-Chinese semiconductor companies and OEMs that utilize Arm's products in chips and end products sold into China. A failure of Arm to maintain China-sourced revenues, access new and existing markets in China or gain traction for new business areas in China, or a loss of Arm's market share in China, could materially and adversely affect Arm's results of operations and competitive position.

China is a significant source of semiconductor industry revenues. However, the near-term growth prospects of the Chinese semiconductor industry and related industries are unclear due to the uncertain effects of trade and national security policies, continued elevated levels of indebtedness, and related policies. A prolonged downturn or slow recovery in the Chinese semiconductor industry or economy generally could materially and adversely affect Arm.

In addition, regulatory and legislative actions, including trade and national security policies of the U.S. and Chinese governments, currently do and could in the future limit or prevent Arm from transacting business in China or with Chinese customers or suppliers.

Arm mitigates these risks by ensuring that any U.S./China policy changes are kept under close review. In addition, Arm regularly reviews Arm China's^{*3} sales pipeline and any requests from Arm China to deviate from standard licensing contracts in order to monitor and manage developments in the Chinese market.

^{*3} Arm China is a joint venture between SBG's subsidiary and Chinese investors, through which Arm accesses the Chinese market.

h. Protection of IP rights

Arm's success and ability to compete depends significantly on protecting its intellectual property rights. Arm primarily relies on patent, copyright, trade secret and trademark laws, trade secret protection and contractual protections, such as confidentiality, invention assignment and license agreements with its employees, customers, partners and others to protect its intellectual property rights. The steps Arm takes to protect its intellectual property rights may be inadequate. Arm also may not be able to obtain desired patents. Arm's exposure to different legal jurisdictions may also impact its ability to exercise its contractual and other rights around intellectual property in such jurisdictions. If Arm is unable to successfully navigate the relevant legal and regulatory environment and/or enforce its intellectual property and/or contractual rights in relevant jurisdictions, its business, results of operations, financial condition and prospects could be materially and adversely impacted.

Litigation has been and may be necessary to enforce Arm's patents and other intellectual property rights. Any such litigation could be costly and would divert the attention of management and technical talent from normal business operations.

Arm is involved in pending litigation, including but not limited to lawsuits with Qualcomm, Inc. and Qualcomm Technologies, Inc. (together "Qualcomm") and Nuvia, Inc. Arm can provide no assurances regarding the outcome of the litigation or how the litigation will affect Arm's relationship with or revenue from Qualcomm, which is currently a major customer of Arm. Arm's involvement in such litigation could cause significant reputational damage in the industry, in its relationship with Qualcomm and/or other third-party partners.

Arm mitigates against these risks by closely monitoring developments in relevant jurisdictions in relation to patents, litigation trends, and incidence of claims.

i. Infringement of proprietary rights

Arm has in the past been and it may in the future be subject to claims by third parties alleging infringement, misappropriation or other violation of third-party intellectual property rights. Under Arm's customer agreements, it agrees in some cases to indemnify customers if a third party files a claim asserting that its products infringe such third party's intellectual property rights. Such claims can result in costly and time-consuming litigation, require Arm to enter into royalty or licensing arrangements, subject Arm to damages or injunctions restricting the sale of its products, result in invalidation of a patent or family of patents, require Arm to refund license fees to its customers or to forgo future payments or require Arm to redesign or rebrand certain of its products.

Arm mitigates these risks by designing and implementing its products without the use of intellectual property belonging to third parties, except under strictly maintained procedures and with the benefit of appropriate license rights.

j. Brand and reputation

Arm's brand and reputation are critical factors in its relationships with customers, employees, governments, suppliers, and other stakeholders. Arm's reputation can be impacted by catastrophic events, incidents involving unethical behavior or misconduct, product quality, security or safety issues, allegations of legal noncompliance, internal control failures, corporate governance issues, security incidents, workplace incidents, climate issues, the use of its technology for illegal or objectionable applications, marketing practices, media statements, the conduct of suppliers or representatives, and other issues that result in adverse publicity. Arm's own internal use of artificial intelligence, or AI, including but not limited to generative AI, concerns about Arm's practices related to AI, and machine learning, or ML, or the ultimate uses of Arm's products in conjunction with AI and ML technologies, even if unfounded, could damage Arm's reputation. If Arm fails to respond quickly and effectively to these corporate crises and other similar threats, the ensuing negative public reaction could significantly harm its brand and reputation. Arm's brand and reputation may also be damaged by the actions of third parties that are imputed to Arm, for example, through Arm China.

Arm mitigates these risks by investing in the verification and validation of its products. Arm has rigorous quality assurance and verification and validation processes to reduce the risk of faults or bugs. Arm regularly gathers feedback from its customers and partners to determine whether the perception of Arm is changing, and ensure that corrective action can be taken early if customers are becoming less satisfied with its products or behavior.

k. Export restrictions and trade barriers

Arm's headquarters are in the U.K., and it currently operates in jurisdictions around the world, including the U.S., China, India, South Korea, Japan, Taiwan, and Europe. Risks associated with these international operations include exposure to political, economic and financial conditions and expected and unexpected changes in legal and regulatory environments.

Arm is subject to governmental export and import requirements that could subject Arm to liability or restrict its ability to license its products. If the U.S. Department of Commerce were to further broaden U.S. export restrictions on foreign-origin items, this could subject more of Arm's products to U.S. export controls and restrictions. Furthermore, if the U.S. government implemented expanded economic sanctions on specific countries or regions where certain customers and trading partners are based, that could impact Arm's freedom to license its products to designated countries or entities.

Trade relations between countries where Arm does business or where Arm's customers have end customers have recently been volatile. The U.S. government has imposed enhanced sanctions and export controls impacting the provisions of certain services and cross-border transfer of technology and software products

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and announced new licensing requirements which impact exports of some of Arm's customer's ICs and certain related items. The U.S. government also recently announced increased tariffs applicable to U.S. imports. These measures may increase costs and/or reduce distribution in key markets.

Arm mitigates against these risks by maintaining strong relationships with the U.S., U.K., and EU export control authorities in order to effectively monitor any policy and regulatory developments.

(5) Others

a. Compliance

The Company conducts investment activities pursuant to laws and regulations in each country. If the Company and its portfolio companies (including officers and employees) conduct activities in breach of those laws and regulations, regardless of whether they were aware of the breach or not, the Company and its portfolio companies may be subject to administrative sanctions or legal measures. As a result, the credibility and corporate image of the Company and its portfolio companies may be impaired, their contracts may be canceled by business partners, or a financial burden may be incurred. Furthermore, in countries and regions in which the Company and its portfolio companies conduct business activities, tax laws and regulations may be newly introduced or amended, or their interpretation or enforcement may be revised, leading to additional tax burdens. Views differing with those of tax authorities may also give rise to additional tax burdens.

The Company has established the SoftBank Group Code of Conduct, which applies to all officers and employees, in order to go beyond compliance with laws and regulations and conduct corporate activities based on a high ethical standard. The Company also works to strengthen the Group compliance structure and carries out activities to increase the knowledge and awareness of officers and employees, such as training. In addition, the legal departments collect information on new or revised laws and regulations, while receiving advice from outside advisers.

b. Intellectual property

Infringement of SBG's SoftBank brand by a third party could impair the corporate image or credibility of SBG and subsidiaries that employ the SoftBank brand. Additionally, infringement of the intellectual property of subsidiaries and portfolio companies by a third party could have a negative impact on these companies' business development and results of operations. On the other hand, if the Company and its portfolio companies were to unintentionally infringe on intellectual property rights held by a third party, the Company and such portfolio companies may be prevented from using the intellectual property or subjected to claims for compensatory damages, license fees, and so forth from the third party.

In light of the importance of SBG's brands in supporting sustained business growth, SBG strives to strategically obtain trademarks worldwide, while evaluating the intellectual property activities and strategies of subsidiaries and forming intellectual property partnerships with them. Through these and other efforts, SBG aims to protect and utilize intellectual property throughout the Group as a holding company.

c. Litigation

The Company faces the possibility of lawsuits by third parties claiming compensatory damages for the alleged infringement of rights or benefits. These third parties may comprise shareholders, portfolio companies, business partners, and employees (including current and past shareholders and employees of portfolio companies). Such lawsuits could hinder the Company's investment activities or may impair the Company's corporate image, as well as create a financial burden.

d. Sustainability

The Company believes that it is crucial to take the initiative and implement substantive sustainability efforts. However, the Company's sustainability activities may diverge significantly from the expectations of internal

and external stakeholders, including investors; for example, investors may judge that sustainability factors are not sufficiently integrated into the Company's governance structure and management strategy, or that the Company's measures are inadequate for addressing identified material issues relating to sustainability, especially issues with priorities such as "Responsible AI," "Climate change," or "Human capital." In these cases, the Company's evaluation by stakeholders may deteriorate and adversely affect its investment and financing activities.

In addition, the Company may be unable to adequately assess the risks and opportunities associated with the sustainability aspects of portfolio companies. In these cases, portfolio companies may be unable to develop their businesses as expected by the Company. Moreover, if sustainability-related regulations over the Company's investment activities and/or its portfolio companies' business activities are tightened, the pace of investment may slow down or the cost to address such regulations may increase.

Furthermore, SBG identifies sustainability-related risks and opportunities through such means as conducting hearings within SBG and major group companies. The Sustainability Committee, which is chaired by the Chief Sustainability Officer ("CSusO") appointed by SBG's Board of Directors, regularly discusses sustainability-related issues and countermeasures, along with strengthening sustainability-related response measures and disclosures.

Also, in investment activities, each investment entity analyzes the risks and opportunities associated with the sustainability aspects of portfolio companies and carries out comprehensive investment evaluations.

e. Information security

Amid the rising threat of cyber-attacks around the world in response to recent international conditions, the Company and its portfolio companies may be unable to completely prevent cyber-attacks, hacking, computer virus infections, or other forms of unauthorized access or internal misconduct. The inability to prevent such events could lead to the leakage, alteration, or loss of information, or cause other such security incidents. Such occurrences may impair the credibility and corporate image of the Company and its portfolio companies and may hinder their business activities. The Company and its portfolio companies may also incur financial losses or additional cost outlays or other responses may be needed to address such occurrences.

The Chief Information Security Officer (CISO), who is appointed by the Board of Directors, is responsible for the information security of the Company. Under the leadership of the CISO of SBG, the Company endeavors to protect information assets by identifying vulnerabilities and risk factors that could threaten information security and by implementing information security measures focused on organizational, physical, technical, and human dimensions according to risk.

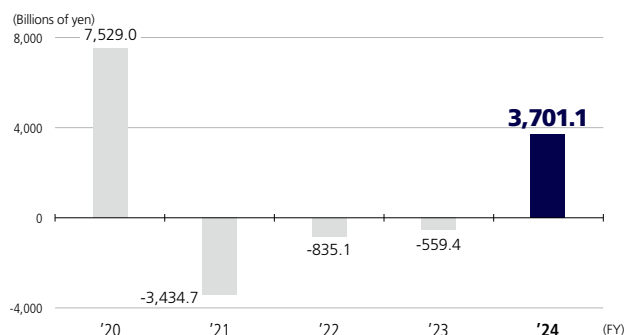
Financial Section

 For consolidated financial statements and notes, see “Financial Report 2025” on our website.

Graphs: Key Consolidated Financial Data

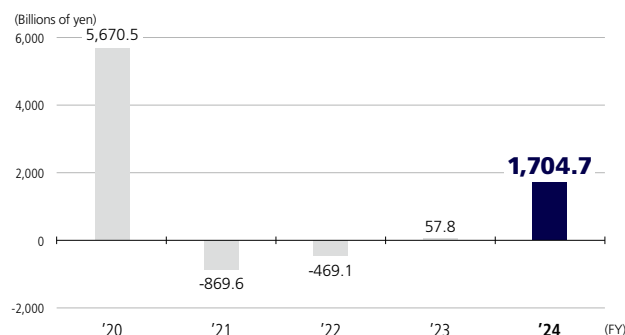
Fiscal years beginning April 1 and ending March 31 of the following year

Gain (loss) on investments



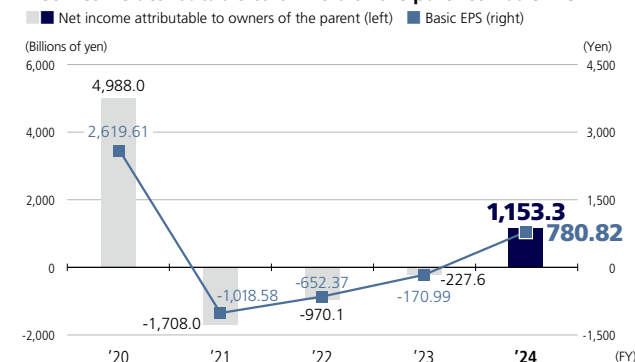
FY2024
Gain (loss) on investments
+ ¥4.3 tn YoY

Income before income tax



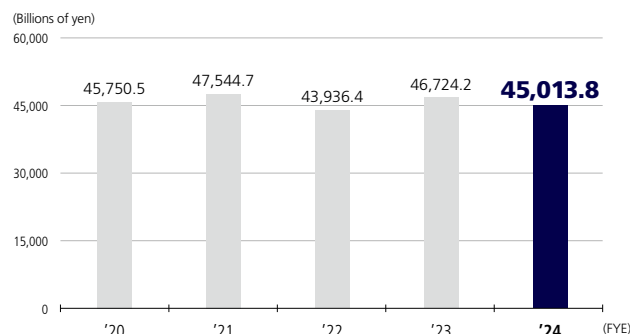
FY2024
Income before income tax
+ ¥1.6 tn YoY

Net income attributable to owners of the parent / Basic EPS



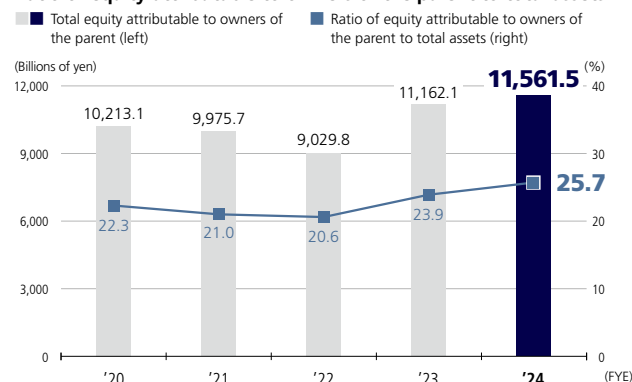
FY2024
Net income attributable to owners of the parent
+ ¥1.4 tn YoY

Total assets



FYE2024
Total assets
- 3.7 % YoY

Total equity attributable to owners of the parent / Ratio of equity attributable to owners of the parent to total assets



FYE2024
Total equity attributable to owners of the parent
+ 3.6 % YoY
Ratio of equity attributable to owners of the parent to total assets
25.7 %

Eleven-Year Key Consolidated Financial Data

Fiscal years beginning April 1 and ending March 31 of the following year

(Millions of yen)		FY2014	FY2015	FY2016	FY2017	FY2018
Net sales		8,504,135	8,881,777	8,901,004	9,158,765	6,093,548
Operating income* ¹		918,720	908,907	1,025,999	1,303,801	2,073,636
Income before income tax		1,213,035	919,161	712,526	384,630	1,682,673
Gain (loss) on investments* ¹		—	—	—	—	—
Net income attributable to owners of the parent		668,361	474,172	1,426,308	1,038,977	1,411,199
Total assets		21,034,169	20,707,192	24,634,212	31,180,466	36,096,476
Total equity attributable to owners of the parent		2,846,306	2,613,613	3,586,352	5,184,176	7,621,481
Interest-bearing debt* ²		11,607,244	11,922,431	14,858,370	17,042,188	15,685,106
Net interest-bearing debt* ³		8,182,817	9,248,363	11,923,065	13,617,255	12,056,031
Net cash provided by operating activities		1,155,174	940,186	1,500,728	1,088,623	1,171,864
Net cash used in investing activities		(1,667,271)	(1,651,682)	(4,213,597)	(4,484,822)	(2,908,016)
Net cash provided by financing activities		1,719,923	43,270	2,380,746	4,626,421	2,202,291
Net increase (decrease) in cash and cash equivalents		1,295,163	(689,046)	(386,505)	1,151,548	523,868
Cash and cash equivalents at the fiscal year-end		3,258,653	2,569,607	2,183,102	3,334,650	3,858,518
Major indicators	(Units)					
ROA	%	3.5	2.3	6.3	3.7	4.2
ROE	%	28.0	17.4	46.0	23.7	22.0
Ratio of equity attributable to owners of the parent to total assets	%	13.5	12.6	14.6	16.6	21.1
Per share data*⁴	(Units)					
Basic EPS	¥	281.10	201.25	643.50	466.77	634.08
Diluted EPS	¥	279.38	194.16	637.82	454.19	628.27
Equity per share attributable to owners of the parent	¥	1,196.74	1,139.42	1,646.20	2,151.13	3,380.33
Dividend per share	¥	20.00	20.50	22.00	22.00	22.00
Others	(Units)					
Number of shares outstanding (excluding treasury stock)	'000	1,189,197	1,146,900	1,089,282	1,089,498	1,053,833
Number of subsidiaries		769	739	763	1,141	1,302
Number of associates		120	122	130	385	423
Number of employees (consolidated basis)		66,154	63,591	68,402	74,952	76,866

(Millions of yen)	FY2019	FY2020	FY2021	FY2022	FY2023	FY2024	
Net sales	5,238,938	5,628,167	6,221,534	6,570,439	6,756,500	7,243,752	
Operating income* ¹	—	—	—	—	—	—	
Income before income tax	50,038	5,670,456	(869,562)	(469,127)	57,801	1,704,721	
Gain (loss) on investments* ¹	(1,410,153)	7,529,006	(3,434,742)	(835,059)	(559,350)	3,701,107	
Net income attributable to owners of the parent	(961,576)	4,987,962	(1,708,029)	(970,144)	(227,646)	1,153,332	
Total assets	37,257,292	45,750,453	47,544,670	43,936,368	46,724,243	45,013,756	
Total equity attributable to owners of the parent	5,913,613	10,213,093	9,975,674	9,029,849	11,162,125	11,561,541	
Interest-bearing debt* ²	14,272,208	19,547,976	22,323,580	20,315,191	21,362,031	18,913,350	
Net interest-bearing debt* ³	11,027,565	14,016,812	17,100,637	13,589,693	14,885,247	14,405,506	
Net cash provided by operating activities	1,117,879	557,250	2,725,450	741,292	250,547	203,580	
Net cash provided by (used in) investing activities	(4,286,921)	(1,468,599)	(3,018,654)	547,578	(841,461)	(1,631,540)	
Net cash provided by (used in) financing activities	2,920,863	2,194,077	602,216	191,517	(606,222)	(1,116,384)	
Net increase (decrease) in cash and cash equivalents	(489,503)	1,293,710	506,276	1,756,152	(738,279)	(2,473,846)	
Cash and cash equivalents at the fiscal year-end	3,369,015	4,662,725	5,169,001	6,925,153	6,186,874	3,713,028	
Major indicators	(Units)						
ROA	%	(2.6)	12.0	(3.7)	(2.1)	(0.5)	2.5
ROE	%	(14.2)	61.9	(16.9)	(10.2)	(2.3)	10.2
Ratio of equity attributable to owners of the parent to total assets	%	15.9	22.3	21.0	20.6	23.9	25.7
Per share data* ⁴	(Units)						
Basic EPS	¥	(478.50)	2,619.61	(1,018.58)	(652.37)	(170.99)	780.82
Diluted EPS	¥	(485.33)	2,437.29	(1,025.67)	(662.41)	(174.20)	779.40
Equity per share attributable to owners of the parent	¥	2,619.32	5,588.80	5,755.92	5,888.94	7,479.43	7,905.39
Dividend per share	¥	44.00	44.00	44.00	44.00	44.00	44.00
Others	(Units)						
Number of shares outstanding (excluding treasury stock)	'000	2,067,996	1,738,517	1,646,790	1,463,048	1,465,925	1,437,596
Number of subsidiaries		1,475	1,408	1,316	1,280	1,254	965
Number of associates		455	535	565	573	571	152
Number of employees (consolidated basis)		80,909	58,786	59,721	63,339	65,352	67,229

Notes: 1. As of June 1, 2015, GungHo Online Entertainment, Inc. ("GungHo") no longer qualified as a subsidiary and became an equity method associate. Accordingly, GungHo's net income and loss for the period from April 1, 2015, to June 1, 2015, are presented as discontinued operations. Its net income and loss for FY2014 were revised retrospectively and presented under discontinued operations. Furthermore, as of August 16, 2016, GungHo no longer qualified as an equity method associate.

2. The Company sold all of its shares in Supercell Oy ("Supercell") to an affiliate of Tencent Holdings Limited on July 29, 2016. Accordingly, Supercell's net income until July 29, 2016, is presented as discontinued operations. Net income of Supercell for FY2015 was revised retrospectively and presented under discontinued operations.

3. The Company adopted IFRS 9 "Financial Instruments" and IFRS 15 "Revenue from Contracts with Customers" in FY2018, and IFRS 16 "Leases" in FY2019. The information for each previous fiscal year is not restated.

4. Sprint and Brightstar Global Group Inc. ("Brightstar") ceased to be a subsidiary of the Company in FY2020. Operating results of Sprint and Brightstar are excluded from FY2018 and FY2019, respectively.

*1 From FY2020, "operating income" is no longer presented and "gain (loss) on investments" is newly presented. Information for FY2019 is restated in the same manner.

*2 Includes lease liabilities from FY2019. Deposits for the banking business of PayPay Bank Corporation are not included in interest-bearing debt.

*3 Calculated by subtracting cash position (cash and cash equivalents + short-term investments recorded as current assets + bond investments (excluding those of PayPay Bank Corporation)) from the presented interest-bearing debt

*4 Basic EPS and diluted EPS are calculated based on net income attributable to owners of the parent.

The Company conducted a share split at a ratio of two-for-one effective June 28, 2019. Per share information has been retroactively adjusted to reflect the impact of the share split.

NAV & LTV

(Trillions of yen)	FY2023				FY2024			
	June 30	September 30	December 31	March 31	June 30	September 30	December 31	March 31
Equity value of holdings (asset-backed finance adjusted)	16.9	18.4	21.7	30.3	38.3	33.1	33.7	31.4
Arm	3.7	4.3	6.9	14.4	21.0	16.5	15.4	12.9
SVF1	3.0	3.3	3.2	3.4	3.9	3.7	3.9	3.7
SVF2	4.0	3.9	4.1	4.4	4.3	4.0	4.5	4.8
LatAm Funds	0.9	0.9	0.9	1.0	1.0	0.9	1.0	1.0
SoftBank Corp.	2.4	2.7	2.8	3.2	3.2	3.1	3.3	3.2
T-Mobile	1.2	1.3	1.6	1.8	2.4	2.5	3.0	3.4
Deutsche Telekom	0.2	0.2	0.3	0.3	0.4	0.4	0.4	0.4
Alibaba	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Others	1.4	1.7	1.8	1.9	2.0	2.1	2.1	2.1
Net interest-bearing debt (asset-backed finance adjusted)	1.4	1.9	2.5	2.6	3.0	4.1	4.3	5.7
Consolidated net interest-bearing debt	14.7	14.7	14.8	14.9	15.6	15.4	14.6	14.4
Net interest-bearing debt at self-financing entities, etc.	5.8	4.7	4.7	4.5	5.1	5.2	5.0	4.9
Other adjustments	7.6	8.0	7.5	7.8	7.5	6.1	5.3	3.9
NAV	15.5	16.4	19.2	27.8	35.3	29.0	29.3	25.7
(Yen)								
NAV per share	10,616	11,196	13,119	18,961	24,068	20,049	20,355	17,892
(%)								
LTV	8.0	10.6	11.5	8.4	7.8	12.5	12.9	18.0
(Reference)								
Share price (yen)	6,773	6,335	6,293	8,962	10,390	8,427	9,185	7,479
Total number of shares issued (excluding treasury stock) (thousands)	1,464,039	1,465,716	1,465,796	1,465,925	1,465,972	1,447,063	1,441,123	1,437,596
USD/JPY	144.99	149.58	141.83	151.41	161.07	142.73	158.18	149.52

Note: For the details of NAV and LTV, see pages 22–24.

Management's Discussion and Analysis of Results of Operations, Financial Position, and Cash Flows

As of June 26, 2025

Results of Operations

1. Results highlights

■ ¥3,701.1 billion investment gain (¥559.4 billion loss for fiscal 2023)

- ¥3,413.8 billion investment gain at Investment Business of Holding Companies
 - Investment gains of ¥1,875.9 billion on Alibaba shares, ¥1,352.2 billion*¹ on T-Mobile shares, and ¥434.2 billion on Deutsche Telekom shares were recorded. Of this, investment gains on Alibaba shares and Deutsche Telekom shares were offset by a derivative loss of ¥2,018.4 billion. This derivative loss, recorded separately under derivative loss (excluding gain (loss) on investments), resulted from prepaid forward contracts using Alibaba shares and collar transactions using Deutsche Telekom shares.
- ¥387.6 billion investment gain at SoftBank Vision Funds (excluding gains associated with SVF's investments in the Company's subsidiaries)
 - The fair values of a portion of investments, including ByteDance and Coupang, increased.
 - Since inception, gross performance has been a gain of \$23.4 billion for SVF1 and a loss of \$22.9 billion for SVF2.*²

Note: Changes in the fair value of shares of consolidated subsidiaries, including Arm and SoftBank Corp., are not recorded in the Company's consolidated statement of profit or loss.

■ ¥1,704.7 billion income before income tax (increase of ¥1,646.9 billion YoY) reflecting the recordings of:

- Selling, general and administrative expenses of ¥3,024.4 billion
- Finance cost of ¥581.6 billion
- Derivative losses (excluding gain (loss) on investments) of ¥2,034.0 billion. This arose from losses relating to prepaid forward contracts using Alibaba shares and collar transactions using Deutsche Telekom shares, following increases in the share prices of both companies. These losses offset the investment gains on Alibaba and Deutsche Telekom shares as noted above.
- Increase in third-party interests in SVF of ¥491.9 billion. This was mainly due to an investment gain of ¥1,023.0 billion at SVF1 (on a SVF1 stand-alone basis), where the proportion of third-party interests is significant, resulting in an increase in third-party interests of ¥402.8 billion (attributable to investors entitled to performance-based distribution).

■ ¥1,153.3 billion net income attributable to owners of the parent (improvement of ¥1,381.0 billion YoY) reflecting the recordings of:

- Income taxes of ¥101.6 billion
- Net income attributable to non-controlling interests of ¥449.8 billion

2. Ramping up investments for growth

- Announced Stargate Project for the development of new AI infrastructure for OpenAI, a U.S.-based artificial intelligence (AI) research and development company.
- Committed to making follow-on investments of up to \$40.0 billion in OpenAI Global. SBG's effective investment amount is expected to be up to \$30.0 billion after deducting a planned \$10.0 billion syndication to co-investors. On April 15, 2025, following the fiscal year-end, the first closing of the investment was completed, and OpenAI Global received funding for \$10.0 billion. Of this amount, \$1.5 billion was syndicated to co-investors and the remaining \$8.5 billion was funded by SVF2.
- Decided to acquire all equity interests of U.S.-based semiconductor designer Ampere for \$6.5 billion, making it a wholly owned subsidiary. The transaction is expected to close in the latter half of fiscal 2025.
- Acquired U.K.-based company Graphcore, a designer and developer of semiconductor chips specialized for AI and machine learning, also converting it to a subsidiary.
- Invested in Wayve Technologies,*³ a U.K. company developing AI-based autonomous driving platforms through data-driven learning.
- Acquired additional interests in equity method associate SBE Global, which constructs and operates solar power plants in the U.S., converting it to a subsidiary.
- SVF made total investments of \$3.79 billion,*⁴ primarily in the Enterprise and Frontier Tech sectors, net of investments transferred from the Company to SVF and follow-on investments in the Company's subsidiaries that were eliminated in consolidation.

3. Bond refinancing & issuance, and loan financing

■ Domestic straight bonds (SBG)

SBG issued domestic straight bonds of ¥100.0 billion to the wholesale market in April 2024 and ¥550.0 billion and ¥350.0 billion to the retail market in June and December 2024. Meanwhile, SBG redeemed domestic straight bonds of ¥450.0 billion upon maturity in June 2024. In May 2025, following the fiscal year-end, SBG issued domestic straight bonds of ¥600.0 billion for the retail market.

■ Foreign currency-denominated senior notes (SBG)

In July 2024, SBG issued U.S. dollar-denominated senior notes of \$900 million and euro-denominated senior notes of 900 million euros. In the same month, SBG redeemed U.S. dollar-denominated senior notes of \$767 million prior to maturity and euro-denominated senior notes of 638 million euros upon maturity. In January 2025, SBG redeemed U.S. dollar-denominated senior notes of \$449 million upon maturity.

■ Syndicate loans (SBG and its wholly owned subsidiaries)

– Senior loan

The Company borrowed \$2.9 billion through a term loan in September 2024. After the fiscal year-end, in April 2025, the Company secured a bridge loan of \$8.5 billion to fund its portion of the follow-on investments in OpenAI Global (first closing), after deducting the portion syndicated to co-investors. In addition, the Company arranged a bridge loan of \$6.5 billion for the acquisition of all equity interests in Ampere.

– Commitment line

The Company renewed its commitment line agreement in September 2024. After the renewal, the drawdown limits are \$5,465 million for the U.S. dollar-denominated tranche and ¥35.6 billion for the yen-denominated tranche. As of the fiscal year-end, the entire amount had been drawn.

– Hybrid loan

In November 2024, the Company secured a hybrid loan of ¥135.0 billion and completed the refinancing of ¥84.0 billion on a hybrid loan, which reached its first voluntary prepayment date in the same month.

– Margin loan using Arm shares

In December 2024, the Company revised the margin loan using Arm shares, including an increase in the borrowing limit from \$8.5 billion to \$13.5 billion and other changes to the terms. As of the fiscal year-end, the incremental \$5.0 billion remained fully undrawn.

– Margin loan using SoftBank Corp. shares

In February 2025, the Company completed a refinancing of the margin loan using SoftBank Corp. shares, increasing the loan amount from ¥500.0 billion to ¥800.0 billion.

4. Shareholder returns

– Share repurchase

Under the share repurchase program of up to ¥500.0 billion authorized by the Board of Directors in August 2024, SBG purchased a cumulative total of ¥237.0 billion by the fiscal year-end and ¥286.2 billion by the end of April 2025.

– Dividend

The Board of Directors resolved to propose a year-end dividend of ¥22 per share at the Annual General Meeting of Shareholders to be held on June 27, 2025. The annual dividend for fiscal 2024, including the interim dividend, will be ¥44 per share, the same as fiscal 2023. This will bring the total dividend payout for fiscal 2024 to ¥63.5 billion.

Notes: Abbreviations for Management's Discussion and Analysis of Results of Operations, Financial Position, and Cash Flows

The fiscal year / Fiscal 2024: Twelve-month period ended March 31, 2025

The first quarter: Three-month period ended June 30, 2024

The second quarter: Three-month period ended September 30, 2024

The third quarter: Three-month period ended December 31, 2024

The fourth quarter: Three-month period ended March 31, 2025

The previous fiscal year / Fiscal 2023: Twelve-month period ended March 31, 2024

The fiscal year-end: March 31, 2025

The previous fiscal year-end: March 31, 2024

*1 Includes derivative gains and losses on investments and effects of foreign exchange translation

*2 Gross amounts before deductions, such as third-party interests and taxes

*3 Investment in Wayve Technologies Ltd. ("Wayve") was transferred to SVF2 during the fourth quarter, as part of the reorganization of the investment portfolio of SBG and its key investment subsidiaries. For details, see "SoftBank Vision Funds Segment" on page 91.

*4 The amounts recorded in the consolidated statement of cash flows

Payment of Third Installment of Consideration for Intragroup Transaction of Arm Shares

In February 2025, the Company made the third installment payment of \$4.1 billion as part of the total consideration for the acquisition of Arm's ordinary shares. This acquisition took place in August 2023, prior to Arm's initial public offering in September 2023, when the Company's wholly owned subsidiary purchased the ordinary shares of Arm held by SVF1 (equivalent to 24.99% of Arm's outstanding shares) for \$16.1 billion (the "Transaction Consideration"). The Transaction Consideration is being paid in four installments. The first installment of \$4.1 billion was paid upon transaction completion in August 2023, followed by the second installment of \$4.1 billion in August 2024. These installment payments have

no impact on the consolidated financial statements, as they are settlements of claims and obligations related to the consideration for transfer of shares of the Company's subsidiary within the Group.

Timing and amount of installments of the Transaction Consideration

	1st - Paid	2nd - Paid	3rd - Paid	4th - Scheduled
Timing	August 2023	August 2024	February 2025	August 2025
Amount	\$4.1 billion	\$4.1 billion	\$4.1 billion	\$3.8 billion

Centralization of Robotics-Related Investments Under an Intermediate Holding Company

On January 23, 2025, the Board of Directors resolved to establish an intermediate holding company ("Robo HD") to centralize its robotics-related investments, which had previously been dispersed across multiple entities within the Group. This initiative aims to enhance value creation by fostering synergies through centralized management.

During the fourth quarter, 10 portfolio companies*¹ held by the Company were transferred to Robo HD via either in-kind contributions or sales. Additionally, six portfolio companies*² held by SVF2 were transferred to Robo HD via in-kind contributions. The Company and SVF2 also made cash contributions to fund committed investments and related obligations.

In addition, the transfers of SoftBank Robotics Group Corp. and Balyo SA held by the Company, as well as AutoStore Holdings Ltd. ("AutoStore") held by SVF2, are expected to

be completed in fiscal 2025. Upon completion of all planned transfers, the Company expects to hold a majority interest in Robo HD, with the remaining interest held by SVF2.

The transfer values of these investments from the Company and SVF2 to Robo HD are based on their fair value as of the respective transfer dates and will be finalized based on a valuation assessment provided by an independent external organization following the completion of all transfers. Provisional values have been applied for the investments transferred during the fourth quarter.

These transfers and cash contributions are intragroup transactions and have therefore been eliminated in consolidation.

*1 Includes Berkshire Grey, Inc., Stack AV Co., among others

*2 Includes 1X Holdings, Inc., Agile Robots SE, Skild AI, Inc., Terabase Energy, Inc., among others

Follow-on Investments in OpenAI

On March 31, 2025, SBG entered into a definitive agreement with OpenAI Global, LLC (“OpenAI Global”) and its affiliates (collectively, “OpenAI”), a U.S.-based artificial intelligence (AI) research and development company, to make follow-on investments of up to \$40.0 billion (the “Transaction” in this section). SBG is planning to syndicate out \$10.0 billion of the up to \$40.0 billion investment to co-investors. Accordingly, SBG’s effective investment amount is expected to be up to \$30.0 billion.

On April 15, 2025, following the fiscal year-end, the first closing of the investment in OpenAI Global was completed, and OpenAI Global received funding for \$10.0 billion out of a maximum planned investment of \$40.0 billion. Of this amount, \$1.5 billion was

syndicated to co-investors on the same date, and the remaining \$8.5 billion was funded by SVF2. Subsequently, additional syndication to co-investors was executed, and SVF2’s investment amount was reduced from \$8.5 billion to \$7.5 billion.

To fund the investment in the first closing, in April 2025, the Company borrowed \$8.5 billion from Mizuho Bank, Ltd. and other financial institutions, and lent the same amount to SVF2. In connection with the additional syndication, in May 2025, the Company received \$1.0 billion from SVF2 as partial repayment of the loan principal and accrued interest.

For details, see “(2) Investment in OpenAI” in “48. Additional information” in “Notes to Consolidated Financial Statements” in “Financial Report 2025.”

Acquisition of Ampere (Conversion to Wholly Owned Subsidiary)

On March 19, 2025, SBG entered into an agreement with Ampere Computing Holdings LLC (“Ampere”), a U.S.-based semiconductor design company focused on high-performance, energy-efficient, sustainable AI compute based on the Arm compute platform, and certain of its equity holders, to acquire all of the equity interests of Ampere for \$6.5 billion through one of its wholly owned U.S. subsidiaries (the “Transaction” in this section).

The Transaction has been approved by SBG’s Board of Directors but remains subject to customary regulatory approvals including U.S. antitrust clearance and approval by the

Committee on Foreign Investment in the U.S., as well as the satisfaction or waiver of other closing conditions, such as compliance in all material respects with covenants, failure of a material adverse effect on Ampere to occur, and certain employment-related matters.

The Company expects the closing of the Transaction to occur in the latter half of fiscal 2025. As a result of the Transaction, Ampere will become a wholly owned subsidiary of SBG.

For details, see “(1) Acquisition of Ampere Computing Holdings LLC” in “48. Additional information” in “Notes to Consolidated Financial Statements” in “Financial Report 2025.”

Overall results for fiscal 2024

	Fiscal 2023	Fiscal 2024	Change	Change %
(Millions of yen)				
Net sales	6,756,500	7,243,752	487,252	7.2%
Gross profit	3,542,392	3,754,203	211,811	6.0%
Gain on investments				
Gain (loss) on investments at Investment Business of Holding Companies	(459,045)	3,413,821	3,872,866	—
Gain (loss) on investments at SoftBank Vision Funds	(167,290)	387,584	554,874	—
Gain (loss) on other investments	66,985	(100,298)	(167,283)	—
Total gain (loss) on investments	(559,350)	3,701,107	4,260,457	—
Selling, general and administrative expenses	(2,982,383)	(3,024,409)	(42,026)	1.4%
Finance cost	(556,004)	(581,559)	(25,555)	4.6%
Foreign exchange gain (loss)	(703,122)	27,055	730,177	—
Derivative gain (loss) (excluding gain (loss) on investments)	1,502,326	(2,034,029)	(3,536,355)	—
Change in third-party interests in SVF	(390,137)	(491,898)	(101,761)	26.1%
Other gain	204,079	354,251	150,172	73.6%
Income before income tax	57,801	1,704,721	1,646,920	—
Income taxes	151,416	(101,613)	(253,029)	—
Net income	209,217	1,603,108	1,393,891	666.2%
Net income attributable to non-controlling interests	436,863	449,776	12,913	3.0%
Net income attributable to owners of the parent	(227,646)	1,153,332	1,380,978	—
Total comprehensive income	2,241,441	1,082,348	(1,159,093)	(51.7%)
Comprehensive income attributable to owners of the parent	1,809,984	666,237	(1,143,747)	(63.2%)

1. Net Sales

Net sales increased ¥487,252 million (7.2%) year on year to ¥7,243,752 million. Net sales increased in the SoftBank segment and the Arm segment. For details, see “SoftBank Segment” on page 97 and “Arm Segment” on page 98.

2. Gain on investments

Total gain on investments was ¥3,701,107 million.

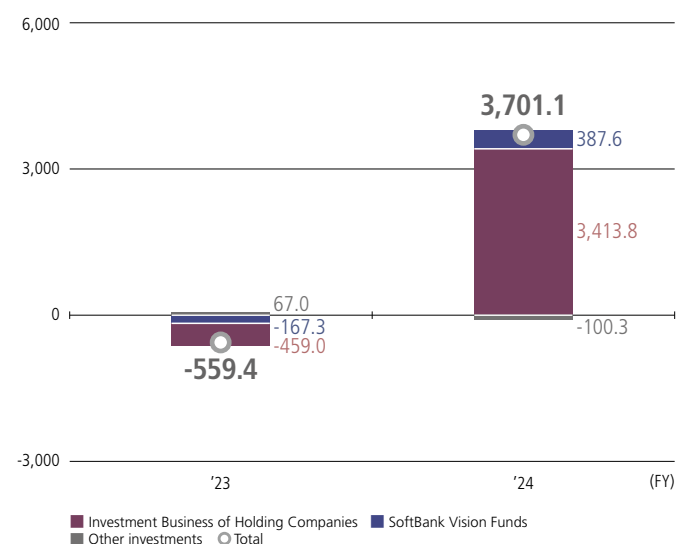
Investment gain of ¥3,413,821 million was recorded at Investment Business of Holding Companies. This primarily included investment gains of ¥1,875,908 million on Alibaba shares, ¥1,352,177 million on T-Mobile shares (including derivative gains and losses on investments and effects of foreign exchange translation), and ¥434,224 million on Deutsche Telekom shares. For details, see “Investment Business of Holding Companies Segment” on page 88.

Investment gain of ¥387,584 million was recorded at SoftBank Vision Funds. This comprised a gain of ¥940,483 million at SVF1, a loss of ¥526,496 million at SVF2, a gain of ¥8,110 million at LatAm Funds, and a loss of ¥34,513 million on other investments.

The investment gain at SVF1 was primarily attributable to unrealized valuation gains (net) totaling ¥889,312 million for investments held at the fiscal year-end. Of this, an unrealized gain (net) totaling ¥580,211 million was recorded for public portfolio companies, mainly driven by increases in the share prices of Coupang, Inc. (“Coupang”) and DiDi Global Inc. (“DiDi”). For private portfolio companies, an unrealized gain (net) totaling ¥309,101 million was recorded, mainly led by an increase in the fair value of ByteDance Ltd. (“ByteDance”), which saw a valuation rise due to higher share prices of market comparable companies and its strong business performance.

Gain (loss) on investments

(Billions of yen)



The investment loss at SVF2 was mainly due to unrealized valuation losses (net) totaling ¥539,320 million for investments held at the fiscal year-end. This was largely due to declines in the share prices of public portfolio companies, such as AutoStore and Symbotic Inc., as well as decreases in the fair values of private portfolio companies, mainly reflecting weaker business performances and lower share prices of market comparable companies. For details, see “SoftBank Vision Funds Segment” on page 91.

3. Income before income tax

Income before income tax increased by ¥1,646,920 million year on year to ¥1,704,721 million. Major changes other than gain (loss) on investments are as follows.

Selling, general and administrative expenses increased by ¥42,026 million year on year to ¥3,024,409 million. Selling, general and administrative expenses increased by ¥119,701 million year on year to ¥2,174,555 million in the SoftBank segment and by ¥43,463 million year on year to ¥536,898 million in the Arm segment. The increase in the SoftBank segment was primarily driven by higher sales-related costs, reflecting intensified efforts to acquire smartphone contracts and promote continued use of commerce services by existing customers. The increase in the Arm segment was primarily driven by higher personnel expenses, including share-based compensation, due to the growth in the number of engineers and other employees, mainly to enhance its R&D capabilities.

Finance cost increased by ¥25,555 million year on year to ¥581,559 million. Interest expenses at SBG* increased by ¥40,744 million year on year to ¥443,765 million. The increase at SBG was primarily driven by higher interest payments on domestic bonds, following an increase in the outstanding balance as well as \$2.9 billion newly borrowed through term loans in September 2024. Additionally, in July 2024, SBE Global became a subsidiary of the Company, resulting in the inclusion of ¥16,008 million in interest expenses associated with the subsidiary. In contrast, interest expenses at SoftBank Vision Funds decreased by ¥35,691 million year on year to ¥32,713 million due to a significant reduction in borrowings.

Foreign exchange gain of ¥27,055 million (net), which improved by ¥730,177 million year on year, was recorded due to the yen's appreciation in exchange rates used for translation at the fiscal year-end compared to the previous fiscal year-end. This was primarily because SBG and the domestic subsidiaries used for fund procurement held U.S. dollar-denominated liabilities, such as borrowings from subsidiaries and foreign currency-denominated senior notes, that exceeded their U.S. dollar-denominated cash and cash equivalents and loans receivable.

For SoftBank Vision Funds and other foreign subsidiaries and associates, whose functional currency is primarily U.S. dollars, the yen-translated value of net assets decreased due to the yen's appreciation in the exchange rates used for translation at the fiscal year-end compared to the previous fiscal year-end. However, this negative impact is not recognized as foreign exchange gains and losses; instead, it is reflected in the ¥521,272 million decrease in exchange differences from the translation of foreign operations, recorded under accumulated other comprehensive income in equity in the consolidated statement of financial position.

Derivative gain (loss) (excluding gain (loss) on investments) deteriorated by ¥3,536,355 million year on year to a loss of ¥2,034,029 million. Derivative losses were recorded: ¥1,698,697 million for prepaid forward contracts and associated contracts using Alibaba shares, and ¥319,735 million for collar transactions using Deutsche Telekom shares.

Change in third-party interests in SVF represents the gains and losses attributable to third-party investors, which are calculated based on the gains and losses on investments at SoftBank Vision Funds, net of management fees, performance-linked management fees, and performance fees payable to the fund managers (which are wholly owned subsidiaries of the Company) and operating and other expenses of SoftBank Vision Funds. In the consolidated statement of profit or loss, gains on investments at SoftBank Vision Funds typically lead to an increase in third-party interests (attributable to investors entitled to performance-based distributions), which negatively impacts profit. Conversely, losses on investments reduce third-party interests (attributable to investors entitled to performance-based distributions), thereby positively impacting profit. In addition, regardless of the investment gains or losses at SoftBank Vision Funds, increases in amounts attributable to investors entitled to fixed distributions are recorded as contributions to loss. This is based on the outstanding capital of preferred equity contributions from third-party investors.

In fiscal 2024, third-party interests in SVF increased by ¥491,898 million, relative to a gain on investments at SoftBank Vision Funds of ¥387,584 million. This was primarily due to the recording of an investment gain of ¥1,022,971 million at SVF1 (on an SVF1 stand-alone basis), where the proportion of third-party interests is substantial. This resulted in a ¥402,783 million increase in third-party interests attributable to investors entitled to performance-based distributions. In addition, a ¥98,201 million increase in amounts attributable to investors entitled to fixed distributions also contributed to the overall increase.

Other gain increased by ¥150,172 million year on year to ¥354,251 million. A gain of ¥93,139 million was recorded due to the loss of control over Fortress, after SBG sold all its

interests in Fortress, held through a subsidiary, to a subsidiary of Mubadala Investment Company PJSC in May 2024. In July 2024, SBG acquired additional interests in its equity method associate SBE Global, converting it into a subsidiary. As a result of measuring SBG's existing interests in SBE Global at fair value, the Company recorded a ¥55,553 million gain arising from the remeasurement relating to business combination. For a further breakdown, see "41. Other gain (loss)" in "Notes to Consolidated Financial Statements" in "Financial Report 2025."

4. Net income attributable to owners of the parent

Net income attributable to owners of the parent was ¥1,153,332 million, an improvement of ¥1,380,978 million year on year.

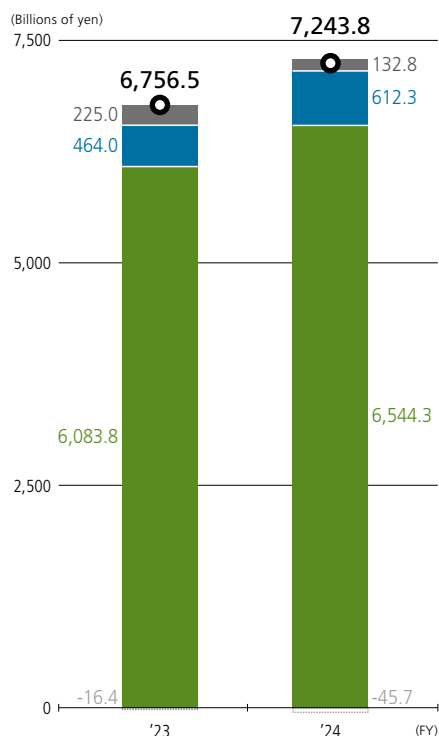
Income taxes increased by ¥253,029 million year on year to ¥101,613 million. This was the result of recording current income tax expense of ¥645,668 million and recognizing deferred tax benefit of ¥544,055 million. Current income tax expense consisted of ¥295,679 million recorded by SBG primarily in connection with the physical settlement of prepaid forward contracts using Alibaba shares, and ¥269,357 million recorded by operating companies such as SoftBank Corp. The deferred tax benefit mainly reflected the reversal of deferred tax liabilities that had been recognized at the end of fiscal 2023 on Alibaba shares and related derivatives, following the physical settlement of prepaid forward contracts.

While the top-up tax was estimated in accordance with the Income Inclusion Rule of the Global Minimum Tax, which was applied from fiscal 2024, SBG did not record any tax expenses.

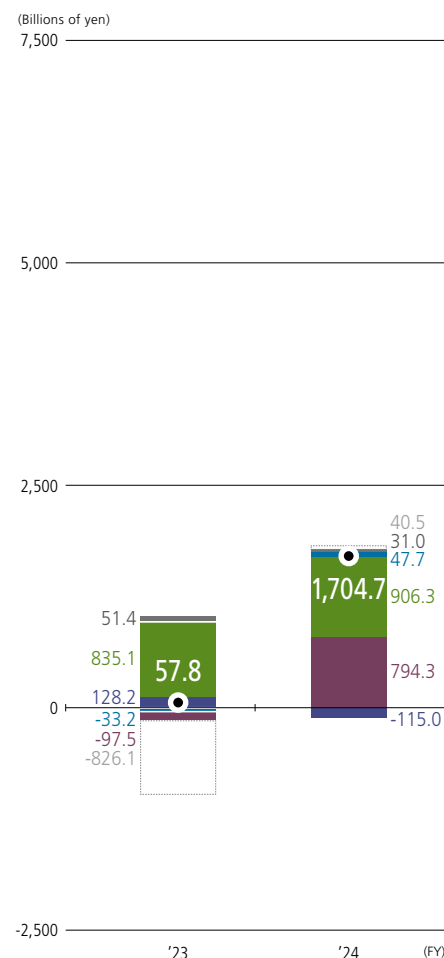
* Interest expenses of SBG include interest expenses of its wholly owned subsidiaries conducting fund procurement.

Summary of Segment Information

Net sales



Segment income (income before income tax)



■ Investment Business of Holding Companies*¹ ■ SoftBank Vision Funds*¹ ■ SoftBank ■ Arm
 ■ Other**² □ Reconciliations ○ Consolidated

*¹ Net sales are not recorded for this segment as it is not engaged in the sale of goods and services.

*² Includes the business results of SBE Global, LP and Fukuoka SoftBank HAWKS Corp., among others

Overview of reportable segments

Segments	Main businesses	Core companies
Investment Business of Holding Companies	Investment activities by SBG and its subsidiaries	- SoftBank Group Corp. - SoftBank Group Capital Limited - SoftBank Group Japan Corporation - SoftBank Group Overseas GK - SB Northstar LP
SoftBank Vision Funds	Investment activities by SVF1, SVF2, and LatAm Funds	- SB Investment Advisers (UK) Limited - SoftBank Vision Fund L.P. - SB Global Advisers Limited - SoftBank Vision Fund II-2 L.P. - SBLA Latin America Fund LLC
SoftBank	- Consumer business: Provision of mobile services, sale of mobile devices, and provision of broadband services to retail customers in Japan - Enterprise business: Provision of mobile communications and solutions services to enterprise customers in Japan - Distribution business: Provision of ICT (Information and Communication Technology) services products to enterprise customers and provision of communication device-related products and IoT (Internet of Things) equipment to retail customers - Media & EC (e-commerce) business: Provision of media-related services, advertising, and commerce-related services - Financial business: Provision of payment and financial services	- SoftBank Corp. - LY Corporation - PayPay Corporation
Arm	- Design of semiconductor intellectual property and related technology - Sale of software tools and provision of related services	Arm Holdings plc
Other*	- Solar power plant construction and operation - Fukuoka SoftBank HAWKS-related businesses	- SBE Global, LP - Fukuoka SoftBank HAWKS Corp.

* On May 14, 2024, SBG sold all interests in Fortress, held through its subsidiary, to a subsidiary of Mubadala Investment Company PJSC. Following the completion of the transaction, Fortress ceased to be a subsidiary of SBG.

Investment Business of Holding Companies Segment

1. Investment gain of ¥3,413.8 billion was recorded at Investment Business of Holding Companies, reflecting gains of ¥1,875.9 billion on Alibaba shares, ¥1,352.2 billion*¹ on T-Mobile shares, and ¥434.2 billion on Deutsche Telekom shares.
2. Segment income amounted to ¥794.3 billion after recording derivative losses of ¥1,698.7 billion related to prepaid forward contracts using Alibaba shares and ¥319.7 billion related to collar transactions using Deutsche Telekom shares, as well as finance cost of ¥531.3 billion.

*1 Includes derivative gains and losses on investments and effects of foreign exchange translation

Overview

This segment is led by SBG, which conducts investment activities either directly or through its subsidiaries, acting as a strategic investment holding company. The segment comprises SBG, SoftBank Group Capital Limited, SoftBank Group Japan Corporation, SoftBank Group Overseas GK, SB Northstar (the asset management subsidiary), and certain other subsidiaries engaged in investment and financing activities. Gains and losses on investments at Investment Business of Holding Companies encompass gains and losses on investments held by SBG either directly or through its subsidiaries, excluding gains and losses on investments pertaining to subsidiaries' shares, such as dividend income from subsidiaries or impairment losses related to subsidiaries' shares.

This segment holds investments in portfolio companies, such as Alibaba, T-Mobile, and Deutsche Telekom, most of which are classified as financial assets at fair value through profit or loss (FVTPL). Investments classified as financial assets at FVTPL are measured at fair value every quarter, with any change in fair value recorded in the consolidated statement of profit or loss as gains and losses on investments.

Investment in listed stocks, corporate bonds, and other instruments by the asset management subsidiary

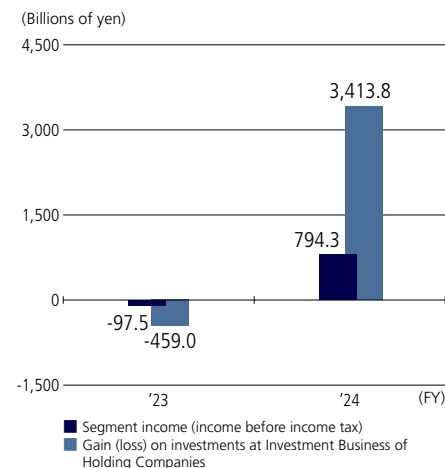
SB Northstar engages in the acquisition and sale of listed stocks, corporate bonds (primarily those of investment grades with short time to maturity), and other instruments, utilizing the surplus funds of SBG. Investment loss for fiscal 2024 (including interest received from bond investments) at the asset management subsidiary amounted to ¥14.4 billion, bringing the cumulative investment loss since inception to ¥965.5 billion.*² The balance of investments at the fiscal year-end stood at ¥1,134.8 billion, including ¥819.5 billion in corporate bonds.

SBG indirectly holds a 67% stake in SB Northstar, while SBG's Representative Director, Corporate Officer, Chairman & CEO Masayoshi Son indirectly holds a 33% interest. The portion

corresponding to Masayoshi Son's interest is deducted from the gains and losses on investments at SB Northstar as a non-controlling interest; therefore, 67% of the gains and losses on investments impact net income attributable to owners of the parent. In the event that, at the end of the fund life (12 years + 2-year extension), SB Northstar has any unfunded repayment obligations to SBG, Masayoshi Son will cover his pro rata share of any such unfunded obligations based on his relative ownership percentage in SB Northstar.

*2 The cumulative investment loss includes dividend income and interest received from bond investments, but excludes the impact of SB Northstar's investments in three special purpose acquisition companies controlled by SB Investment Advisers (US) Inc.

Segment income (income before income tax) / Gain (loss) on investments at Investment Business of Holding Companies



Financial results

	(Millions of yen)			
	Fiscal 2023	Fiscal 2024	Change	Change %
Gain (loss) on investments at Investment Business of Holding Companies	(459,045)	3,413,821	3,872,866	– A
Realized loss on investments at asset management subsidiaries	(90,360)	(39,323)	51,037	–
Unrealized gain (loss) on valuation of investments at asset management subsidiaries	12,692	(10,888)	(23,580)	–
Realized gain (loss) on investments* ¹	(38,429)	537,805	576,234	–
Unrealized gain (loss) on valuation of investments	(611,627)	3,134,253	3,745,880	–
Change in valuation for the fiscal year	(647,414)	2,379,508	3,026,922	–
Reclassified to realized gain recorded in the past fiscal years* ¹	35,787	754,745	718,958	–
Derivative gain (loss) on investments	226,050	(297,653)	(523,703)	–
Effect of foreign exchange translation* ²	6,532	(1,963)	(8,495)	–
Other	36,097	91,590	55,493	153.7%
Selling, general and administrative expenses	(89,285)	(131,856)	(42,571)	47.7%
Finance cost	(473,811)	(531,252)	(57,441)	12.1% B
Foreign exchange gain (loss)	(703,438)	19,257	722,695	–
Derivative gain (loss) (excluding gain (loss) on investments)				
<i>Mainly due to prepaid forward contracts using Alibaba shares</i>	1,500,015	(2,041,830)	(3,541,845)	–
Other gain	128,038	66,111	(61,927)	(48.4%)
Segment income (income before income tax)	(97,526)	794,251	891,777	–

*1 Unrealized gains and losses on valuation of investments recorded in previous fiscal years related to the investments realized in fiscal 2024 are reclassified to "Realized gain (loss) on investments."

*2 Unrealized gains and losses on valuation of investments are translated using the average exchange rate for the quarter in which the gains and losses were incurred, while realized gains and losses on investments are translated using the average exchange rate for the quarter in which the shares were disposed. "Effect of foreign exchange translation" is the amount that arose due to the use of different foreign currency exchange rates for these unrealized and realized gains and losses.

A Gain on investments at Investment Business of Holding Companies: ¥3,413,821 million

- On June 7, 2024, the Company sold 6.7 million T-Mobile shares for \$670 million in conjunction with the exercise of a portion of the call options on T-Mobile shares granted to Deutsche Telekom. As a result, in relation to T-Mobile shares, for fiscal 2024, the Company recorded a realized gain of ¥78,277 million on investment, an unrealized loss of ¥50,043 million on the valuation of investment (the amount reclassified to realized gain from the amounts recorded in the past fiscal years), a derivative loss of ¥17,753 million on investment, and a loss of ¥11,066 million as an effect of foreign exchange translation. The remaining unexercised portion of the call options expired on June 22, 2024.
- Realized gain of ¥280,516 million and unrealized valuation gain of ¥900,335 million (the amount reclassified to realized loss from the amounts recorded in the past fiscal years) were recorded due to the physical settlement of a portion of the prepaid forward contracts using Alibaba shares.
- Unrealized gain of ¥3,134,253 million was recorded on the valuation of investments. Of this, ¥2,379,508 million was recorded as changes in valuation for fiscal 2024, primarily consisting of gains on investments still held at the fiscal year-end, including ¥1,346,194 million on T-Mobile shares, ¥695,057 million on Alibaba shares, and ¥398,793 million on Deutsche Telekom shares.
- Derivative loss of ¥297,653 million on investments was recorded, which primarily included a loss of ¥285,533 million related to option trading involving listed stocks.

B Finance cost: ¥531,252 million (increase of ¥57,441 million year on year)

- Interest expenses at SBG* to entities outside of the group increased by ¥40,744 million year on year to ¥443,765 million. This was primarily due to higher interest payments on domestic bonds following an increase in the outstanding balance, as well as \$2.9 billion newly borrowed term loans in September 2024.
- An amortized cost of ¥83,715 million was recognized for the unpaid portion of the consideration for the acquisition of Arm shares from SVF1 in August 2023. This amortized cost is eliminated in consolidation.

* Interest expenses of SBG include interest expenses of its wholly owned subsidiaries conducting fund procurement.

Impact of the asset management subsidiaries on the company's consolidated statement of financial position

	(Millions of yen)	
	March 31, 2025	
Cash and cash equivalents	1,328	
Investments from asset management subsidiaries	1,086,807	
including corporate bonds	819,499	
Securities pledged as collateral at asset management subsidiaries	47,947	
Derivative financial assets at asset management subsidiaries	9	
Other	9,303	
Total assets	1,145,394	
Interest-bearing debt	29,796	
Other financial liabilities	1,141	
Other	915	
Total liabilities	31,852	
Investments from the Delaware subsidiaries* ¹	1,971,699	
Equivalent amount of cash investments by SBG in the Delaware subsidiaries	39,786	
Equivalent amount of loans to Delaware subsidiaries held by SBG (the amount entrusted by SBG related to asset management)	1,912,020	
Equivalent amount of cash investments by Masayoshi Son in Delaware subsidiaries	19,893	A
Retained earnings	(1,014,555)	B
Exchange differences	156,398	
Equity	1,113,542	C

*1 Investments from the Company's subsidiaries, Delaware Project 1 L.L.C.; Delaware Project 2 L.L.C.; and Delaware Project 3 L.L.C. (the "Delaware subsidiaries"), to SB Northstar, the asset management subsidiary

(Calculation of non-controlling interests)

	(Millions of yen)	
Equivalent amount of cash investments by Masayoshi Son in Delaware subsidiaries	19,893	A
Cumulative loss attributable to non-controlling interests* ²	(338,085)	
Exchange differences on translating foreign operations	59,901	
Non-controlling interests (interests of Masayoshi Son)	(258,291)	D

*2 One-third of B in the above table

(Interests in equity (C above))

	(Millions of yen)	
Interests of SBG	1,371,833	
Non-controlling interests (interests of Masayoshi Son)	(258,291)	D
Equity	1,113,542	C

Main interest-bearing debt and lease liabilities in this segment

Borrower	Type	Balance as of March 31, 2025 in the consolidated statement of financial position
SBG	Borrowings	¥1,775.4 billion
	Corporate bonds	¥6,668.5 billion
	Lease liabilities	¥8.0 billion
	Commercial paper	¥141.5 billion
Wholly owned subsidiaries conducting fund procurement* ³	Borrowings using Arm shares (margin loan)	¥1,258.5 billion
	Prepaid forward contracts using Alibaba shares (forward contracts)	¥997.8 billion
	Borrowings using SoftBank Corp. shares (margin loan)	¥796.0 billion
	Collar transactions using Deutsche Telekom shares	¥409.4 billion

*³ Borrowings of wholly owned subsidiaries conducting fund procurement are nonrecourse to SBG.

SoftBank Vision Funds Segment

1. Since inception, SVF1 has had a gross gain of \$23.4 billion; SVF2 has had a gross loss of \$22.9 billion.*1

SVF1: \$113.0 billion in cumulative returns*2 on \$89.6 billion investments, with a \$23.4 billion gross gain

- Investment gain was \$6.7 billion (¥1,023.0 billion) for fiscal 2024.
- The fair value of investments held at the fourth quarter-end increased by 4.1% from the previous quarter-end.*3
 - Up 0.8% QoQ for public portfolio companies,*4 primarily due to share price increases in DiDi and Auto1, partially offset by declines in FirstCry and other investments
 - Up 6.6% QoQ for private portfolio companies,*4 mainly driven by a rise in the fair value of ByteDance, reflecting higher share prices of market comparable companies and its stronger business performance

SVF2: \$37.9 billion in cumulative returns on \$60.8 billion investments, with a \$22.9 billion gross loss

- Investment loss was \$3.6 billion (¥561.7 billion) for fiscal 2024.
- The fair value of investments held at the fourth quarter-end decreased by 2.7% from the previous quarter-end.
 - Down 21.7% QoQ for public portfolio companies, mainly due to share price declines in Swiggy and Ola Electric Mobility
 - Up 0.7% QoQ for private portfolio companies, largely due to higher valuations in certain investments based on their recent transactions, partially offset by declines in others, reflecting their weaker business performance and lower share prices of market comparable companies

2. Continued investment and monetization under a disciplined approach

- During fiscal 2024, SVF2 made investments totaling \$8.20 billion*7 in sectors such as Enterprise and Frontier Tech, including investments acquired from the Company.
- SVF1 and SVF2 sold investments for a total of \$5.35 billion*7 during fiscal 2024, including full exits from 24 portfolio companies such as DoorDash and SenseTime (including six investments transferred to Robo HD), and partial exits from several others.

(As of March 31, 2025; in billions of U.S. dollars)					
	Since Inception			Fiscal 2024*5	
	Investment cost*6	Returns*6	Gain/loss	Gain/loss Jan - Mar	Gain/loss YTD
SVF1					
Exited investments	45.4	67.3	21.9	(0.1)	(4.1)
Investments before exit	44.2	43.3	(0.9)	1.7	5.8
<i>Reversal of valuation gain/loss recorded in prior periods for exited investments in fiscal 2024</i>				0.2	5.0
Derivatives/Interests/Dividends	(0.0)	2.4	2.4	0.0	0.0
Total	89.6	113.0	23.4	1.8	6.7
				¥282.7 billion	¥1,023.0 billion
SVF2					
Exited investments	9.7	5.4	(4.3)	(0.3)	(4.6)
Investments before exit	50.8	32.3	(18.5)	(0.8)	(3.6)
<i>Reversal of valuation gain/loss recorded in prior periods for exited investments in fiscal 2024</i>				0.3	4.6
Derivatives/Interests/Dividends	0.3	0.2	(0.1)	0.1	(0.0)
Total	60.8	37.9	(22.9)	(0.7)	(3.6)
				¥(108.3) billion	¥(561.7) billion

Note: In June 2024, following WeWork's emergence from Chapter 11 of the U.S. Bankruptcy Code, the WeWork shares previously held by SVF1 and SVF2 were canceled. Additionally, a portion of the prepetition claims SVF2 held against WeWork was also canceled, while the remaining portion of these claims was converted into shares in the newly restructured WeWork. As a result, the investments in the old WeWork shares, warrants, and notes held by SVF1 and SVF2 were considered realized, and the unrealized investment losses of \$6.71 billion (SVF1: \$3.18 billion, SVF2: \$3.53 billion) recorded in past fiscal years were reclassified as realized losses.

*1 Cumulative gross gains and losses and proceeds from realized investments are before deducting third-party interests, taxes, and expenses. The same applies to the presentation of cumulative investment performance hereinafter.

*2 Exit price, etc., plus the fair value of investments held. The same applies hereinafter.

*3 Represents changes in U.S. dollar-based fair values, excluding those from investments or exits made during the fourth quarter. The classification of portfolio companies as public/private is based on their status as of the fourth quarter-end. For portfolio companies with a change in the classification of public/private during the fourth quarter, comparisons are made by adjusting their status at the third quarter-end to that of the fourth quarter-end. The same applies to the change in the fair value of investments held at the quarter-end in this section.

*4 Public portfolio companies are shares traded on stock exchanges or over-the-counter markets. Private portfolio companies are those that do not fall under the category of public portfolio companies. The same applies hereinafter.

*5 The amount of gains and losses for exited investments for fiscal 2024 represents the exit price, net of the investment cost of such investments. Unrealized valuation gains and losses of such investments, recorded in prior years or in or before the third quarter of fiscal 2024, are presented as a reversal of valuation gains and losses recorded in prior periods for exited investments in fiscal 2024. Therefore, the total amount of gains and losses for each quarter disclosed in or before the third quarter of fiscal 2024 and the gains and losses for the fourth quarter (January to March) for "Investments before exit" may not align with the amount of gains and losses for fiscal 2024 (YTD).

*6 For derivatives, the investment costs represent the costs of the derivatives. Investment returns represent the exit price for exited investments, the fair value for investments before exits, the settlement amount of settled contracts or the fair value of open contracts for derivatives, and the respective amounts received for interest or dividends.

*7 Includes acquisitions and disposals arising from share exchanges and portfolio company restructurings

Overview

Segment results mainly include the results of the investment and operational activities of SoftBank Vision Fund 1 (SVF1), SoftBank Vision Fund 2 (SVF2), and SoftBank Latin America Funds (LatAm Funds).

Financial results

	Fiscal 2023	Fiscal 2024	Change	Change %	
Gain on investments at SoftBank Vision Funds*1	724,341	434,903	(289,438)	(40.0%)	A
Gain on investments at SVF1, SVF2, and LatAm Funds	696,261	469,416	(226,845)	(32.6%)	
Realized gain (loss) on investments*2	984,409	(1,366,533)	(2,350,942)	–	
Unrealized gain (loss) on valuation of investments	(144,835)	1,552,687	1,697,522	–	
Change in valuation for the fiscal year	(189,604)	314,724	504,328	–	
Reclassified to realized gain (loss) recorded in the past fiscal years*2	44,769	1,237,963	1,193,194	–	
Interest and dividend income from investments	21,668	8,451	(13,217)	(61.0%)	
Derivative gain (loss) on investments	(7,337)	8,151	15,488	–	
Effect of foreign exchange translation	(157,644)	266,660	424,304	–	
Gain (loss) on other investments	28,080	(34,513)	(62,593)	–	
Selling, general and administrative expenses	(84,986)	(62,169)	22,817	(26.9%)	
Finance cost	(74,322)	(40,244)	34,078	(45.9%)	
Change in third-party interests in SVF	(390,137)	(491,898)	(101,761)	26.1%	B
Other gain (loss)	(46,717)	44,390	91,107	–	
Segment income (income before income tax)	128,179	(115,018)	(243,197)	–	

*1 Gains and losses on investments associated with the change in valuation of SoftBank Vision Funds' investments in shares in the Company's subsidiaries (mainly Arm and PayPay Corporation) are included in segment income of the SoftBank Vision Funds segment as gains and losses on investments at SoftBank Vision Funds but are eliminated in consolidation and not included in gains and losses on investments at SoftBank Vision Funds in the consolidated statement of profit or loss.

*2 Unrealized gains and losses on valuation of investments recorded in previous fiscal years related to the investments realized in fiscal 2024 are reclassified to "Realized gain (loss) on investments."

Investments and disposals by SVF1 and SVF2 in fiscal 2024

	Investments					Disposals*3				
	Q1	Q2	Q3	Q4	YTD	Q1	Q2	Q3	Q4	YTD
SVF1	–	–	–	–	–	0.81	0.96	0.75	0.71	3.23
SVF2	0.62	0.62	1.31	5.65	8.20	0.03	0.05	0.38	1.66	2.12
Total	0.62	0.62	1.31	5.65	8.20	0.84	1.01	1.13	2.37	5.35

Note: Investments include new and follow-ons but exclude derivatives, such as the stock acquisition rights for PayPay Corporation, which SVF2 acquired for \$280 million in the third quarter.

*3 After deducting transaction fees, etc.

Segment income

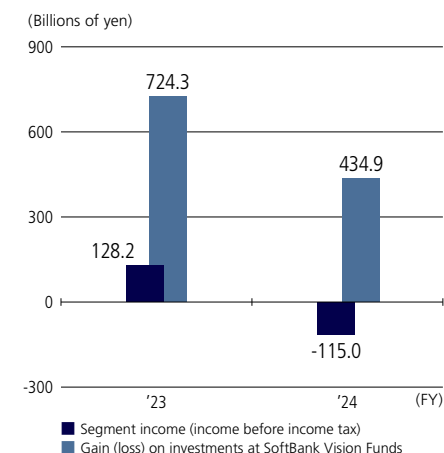
A Gain on investments at SoftBank Vision Funds: ¥434,903 million

	Fiscal 2023	Fiscal 2024	Change
Gain on investments at SVF1	768,891	1,022,971	254,080
Loss on investments at SVF2	(146,472)	(561,656)	(415,184)
Gain on investments at LatAm Funds	73,862	8,110	(65,752)
Gain (loss) on other investments, etc.	28,060	(34,522)	(62,582)
Gain on investments at SoftBank Vision Funds	724,341	434,903	(289,438)

B Change in third-party interests in SVF: ¥(491,898) million

This represents the gains and losses attributable to third-party investors, which are calculated based on the gains and losses on investments at each fund, net of (i) management and performance fees payable to SBIA from SVF1; (ii) management and performance-linked management fees payable to SBGA from SVF2; (iii) management fees, performance-linked management fees, and performance fees payable to SBGA from LatAm Funds; and (iv) operating and other expenses of SVF. For details, see "(2) Third-party interests in SVF" under "7. SoftBank Vision Funds business" in "Notes to Consolidated Financial Statements" in "Financial Report 2025."

Segment income (income before income tax) / Gain (loss) on investments at SoftBank Vision Funds



Outline of principal funds in the segment

As of March 31, 2025

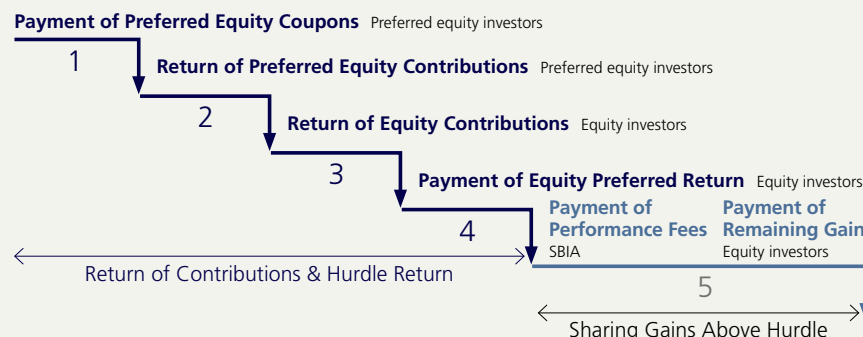
The funds aim to maximize returns from a medium- to long-term perspective through investments in high-growth-potential companies leveraging AI. SVF1's investment period has ended, and the remaining undrawn capital is reserved for fixed distributions and operating expenses.

	SVF1	SVF2	LatAm Funds
Primary limited partnership	SoftBank Vision Fund L.P.	SoftBank Vision Fund II-2 L.P.	SBLA Latin America Fund LLC
Total committed capital (Billions of U.S. dollars)	98.6 The Company: 33.1* ¹ Third-party investors: 65.5	65.8 The Company: 63.2 Third-party investor (MgmtCo): 2.6* ²	7.8 The Company: 7.4 Third-party investor (MgmtCo): 0.4* ²
Manager	SBIA (The Company's wholly owned U.K. subsidiary)	SBGA (The Company's wholly owned U.K. subsidiary)	
Investment period	Ended on September 12, 2019	To be determined by the manager	
Fund life	Until November 20, 2029 + up to two one-year extensions option by SBIA	Until October 4, 2032 + up to two one-year extensions option by SBGA	

*1 The Company's committed capital to SVF1 includes approximately \$8.2 billion of an obligation that was satisfied by using Arm shares (all said shares have been contributed) and \$2.5 billion to be used for an incentive scheme related to SVF1.

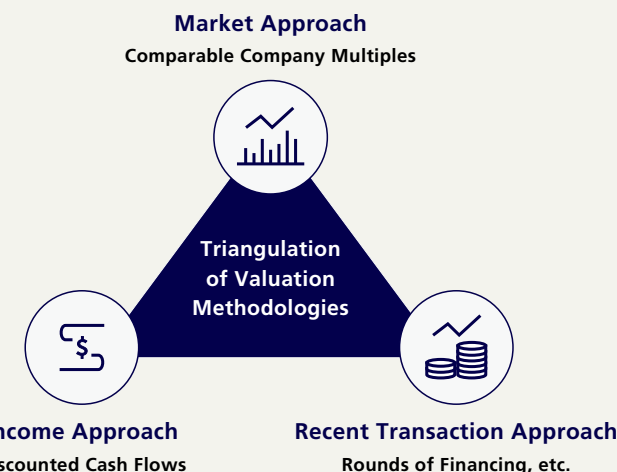
*2 A co-investment program has been introduced for SVF2 and LatAm Funds for the Company's management. MgmtCo, an investment entity for the co-investment program, participates in the two funds. The interest attributable to MgmtCo is treated as a third-party interest in the Company's consolidated financial statements. For details, see "a. Co-investment program with restricted rights to receive distributions" in "(1) Related party transactions and balances" under "45. Related party transactions" in "Notes to Consolidated Financial Statements" in "Financial Report 2025."

SVF1 distribution waterfall



Fair value measurement of investments

SVF1, SVF2, and LatAm Funds calculate the fair value of their investments at each quarter-end in accordance with IFRS 13 "Fair Value Measurement" and based on the SBIA Global Valuation Policy and the International Private Equity and Venture Capital Valuation Guidelines (IPEV Guidelines). For public portfolio companies, fair values of portfolio companies that are traded on stock exchanges are determined using quoted prices, while fair values of those traded on over-the-counter markets are determined using single or multiple factors, such as quoted prices and other observable inputs. For private portfolio companies, one or more valuation methods are used, including the market approach using figures of market comparable companies, the income approach using estimated future cash flows, and the recent transactions method using prices of recent funding rounds and similar transactions.



Financing at SVF

SVF1, SVF2, and LatAm Funds may independently engage in borrowings that are nonrecourse to SBG, with the aim of leveraging and maintaining liquidity. Such borrowings include asset-backed finance, which utilizes held assets to enhance returns and distribute to limited partners.

Status of SVF1 investments

As of March 31, 2025

Total ((1) + (2) + (3) + (4) below)

(Billions of U.S. dollars)

	Cumulative number of investments	Cumulative investment cost	Cumulative investment return	Cumulative gain* ¹	Investment gain recorded for fiscal 2024	
					Jan - Mar	YTD
	102	89.6	113.0	23.4	1.8	6.7

(1) Exited investments

	Number of investments	Investment cost	Exit price	Cumulative realized gain* ¹	Realized gain (loss) recorded for fiscal 2024	
					Jan - Mar	YTD
Partial exit	–	5.7	9.3	3.6		0.1
Full exit* ²	45	39.7	58.0	18.3		(4.2)
Total	45	45.4	67.3	21.9	(0.1)	(4.1)

(2) Investments before exit (investments held at the fiscal year-end)*³

	Number of investments	Investment cost	Fair value	Cumulative unrealized valuation gain (loss)* ⁵	Unrealized valuation gain recorded for fiscal 2024	
					Jan - Mar	YTD
Public* ⁴	17	20.5	18.7	(1.8)	0.2	3.8
Private	40	23.7	24.6	0.9	1.5	2.0
Total	57	44.2	43.3	(0.9)	1.7	5.8

(3) Derivatives

	Derivative cost	Fair value/settlement price	Cumulative derivative gain	Derivative gain (loss) recorded for fiscal 2024	
				Jan - Mar	YTD
Unsettled	–	–	–		(0.0)
Settled	(0.0)	1.4	1.4		0.0
Total	(0.0)	1.4	1.4	0.0	0.0

(4) Interest and dividend income from investments

	Interest and dividend income	Cumulative income	Interest and dividend income recorded for fiscal 2024	
			Jan - Mar	YTD
Total	1.0	1.0	–	0.0

(Reference)

(Billions of U.S. dollars)

	Cumulative number of investments	Cumulative investment cost	Cumulative investment return	Cumulative gain* ¹
Effects of share exchanges* ⁶	(4)	(2.0)	(2.0)	–
Effects of dividends in kind* ⁷	(4)	–	–	–
Net of the above effects	94	87.6	111.0	23.4

Note: The total and the sum of the breakdown in the table may not match as the amount of each item is rounded to the nearest unit.

*¹ Before deducting third-party interests, taxes, and expenses

*² Includes disposals (sales) as a result of share exchanges and restructuring of portfolio companies

*³ The classification of portfolio companies as public/private is based on their status as of fiscal year-end.

*⁴ Includes DiDi, which is traded on the over-the-counter market

*⁵ For a certain investment that was initially determined to be transferred from the Company to SVF1 but later canceled, any unrealized valuation gains and losses incurred for fiscal 2024 leading up to the decision to cancel the transfer are excluded in this section.

*⁶ For investments involving share exchanges, the acquisition costs of the new investments and the disposal prices (sale prices) of the initially held investments are deducted for the purpose of presenting the cumulative net investment performance. These include share exchanges between Uber Advanced Technologies Group and Aurora Innovation Inc.; PT Tokopedia and PT GoTo Gojek Tokopedia Tbk; Grofers International Pte. Ltd. and Zomato Limited; Zymergen, Inc. and Ginkgo Bioworks Holdings, Inc.; and Candy Digital, Inc. and Fanatics Holdings, Inc. (an existing portfolio company). In addition, SVF1 exchanged all shares in two portfolio companies for shares in their affiliated companies in prior years, which are also existing portfolio companies. The acquisition costs and disposal prices (sale prices) of these investments are also deducted in this section.

*⁷ Investments acquired through dividends in kind from existing portfolio companies are deducted from the investment count. These include two investments acquired from Arm (Treasure Data, Inc. and Acetone Limited (an intermediate holding company that owns approximately 48% of the equity interest in Arm Technology (China) Co., Ltd.)) and two investments acquired from Reef Global Inc. (REEF Proximity Aggregator LLC and Parking Aggregator LLC).

Capital deployment of SVF1

As of March 31, 2025

(Billions of U.S. dollars)

	Total	The Company	Third-party investors
Committed capital (A)	98.6	33.1	65.5
Drawn capital* ¹ (B)	87.2	29.9	57.3
Return of capital (non-recallable) (C)	47.8	10.5	37.3
Outstanding capital* ² (D) = (B) – (C)	39.4	19.4	20.0
Remaining committed capital (E) = (A) – (B)	11.4	3.2	8.2

Note: The Company's committed capital to SVF1 includes approximately \$8.2 billion of an obligation that was satisfied using Arm shares (all said shares have been contributed) and \$2.5 billion to be used for an incentive scheme related to SVF1.

*¹ Drawn capital of SVF1 excludes the amount repaid to limited partners due to investment plan changes and other reasons after the capital was drawn.

*² As of the fiscal year-end, \$5.1 billion of the \$20.0 billion of outstanding capital from third-party investors was attributable to preferred equity commitment.

Status of SVF2 investments

As of March 31, 2025

Total ((1) + (2) + (3) + (4) below)

(Billions of U.S. dollars)

	Cumulative number of investments	Cumulative investment cost	Cumulative investment return	Cumulative loss* ¹	Investment loss recorded for fiscal 2024	
					Jan - Mar	YTD
	310	60.8	37.9	(22.9)	(0.7)	(3.6)

(1) Exited investments

	Number of investments	Investment cost	Exit price	Cumulative realized loss* ¹	Realized loss recorded for fiscal 2024	
					Jan - Mar	YTD
Partial exit	–	1.0	0.6	(0.4)		(0.3)
Full exit* ²	27	8.7	4.8	(3.9)		(4.3)
Incl. Transfers to Robo HD	6	1.9	1.6	(0.3)	(0.3)	(0.3)
Total	27	9.7	5.4	(4.3)	(0.3)	(4.6)

(2) Investments before exit (investments held at the fiscal year-end)*³

	Number of investments	Investment cost* ⁴	Fair value* ⁴	Cumulative unrealized valuation gain (loss)	Unrealized valuation gain (loss) recorded for fiscal 2024	
					Jan - Mar	YTD
Public	17	6.1	3.3	(2.8)	(0.9)	(1.9)
Private	266	44.7	29.0	(15.7)	0.1	(1.7)
Incl. Robo HD	1	2.2	2.2	0.0	0.0	0.0
Total	283	50.8	32.3	(18.5)	(0.8)	(3.6)

(3) Derivatives

	Derivative cost	Fair value/settlement price	Cumulative derivative gain (loss)	Derivative gain (loss) recorded for fiscal 2024	
				Jan - Mar	YTD
Unsettled	0.3	0.3	0.0		0.0
Settled	(0.0)	(0.3)	(0.3)		(0.0)
Total	0.3	(0.0)	(0.3)	0.1	(0.0)

(4) Interest and dividend income from investments

	Interest and dividend income	Cumulative income	Interest and dividend income recorded for fiscal 2024	
			Jan - Mar	YTD
Total	0.2	0.2	0.0	0.0

(Reference)

(Billions of U.S. dollars)

	Cumulative number of investments	Cumulative investment cost	Cumulative investment return	Cumulative loss* ¹
Effects of transfers to Robo HD* ⁵	–	(1.6)	(1.6)	–
Effects of financial support to WeWork* ⁶	(5)	–	–	–
Effects of share exchanges* ⁷	(3)	(0.1)	(0.1)	–
Net of the above effects	302	59.1	36.2	(22.9)

Note: The total and the sum of the breakdown in the table may not match as the amount of each item is rounded to the nearest unit.

*¹ Before deducting third-party interests, taxes, and expenses

*² Includes disposals (sales) as a result of share exchanges and restructuring of portfolio companies

*³ The classification of portfolio companies as public/private is based on their status as of the fiscal year-end.

*⁴ The investment cost and fair value of investments before exit in SVF2 include minor ownership percentages in another portfolio company, which were received as part of the consideration for SVF2's investment in a specific portfolio company.

*⁵ Six investments—1X Holdings, Inc., Agile Robots SE, Skild AI, Inc., Terabase Energy, Inc., among others—were transferred to Robo HD via in-kind contributions. In addition, \$575 million in cash was contributed to fund committed investments. While these six companies are treated as full exits and Robo HD is treated as a new investment under the SoftBank Vision Funds segment, the investments continue to be held through Robo HD, a wholly owned subsidiary of the Company, on a consolidated basis. The transfer value of the investments initially held by SVF2 and the fair value of Robo HD shares received as consideration are deducted for the purpose of presenting the cumulative net investment performance.

*⁶ The WeWork notes held by SVF2, which constituted four investments, as well as the shares in the newly restructured WeWork, which were converted from the prepetition claims that SVF2 held against WeWork (constituting one investment), are deducted from the investment count.

*⁷ For investments involving share exchanges, the acquisition costs of the new investments and the disposal prices (sale prices) of the initially held investments are deducted for the purpose of presenting the cumulative net investment performance. These include the share exchanges between XCOM Labs, Inc. and Globalstar, Inc.; ODA Group Holding AS and Mathem Holdings AB; and Exscientia PLC and Recursion Pharmaceuticals, Inc.

Capital deployment of SVF2

As of March 31, 2025

(Billions of U.S. dollars)

	Total
Committed capital (A)	65.8
Drawn capital (B)	63.9
Remaining committed capital (C) = (A) – (B)	1.9

Note: Remaining committed capital includes callable return of capital.

(Reference: Breakdown of committed capital as of March 31, 2025)

(Billions of U.S. dollars)

Total committed capital	65.8
The Company's equity commitment to investments outside the scope of the co-investment program	12.7
The Company's preferred equity commitment to SVF2 LLC *	38.1
The Company's equity commitment to SVF2 LLC	12.4
MgmtCo's equity commitment to SVF2 LLC	2.6

Note: As of the fiscal year-end, no capital has been paid by MgmtCo.

* SVF2 LLC (SVF II Investment Holdings LLC) is a subsidiary of the Company established under SVF2 and indirectly holds investments subject to the co-investor program.

Status of LatAm Funds investments

As of March 31, 2025

As of the fiscal year-end, LatAm Funds posted \$6.4 billion in cumulative returns on \$7.5 billion in investments, with a gross loss of \$1.1 billion since inception. For fiscal 2024, investment gain was \$57 million.

Capital deployment of LatAm Funds

As of the fiscal year-end, total committed capital for LatAm Funds was \$7.8 billion, with drawn capital totaling \$7.6 billion.

Transfer of Investments from the Company to SVF2

As part of the reorganization of the investment portfolio of SBG and its key investment subsidiaries, on October 21, 2024, the SBG Board of Directors resolved to transfer six private investments,* none of which the Company controls or jointly controls, to SVF2. These investments were transferred at fair value as of their respective transfer dates during the third and fourth quarters. The Company's acquisition cost for these investments was \$1.95 billion. The total transfer value was finalized at \$1.90 billion, which was based on a valuation assessment provided by an independent external organization in the fourth quarter. This amount is consistent with the provisional valuation used in the third quarter.

* The six investments are 1X Holdings, Inc., AI Lens Co., Ltd., Mapbox, Inc. (including derivatives), Skild AI, Inc., Wayve, and Zipline International Inc. Of these investments, 1X Holdings, Inc. and Skild AI, Inc. were subsequently transferred to Robo HD in the fourth quarter. For details regarding the transfers to Robo HD, see "Centralization of Robotics-Related Investments under an Intermediate Holding Company" on page 82.

SoftBank Segment

Segment income increased by 8.5% YoY, driven by sustained profit growth in the media & EC, consumer, and enterprise businesses, along with the PayPay Corporation group turning profitable.

Overview

Segment results include the business activities of SoftBank Corp. and its subsidiaries primarily in Japan, such as the provision of mobile services and sale of mobile devices, as well as the provision of broadband, advertising, and commerce services. Under its *Beyond Carrier* strategy, SoftBank Corp. aims to achieve sustainable growth in its core telecommunications business, while expanding its domains beyond telecommunications through internet services, such as *Yahoo! JAPAN* and *LINE*, and the development of businesses that utilize advanced technologies, including AI, IoT, and FinTech, the latter encompassing the cashless payment service *PayPay*.

Financial results

Segment income was ¥906,309 million, an increase of ¥71,233 million (8.5%) year on year. This was primarily driven by continued profit growth in the media & EC, consumer, and enterprise businesses, as well as the profitability achieved by the PayPay Corporation group, which plays a central role in the financial business.

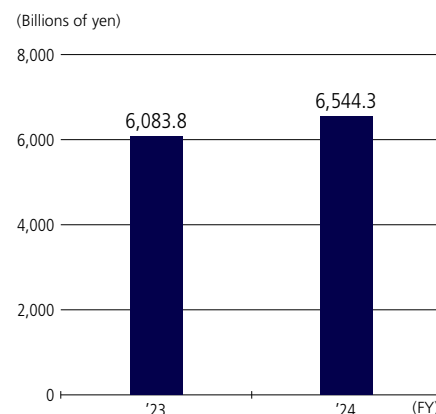
In the media & EC business, the increase in income was driven by robust media sales associated with the growth in account advertising and an increase in commerce sales, as well as a gain recorded from the loss of control over multiple subsidiaries (included in “Other gain”). In the consumer business, the increase in income was primarily due to higher mobile service revenue, product sales, and broadband service revenue. The increase in mobile service revenue was mainly because of a rise in the number of smartphone subscribers. In the enterprise business, income grew primarily due to increased sales of cloud services, spurred by the accelerated digitalization of enterprises. The profitability achieved by the PayPay Corporation group was primarily driven by increased fee income resulting from the expansion of gross merchandise volume, as well as higher interest income due to the growth in the revolving credit

balance. Additionally, improvements in profitability were further supported by optimizing fixed costs and streamlining sales promotion expenses primarily through changing campaign designs.

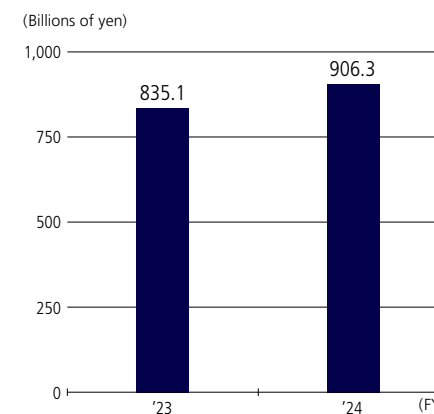
The recognition of loss on investments for fiscal 2024 was primarily due to the fair value measurement of written put options granted to certain equity holders other than LY Corporation of an equity method associate in the subsidiary of LY Corporation.

 For more information on SoftBank Corp.'s financial results and business operations, see its website.

Net sales



Segment income (income before income tax)



Arm Segment

Arm's business continues to benefit from technology companies increasing investments in AI. Arm recorded its highest net sales (U.S. dollar-based) in fiscal 2024.

- **Net sales increased by 25.3% YoY in U.S. dollar terms. In yen terms, net sales increased by 32.0%**
 - Royalty revenue increased by 22.7% YoY (U.S. dollar-based) to record levels due to continued adoption of Arm's latest technologies, which deliver higher royalty revenue per chip, and market share gains in multiple markets.
 - License and other revenue increased by 28.5% YoY (U.S. dollar-based), also to record levels with Arm recognizing revenue from multiple high value, long-term licenses signed with major technology companies. These agreements enable Arm's customers to develop chips for a wide range of applications, including future smartphones, data centers, networking equipment, automotive, consumer electronics, and AI applications.
- **An improvement in segment income was driven by higher revenues, partially offset by increased investments in R&D as Arm prepares technologies that will support future long-term growth.**

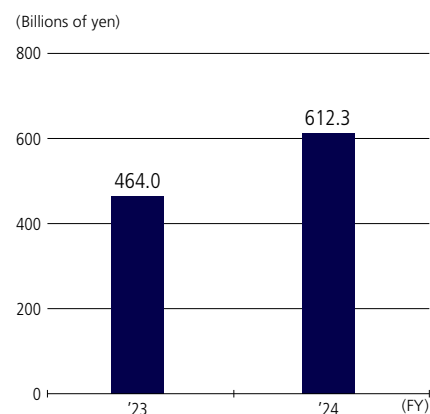
Overview

Arm's operations primarily consist of licensing semiconductor intellectual property (IP), including the design of energy-efficient microprocessors and associated technologies.

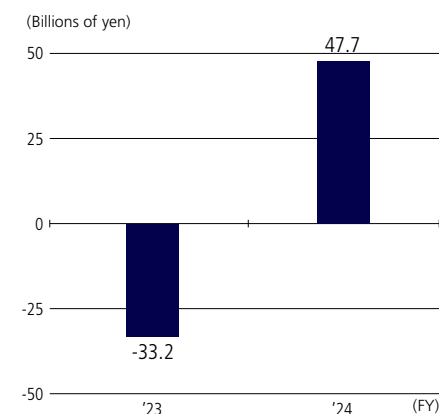
Semiconductor industry trends can have a significant impact on Arm's financial results, both positively and negatively. Industry growth benefits Arm's royalty revenue, which can grow along with industry sales. Industry growth can also encourage Arm's customers to increase design activity, creating new opportunities for Arm to license its latest technologies, and thus driving license and other revenue.

Arm will continue to increase investments in R&D in order to build the future of computing. Arm is creating CPUs and related technologies, such as graphics processors, AI accelerators, and integrated subsystems, that will enable its customers to develop the next generation of computing devices.

Net sales



Segment income (income before income tax)*



* Segment income included amortization expenses of ¥63,715 million for fiscal 2024 and ¥65,581 million for fiscal 2023. These expenses are related to intangible assets recognized in the purchase price allocation at the time of the acquisition of Arm.

Financial results

Net sales in U.S. dollars

Net sales in this section are presented in U.S. dollars as Arm's revenue is primarily based on U.S. dollars.

	Fiscal 2023	Fiscal 2024	Change	Change %
(Millions of U.S. dollars)				
Royalty revenue	1,767	2,168	401	22.7%
License and other revenue	1,431	1,839	408	28.5%
Total	3,198	4,007	809	25.3%

Net sales for fiscal 2024 reached a record high, increasing by \$809 million (25.3%) year on year.

Royalty revenue

Royalty revenue increased by \$401 million (22.7%) year on year, reaching a record high. The growth was primarily driven by strong performance in smartphones, supported by the ongoing transition from *Armv8* to *Armv9*, with *Armv9*-based chips delivering approximately twice the royalty revenue of equivalent *Armv8*-based chips. In addition, chips based on Arm's compute subsystems (CSS) began shipping in volume, contributing to royalty growth in both the smartphone and the cloud markets. CSS-based designs deliver even higher royalty rates because they are pre-integrated and pre-verified to accelerate customers' time-to-market and reduce development costs. In fiscal 2024, Arm gained market share in both the cloud and automotive markets, which also contributed to the strong royalty revenue. In cloud, this was driven by increasing adoption of Arm-based custom silicon, while in automotive, growth reflected increased demand for smarter vehicles. These positive trends were partially offset by cyclical headwinds in IoT devices and networking equipment, as inventory corrections earlier in fiscal 2024 weighed on revenue growth.

License and other revenue

License and other revenue increased by \$408 million (28.5%) year on year, reaching a record high. This strong growth was driven by Arm signing multiple high value, long-term deals with major technology companies. These contracts enable Arm's customers to develop chips for a wide range of applications, including future smartphones, data centers, networking equipment, automotive, consumer electronic devices, and AI applications. By accessing Arm's most advanced technologies today, many customers aim to design chips capable of running future AI algorithms, which will provide a strong competitive advantage when their end products reach the market.

The current strong demand for licensing is expected to lay the foundation of future royalty streams from chips that are to be developed and introduced to the market in the coming years.

Segment income

Segment income was ¥47,667 million, improving by ¥80,882 million year on year. This was due to Arm's strong revenue growth, which outpaced the increased costs associated with factors such as the growing number of engineers developing next-generation technology.

Starting from fiscal 2024, Arm has discontinued its cash-based corporate bonus, with share-based compensation now serving as the primary incentive for employees. Share-based compensation is recorded as an expense in accordance with IFRS 2 "Share-based Payment."

Technology development

Arm and its licensees made the following technology-related announcements during fiscal 2024. For details on each technology development, please see the press releases posted on the websites of the announcing companies.

- In April 2024, Google LLC announced the Google Axion Processors, its first custom Arm-based CPUs designed for the data center, which provide up to 50% better performance and up to 60% better energy efficiency than comparable current-generation x86-based processors.
- In May 2024, Microsoft Corporation announced its Copilot+ PCs, designed for AI. These are the fastest, most intelligent Windows PCs ever built, and the first generation running on Arm's energy-efficient, high-performance architecture.
- In May 2024, Arm announced the next generation of its CPU and GPU products for smartphones, laptops and consumer electronics. This includes new Compute Subsystems (CSS) that deliver more than a 35% performance improvement for software and games, and over 40% for on-device generative AI, including large language models.
- In September 2024, Meta Platforms Inc. and Arm announced a collaboration to optimize Llama 3.2 small and large language models (one billion to 90 billion parameters) to run on Arm-based platforms, which span from consumer electronics to smartphones to data center servers.
- In October 2024, MediaTek Inc. announced the MediaTek Dimensity 9400, their next-generation chip for flagship smartphones. The Dimensity 9400 is based on Arm's latest *Armv9* Compute Subsystems (CSS) and includes Arm *Cortex-X925* CPU and Arm *Immortalis-G925* GPU.
- In January 2025, NVIDIA Corporation announced Project DIGITS, an Arm-based desktop AI supercomputer to enable data scientists, AI researchers and students to prototype, fine-tune and run large AI models prior to uploading to the cloud.

- In February 2025, Arm announced its latest CPU, Arm *Cortex-A320*, which will bring accelerated AI capability to IoT devices. Combined with Arm's *Ethos-U85* NPU, it can support AI models with over one billion parameters, enhancing industrial robot control, improving smart camera vision, and increasing the usability of home devices.

 For more information on Arm's U.S. GAAP-based financial results and business operations, see Arm's website.

Financial Position

1. Status of investment assets

■ **Carrying amount of investments from SVF (FVTPL)*¹ increased by ¥396.4 billion from the previous fiscal year-end to ¥11,410.9 billion.*²**

- ¥425.6 billion increase at SVF1: The balance increased by \$3.35 billion on a U.S. dollar basis due to an increase of \$5.84 billion in the fair value of investments held at the fiscal year-end, offset by a decrease of \$2.49 billion from divestments.
- ¥2.6 billion decrease at SVF2: The balance increased by \$0.32 billion on a U.S. dollar basis, mainly due to new*³ and follow-on investments totaling \$5.83 billion, offset by decreases of \$3.47 billion in the fair value of investments held at the fiscal year-end and \$2.03 billion from divestments.*³

■ **Carrying amount of investment securities decreased by ¥1,021.9 billion from the previous fiscal year-end to ¥8,040.1 billion,*² which included:**

- Carrying amount of T-Mobile shares of ¥3,404.1 billion (an increase of ¥1,128.2 billion)
- Carrying amount of Deutsche Telekom shares of ¥1,122.0 billion (an increase of ¥293.9 billion)
- Carrying amount of Alibaba shares of ¥1,025.1 billion (a decrease of ¥2,732.0 billion)

2. Changes in liabilities associated with financing activities

■ **Interest-bearing debt of SBG increased by ¥1,798.3 billion from the previous fiscal year-end.**

- The Company issued domestic straight bonds of ¥1 trillion, U.S. dollar-denominated senior notes of \$900 million and euro-denominated senior notes of 900 million euros. Meanwhile, the Company redeemed domestic straight bonds of ¥450.0 billion, foreign currency denominated senior notes of \$1,216 million and 638 million euros.
- The Company drew down the full amount under the commitment line agreement, consisting of a U.S. dollar tranche of \$5,465 million and a Japanese yen tranche of ¥35.6 billion.
- The Company borrowed \$2.9 billion through a term loan. Furthermore, the Company refinanced a hybrid loan of ¥84.0 billion by borrowing a new hybrid loan of ¥135.0 billion.

■ **Interest-bearing debt of wholly owned subsidiaries conducting fund procurement decreased by ¥3,981.4 billion from the previous fiscal year-end.*²**

- ¥3,799.1 billion (\$24.83 billion) in financial liabilities relating to sale of shares by prepaid forward contracts was derecognized at the time of the physical settlement of a portion of these contracts using Alibaba shares.
- Financial liabilities relating to sale of shares by prepaid forward contracts decreased by ¥432.2 billion (\$2.85 billion) due to the cash settlement of all of such contracts using T-Mobile shares.
- Borrowings increased by ¥193.2 billion primarily due to an increase in borrowings (margin loan) using SoftBank Corp. shares.

3. Changes in equity

■ **Total equity increased by ¥715.9 billion from the previous fiscal year-end.**

- Retained earnings increased due to recording ¥1,153.3 billion in net income attributable to owners of the parent.
- Ongoing share repurchases: Acquired ¥237.0 billion worth of shares during fiscal 2024.
- Exchange differences from the translation of foreign operations decreased by ¥521.3 billion due to the yen's appreciation in exchange rates used for translation compared to the previous fiscal year-end.

■ **Ratio of equity attributable to owners of the parent (equity ratio) was 25.7% at the fiscal year-end, compared with 23.9% at the previous fiscal year-end.**

*1 Investments from SVF (FVTPL) do not include SVF's investments in the Company's subsidiaries (primarily PayPay Corporation) or investments that were transferred from the Company to the funds and continue to be accounted for using the equity method (and are included in "Investments accounted for using the equity method") prior to and after such transfer.

*2 Includes decreases in the carrying amount due to a 1.2% appreciation of the yen against the U.S. dollar in the foreign currency exchange rate used for translations at the fiscal year-end, compared to the previous fiscal year-end

*3 Includes acquisitions and disposals arising from share exchanges and portfolio company restructurings

	March 31, 2024	March 31, 2025	Change	(Millions of yen) Change %
Total assets	46,724,243	45,013,756	(1,710,487)	(3.7%)
Total liabilities	33,487,074	31,060,730	(2,426,344)	(7.2%)
Total equity	13,237,169	13,953,026	715,857	5.4%

Assets

	March 31, 2024	March 31, 2025	Change	(Millions of yen)
Cash and cash equivalents	6,186,874	3,713,028	(2,473,846)	
Trade and other receivables	2,868,767	3,008,144	139,377	
Derivative financial assets	852,350	111,258	(741,092)	A
Other financial assets	777,996	1,485,877	707,881	B
Inventories	161,863	198,291	36,428	
Other current assets	550,984	365,880	(185,104)	
Assets classified as held for sale	42,559	550,440	507,881	C
Total current assets	11,441,393	9,432,918	(2,008,475)	
Property, plant and equipment	1,895,289	2,830,185	934,896	D
Right-of-use assets	746,903	857,961	111,058	
Goodwill	5,709,874	5,781,931	72,057	
Intangible assets	2,448,840	2,414,562	(34,278)	
Costs to obtain contracts	317,650	383,022	65,372	
Investments accounted for using the equity method	839,208	502,995	(336,213)	
Investments from SVF (FVTPL)	11,014,487	11,410,922	396,435	E
SVF1	6,042,046	6,467,602	425,556	
SVF2	4,096,880	4,094,257	(2,623)	
LatAm Funds	875,561	849,063	(26,498)	
Investment securities	9,061,972	8,040,068	(1,021,904)	F
Derivative financial assets	385,528	168,248	(217,280)	
Other financial assets	2,424,282	2,767,625	343,343	
Deferred tax assets	245,954	207,987	(37,967)	
Other non-current assets	192,863	215,332	22,469	
Total non-current assets	35,282,850	35,580,838	297,988	
Total assets	46,724,243	45,013,756	(1,710,487)	

Components	Main reasons for changes from the previous fiscal year-end
Current assets	
A Derivative financial assets	Derivative financial assets related to the prepaid forward contracts using Alibaba shares decreased by ¥803,346 million (\$5.31 billion) due to the physical settlement of a portion of the contracts and an increase in Alibaba's share price.
B Other financial assets	Investments from the asset management subsidiary increased by ¥757,844 million, mainly due to the acquisition of corporate bonds (primarily those of investment grades with short time to maturity).
C Assets classified as held for sale	Alibaba shares worth ¥533,818 million (\$3.57 billion) were reclassified from investment securities to assets classified as held for sale, following a decision made prior to the fiscal year-end, to use the shares for physical settlement of a portion of the prepaid forward contracts maturing in April 2025.
Non-current assets	
D Property, plant and equipment	- Following the additional acquisition of interests in its equity method associate, SBE Global, in July 2024 and its conversion into a subsidiary, SBE Global's property, plant and equipment totaling ¥705,535 million was recorded. - Property, plant, and equipment at SoftBank Corp. increased by ¥169,530 million primarily due to the acquisition of land and buildings at Sharp Corporation's Sakai Plant—intended mainly for use in the construction of a large-scale AI data center—as well as the purchase of AI computing infrastructure.

Components	Main reasons for changes from the previous fiscal year-end
E Investments from SVF (FVTPL)	- The carrying amount of investments at SVF1 increased by ¥425,556 million (\$3.35 billion*¹). The result reflected an increase of \$5.84 billion in the fair value of investments held at the fiscal year-end, despite a decrease of \$2.49 billion resulting from divestments. - The carrying amount of investments at SVF2 decreased by ¥2,623 million but increased by \$0.32 billion*¹ on a U.S. dollar basis. This mainly reflected new*² and follow-on investments totaling \$5.83 billion (including investments acquired from the Company and another entity), despite a \$3.47 billion decline in the fair value of investments held at the fiscal year-end and \$2.03 billion in divestments, including transfers to Robo HD.*² The carrying amount of these investments from SVF also reflected a decrease due to a 1.2% appreciation of the yen against the U.S. dollar in the exchange rate used for translations at the fiscal year-end, compared to the previous fiscal year-end. For details, see “SoftBank Vision Funds Segment” on page 91.
F Investment securities	- The carrying amount of Alibaba shares decreased by ¥2,731,959 million, bringing the balance at the fiscal year-end to ¥1,025,104 million (\$6.86 billion). The Company derecognized ¥4,073,694 million (\$26.72 billion) during fiscal 2024 upon the physical settlement of a portion of the prepaid forward contracts. In addition, Alibaba shares worth ¥533,818 million (\$3.57 billion) were reclassified from investment securities to assets classified as held for sale, following a decision made prior to the fiscal year-end to use the shares for the physical settlement of a portion of the prepaid forward contracts maturing in April 2025. These factors more than offset the increase in the carrying amount resulting from a rise in Alibaba's share price (reference: \$72.36 as of March 31, 2024, to \$132.23 as of March 31, 2025). - The carrying amount of T-Mobile shares increased by ¥1,128,242 million, bringing the balance at the fiscal year-end to ¥3,404,069 million (\$22.77 billion). This mainly reflected a rise in the company's share price (reference: \$163.22 as of March 31, 2024, to \$266.71 as of March 31, 2025), despite the sale of 6.7 million shares by the Company in connection with the partial exercise of call options on T-Mobile shares granted to Deutsche Telekom. - The carrying amount of Deutsche Telekom shares*³ increased by ¥293,933 million, bringing the balance at the fiscal year-end to ¥1,121,969 million (\$7.50 billion). This was due to an increase in the share price (reference: 22.50 euro as of March 31, 2024, to 34.22 euro as of March 31, 2025), which more than offset the decrease primarily resulting from the physical settlement of a portion of the collar transactions using Deutsche Telekom shares. The carrying amounts of these investment securities also reflected a decrease caused by a 1.2% appreciation of the yen against the U.S. dollar in the exchange rate used for translations at the fiscal year-end, compared to the previous fiscal year-end.

*1 Includes the impact of changes in exchange rates between local currencies and the U.S. dollar

*2 Includes acquisitions and disposals arising from share exchanges and portfolio company restructurings

*3 Includes the impact of changes in exchange rates between the euro and the U.S. dollar, as the Deutsche Telekom shares are held by a U.S. subsidiary of the Company

(Reference) Cash and cash equivalents by entity

Consolidated cash and cash equivalents decreased by ¥2,473.8 billion from the previous fiscal year-end to ¥3,713.0 billion. For details, see “Cash Flows” on page 107.

	March 31, 2024	March 31, 2025	Change
(Millions of yen)			
Investment Business of Holding Companies segment*¹	3,359,514	1,596,258	(1,763,256)
SBG	2,198,869	1,251,667	(947,202)
Wholly owned subsidiaries conducting fund procurement	27,223	97,622	70,399
SB Northstar	794,508	1,328	(793,180)
Others	338,914	245,641	(93,273)
SoftBank Vision Funds segment	229,887	134,096	(95,791)
SVF1	65,748	30,314	(35,434)
SVF2	102,063	29,265	(72,798)
LatAm Funds	3,084	4,497	1,413
SBIA, SBGA, SBLA Advisers Corp.	58,992	70,020	11,028
SoftBank segment	1,992,873	1,435,525	(557,348)
SoftBank Corp.	482,763	293,429	(189,334)
LY Corporation	325,391	268,132	(57,259)
PayPay Corporation,* ² PayPay Bank Corporation* ³	739,759	366,355	(373,404)
Others	444,960	507,609	62,649
Arm segment	291,127	311,795	20,668
Arm and its subsidiaries	291,127	311,795	20,668
Others*¹	313,473	235,354	(78,119)
Total	6,186,874	3,713,028	(2,473,846)

Note: The figures are after eliminations in consolidation.

*1 From fiscal 2024, items have been presented by reportable segment. A portion of the amounts previously included in “Others” at the bottom section of the table is now classified as “Others” in the Investment Business of Holding Companies segment.

*2 Includes cash and cash equivalents of the company's subsidiaries such as PayPay Card Corporation

*3 Cash and cash equivalents of PayPay Bank Corporation at the fiscal year-end were ¥223,939 million.

Liabilities

	March 31, 2024	March 31, 2025	Change
(Millions of yen)			
Interest-bearing debt	8,271,143	5,629,648	(2,641,495)
Lease liabilities	149,801	165,355	15,554
Deposits for banking business	1,643,155	1,795,965	152,810
Trade and other payables	2,710,529	3,036,349	325,820
Derivative financial liabilities	195,090	840,469	645,379 A
Other financial liabilities	31,801	5,940	(25,861)
Income taxes payable	163,226	444,180	280,954
Provisions	44,704	54,047	9,343
Other current liabilities	801,285	629,717	(171,568)
Liabilities directly relating to assets classified as held for sale	9,561	-	(9,561)
Total current liabilities	14,020,295	12,601,670	(1,418,625)
Interest-bearing debt	12,296,381	12,376,682	80,301
Lease liabilities	644,706	741,665	96,959
Third-party interests in SVF	4,694,503	3,652,797	(1,041,706) B
Derivative financial liabilities	41,238	104,197	62,959
Other financial liabilities	57,017	199,284	142,267
Provisions	167,902	155,436	(12,466)
Deferred tax liabilities	1,253,039	924,392	(328,647)
Other non-current liabilities	311,993	304,607	(7,386)
Total non-current liabilities	19,466,779	18,459,060	(1,007,719)
Total liabilities	33,487,074	31,060,730	(2,426,344)

Components	Main reasons for changes from the previous fiscal year-end
See "Reference" on page 105 for a breakdown of interest-bearing debt.	
Current liabilities	
A Derivative financial liabilities	• Derivative financial liabilities related to prepaid forward contracts using Alibaba shares increased by ¥497,255 million (\$3.33 billion), mainly due to an increase in the share price. • Derivative financial liabilities related to collar transactions using Deutsche Telekom shares increased by ¥251,238 million (\$1.68 billion) due to an increase in the share price, despite a decrease resulting from the settlement of a portion of the contracts. • Derivative financial liabilities decreased by ¥70,699 million (\$0.47 billion). This was due to the sale of 6.7 million T-Mobile shares as a partial exercise of call options on T-Mobile shares granted to Deutsche Telekom and the expiration of the remaining unexercised call options on June 22, 2024. • Derivative financial liabilities decreased by ¥28,257 million (\$0.19 billion) due to the cash settlement of all of the prepaid forward contracts using T-Mobile shares.
Non-current liabilities	
B Third-party interests in SVF	The carrying amount decreased due to the distributions and repayments by SVF1 to third-party investors. For details, see "(2) Third-party interests in SVF" under "7. SoftBank Vision Funds business" in "Notes to Consolidated Financial Statements" in "Financial Report 2025."

(Reference) Interest-bearing debt and lease liabilities (total of current and non-current)

(Millions of yen)

	March 31, 2024	March 31, 2025	Change
Investment Business of Holding Companies segment*¹	14,265,108	12,109,943	(2,155,165)
SBG	6,796,406	8,593,337	1,796,931
Borrowings	462,977	1,775,411	1,312,434 A
Corporate bonds	6,147,578	6,668,470	520,892 B
Lease liabilities	9,351	7,956	(1,395)
Commercial paper	176,500	141,500	(35,000)
Wholly owned subsidiaries conducting fund procurement*²	7,443,112	3,461,666	(3,981,446)
Borrowings	2,270,601	2,463,823	193,222 C
Financial liabilities relating to sale of shares by prepaid forward contracts	5,172,511	997,843	(4,174,668) D
SB Northstar	–	29,796	29,796
Borrowings	–	29,796	29,796
Other	25,590	25,144	(446)
SoftBank Vision Funds segment	563,842	516,272	(47,570)
SVF2	547,894	501,245	(46,649)
Borrowings	547,894	501,245	(46,649)
SBIA, SBGA, SBIA Advisers Corp.	15,948	15,027	(921)
Lease liabilities	15,948	15,027	(921)
SoftBank segment	6,321,094	5,962,152	(358,942)
SoftBank Corp.	4,373,826	4,090,269	(283,557)
Borrowings	2,994,039	2,613,115	(380,924)
Corporate bonds	827,781	1,023,282	195,501
Lease liabilities	466,005	453,872	(12,133)
Commercial paper	86,001	–	(86,001)
LY Corporation	1,122,485	1,087,779	(34,706)
Borrowings	591,338	556,318	(35,020)
Corporate bonds	469,270	444,374	(24,896)
Lease liabilities	61,877	55,087	(6,790)
Commercial paper	–	32,000	32,000
PayPay Corporation,*³ PayPay Bank Corporation*⁴	503,714	353,216	(150,498)
Other	321,069	430,888	109,819
Arm segment	34,630	54,871	20,241
Arm and its subsidiaries	34,630	54,871	20,241
Lease liabilities	34,630	54,871	20,241
Others*¹	177,357	270,112	92,755
Other interest-bearing debt	143,297	233,824	90,527
Lease liabilities	34,060	36,288	2,228
Total	21,362,031	18,913,350	(2,448,681)

Components	Details
Investment Business of Holding Companies segment	
SBG	
A Borrowings	- The Company drew down the full amount under the commitment line agreement, consisting of a U.S. dollar tranche of \$5,465 million and a Japanese yen tranche of ¥35.6 billion. - The Company borrowed \$2.9 billion through a term loan. - The Company borrowed ¥135.0 billion through a hybrid loan. With this, the Company refinanced a hybrid loan of ¥84.0 billion, which had its first voluntary prepayment date in November 2024.
B Corporate bonds	- The Company issued domestic straight bonds of ¥1 trillion and redeemed ¥450.0 billion upon maturity. - The Company issued U.S. dollar-denominated senior notes of \$900 million and euro-denominated senior notes of 900 million euros, and redeemed U.S. dollar-denominated senior notes of \$1,216 million and euro-denominated senior notes of 638 million euros. All of the above amounts are stated at face value.
Wholly owned subsidiaries conducting fund procurement	
C Borrowings	- Borrowings increased by ¥297,193 million due to an increase in borrowings (margin loan) using SoftBank Corp. shares. - At the time of repayment, borrowings decreased by ¥81,489 million (\$0.53 billion) through the repayment of a portion of borrowings related to collar transactions using Deutsche Telekom shares, using a combination of cash and Deutsche Telekom shares.
D Financial liabilities relating to sale of shares by prepaid forward contracts	- Financial liabilities relating to sale of Alibaba shares by prepaid forward contracts of ¥3,799,116 million (\$24.83 billion) were derecognized in conjunction with the physical settlement of a portion of such contracts. - Financial liabilities relating to sale of T-Mobile shares by prepaid forward contracts decreased by ¥432,165 million (\$2.85 billion) due to the cash settlement of all of such contracts. With this, the balance of financial liabilities relating to sale of shares by prepaid forward contracts using T-Mobile shares was reduced to zero at the second quarter-end. For details, see “(2) Transactions for sale of Alibaba shares by prepaid forward contracts” under “22. Interest-bearing debt” in “Notes to Consolidated Financial Statements” in “Financial Report 2025.”

Note: The figures are after eliminations in consolidation.

*1 From fiscal 2024, items have been presented by reportable segment. A portion of the amounts previously included in “Others” at the bottom section of the table is now classified as “Others” in the Investment Business of Holding Companies segment.

*2 The interest-bearing debt of wholly owned subsidiaries engaged in fund procurement is nonrecourse to SBG.

*3 Includes the interest-bearing debt and lease liabilities of its subsidiaries such as PayPay Card Corporation

*4 Deposits related to PayPay Bank Corporation's banking operations are not included in interest-bearing debt.

Equity

	March 31, 2024	March 31, 2025	Change	
Common stock	238,772	238,772	–	
Capital surplus	3,326,093	3,376,724	50,631	
Other equity instruments	193,199	193,199	–	
Retained earnings	1,632,966	2,701,792	1,068,826	A
Treasury stock	(22,725)	(256,251)	(233,526)	B
Accumulated other comprehensive income	5,793,820	5,307,305	(486,515)	C
Total equity attributable to owners of the parent	11,162,125	11,561,541	399,416	
Non-controlling interests	2,075,044	2,391,485	316,441	D
Total equity	13,237,169	13,953,026	715,857	

(Millions of yen)

Components	Main reasons for changes from the previous fiscal year-end
A Retained earnings	Net income attributable to owners of the parent of ¥1,153,332 million was recorded.
B Treasury stock	The Company acquired 28,812,200 of its own shares for ¥237,045 million in accordance with a Board resolution on August 7, 2024, to repurchase up to ¥500.0 billion of its own shares.
C Accumulated other comprehensive income	Exchange differences from the translation of foreign operations, arising from translating the financial statements of foreign subsidiaries and associates into yen, decreased by ¥521,272 million mainly due to the yen's appreciation against the U.S. dollar in exchange rates used for translation at the fiscal year-end compared to the previous fiscal year-end.
D Non-controlling interests	Non-controlling interests increased by ¥449,776 million due to net income attributable to non-controlling interests at subsidiaries including SoftBank Corp. and decreased by ¥368,868 million due to dividends paid by these subsidiaries. In addition, the amount increased by ¥200.0 billion, representing the issued amount of bond-type class shares by SoftBank Corp.

Cash Flows

1. Cash flows from operating activities

- Outlays for income taxes of ¥380.0 billion; income tax refunds of ¥164.8 billion

2. Cash flows from investing activities: ¥1,631.5 billion cash outflow (net)

- Payments totaling ¥1,625.2 billion were made for investment acquisitions, primarily reflecting growth investments and acquisitions of listed stocks by SBG and its wholly owned subsidiaries, as well as investments in bonds and other asset management products by PayPay Bank.
- Proceeds of ¥1,180.7 billion from the sale and redemption of investments were primarily driven by the sale of listed stocks and other instruments by SBG, as well as the sale of 6.7 million T-Mobile shares in connection with the partial exercise of call options by Deutsche Telekom.
- Monetization and investments continued at SoftBank Vision Funds.
 - Payments for acquisition of investments by SVF: ¥578.9 billion
 - Proceeds from sales of investments by SVF: ¥458.3 billion
- Outlays of ¥854.2 billion for the purchase of property, plant and equipment and intangible assets mainly due to capital expenditures at SoftBank Corp.

3. Cash flows from financing activities: ¥1,116.4 billion cash outflow (net)

- SBG conducted refinancing and new issuances of corporate bonds, along with other financing and repayment activities. In addition, SVF1 made distributions and repayment to third-party investors.
 - Proceeds from interest-bearing debt: ¥5,313.7 billion
 - Proceeds at SBG: ¥3,322.3 billion (from issuance of domestic straight bonds of ¥1 trillion, U.S. dollar-denominated senior notes of \$900 million, and euro-denominated senior notes of 900 million euros, as well as short-term borrowings, term loans, hybrid loans, and others totaling ¥2,021.1 billion)
 - Repayment of interest-bearing debt: ¥3,809.1 billion
 - Outlays at SBG: ¥1,423.5 billion (for redemption of domestic straight bonds of ¥450.0 billion, U.S. dollar-denominated senior notes of \$449 million, and euro-denominated senior notes of 638 million euros upon maturity; the early redemption of U.S. dollar-denominated senior notes of \$767 million; and repayment of short-term borrowings, hybrid loans, and others totaling ¥682.8 billion)
 - Outlays at wholly owned subsidiaries conducting fund procurement: ¥546.7 billion (primarily for cash settlement of the prepaid forward contracts using T-Mobile shares and repayment of borrowings related to collar transactions using Deutsche Telekom shares)
 - Distributions and repayments to third-party investors at SVF: ¥1,485.8 billion
 - Outlays for share repurchase: ¥237.1 billion

4. Balance of cash and cash equivalents at the fiscal year-end and its changes

- The balance of cash and cash equivalents stood at ¥3,713.0 billion at the fiscal year-end, a decrease of ¥2,473.8 billion from the previous fiscal year-end. This was the result of cash flows from operating, investing, and financing activities, together with the effect of exchange rate changes on cash and cash equivalents, etc.

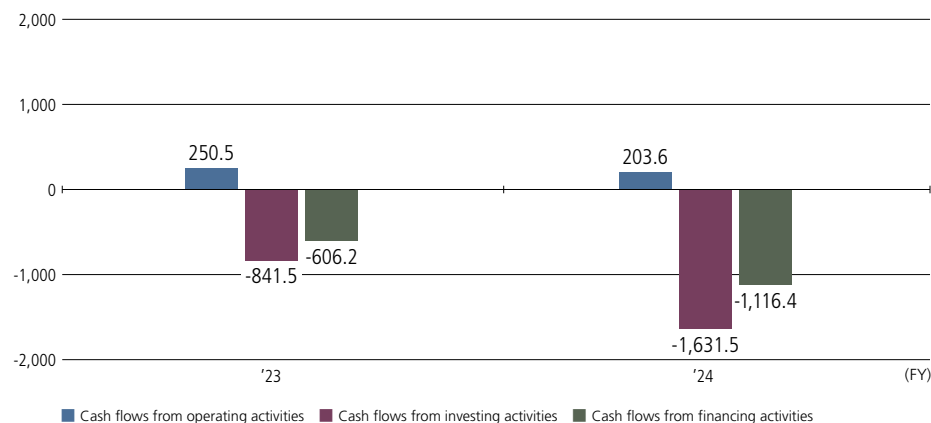
Significant non-cash transactions

During fiscal 2024, the Company physically settled a portion of the prepaid forward contracts using Alibaba shares and the collar transactions using Deutsche Telekom shares. As these were non-cash transactions, they had no impact on the consolidated cash flows. For details, see “(13) Significant non-cash transactions” under “44. Supplemental information to the consolidated statement of cash flows” in “Notes to Consolidated Financial Statements” in “Financial Report 2025.”

	(Millions of yen)		
	Fiscal 2023	Fiscal 2024	Change
Cash flows from operating activities	250,547	203,580	(46,967)
Cash flows from investing activities	(841,461)	(1,631,540)	(790,079)
Cash flows from financing activities	(606,222)	(1,116,384)	(510,162)
Effect of exchange rate changes on cash and cash equivalents, etc.	458,857	70,498	(388,359)
Decrease in cash and cash equivalents	(738,279)	(2,473,846)	(1,735,567)
Cash and cash equivalents at the beginning of the year	6,925,153	6,186,874	(738,279)
Cash and cash equivalents at the end of the year	6,186,874	3,713,028	(2,473,846)

Cash flows from operating activities / Cash flows from investing activities / Cash flows from financing activities

(Billions of yen)



Cash flows from operating activities

Cash flows from operating activities resulted in a net inflow of ¥203,580 million, despite SB Northstar's acquisition of corporate bonds (primarily short-maturity, investment-grade) and other instruments, primarily for surplus fund management.

Income tax payments amounted to ¥380,008 million, while income tax refunds totaled ¥164,847 million. The former was primarily due to income tax payments by SoftBank Corp., while the latter was mainly due to SBG receiving a refund of ¥76,724 million from a prior interim tax payment of ¥118,026 million in fiscal 2023.

Cash flows from investing activities

Components	Primary details
Payments for acquisition of investments ¥(1,625,245) million	- SBG and its wholly owned subsidiaries made investments totaling ¥258,531 million, primarily for growth purposes, excluding investments in listed stocks and bonds mentioned below. This primarily included an investment in the U.K. company Wayve, which develops autonomous driving platforms based on data learning using AI. Investments in Wayve were transferred to SVF2 during the fourth quarter. - SBG invested ¥962,972 million in listed stocks and bonds. - PayPay Bank Corporation invested ¥336,259 million in bonds and other asset management products.
Proceeds from sales/redemption of investments ¥1,180,746 million	- SBG sold ¥824,703 million in listed stocks and bonds. - PayPay Bank Corporation sold investments in bonds and other asset management products of ¥105,595 million. - The Company sold 6.7 million T-Mobile shares for \$670 million due to a partial exercise of the call options on T-Mobile shares granted to Deutsche Telekom.
Payments for acquisition of investments by SVF ¥(578,927) million	SoftBank Vision Funds invested \$3.79 billion in total.
Proceeds from sales of investments by SVF ¥458,319 million	SoftBank Vision Funds sold investments for a total of \$3.00 billion.
Payments (net) for acquisition of control over subsidiaries ¥(194,216) million	The Company acquired additional interests in SBE Global, a U.S. equity method associate that constructs and operates solar power plants, converting it into a subsidiary. The Company also completed the acquisition of U.K.-based Graphcore, a company that designs and develops semiconductor chips specialized for AI and machine learning, which also became a subsidiary. The amount of the item on the left is net of cash and cash equivalents held by acquired companies at the time control was obtained.

Components	Primary details
Purchase of property, plant and equipment, and intangible assets ¥(854,173) million	SoftBank Corp. acquired property, plant and equipment including telecommunications equipment, land and buildings at Sharp Corporation's Sakai Plant, and AI computing infrastructure, as well as intangible assets such as software.

Cash flows from financing activities

Components	Primary details
Repayment of short-term interest-bearing debt, net ¥(421,723) million* ¹ (Proceeds and payments for interest-bearing debt (current liabilities) with quick turnover and short maturities)	- Commercial paper decreased by ¥35,000 million (net) at SBG. - Short-term borrowings at SoftBank Corp. decreased by ¥213,823 million (net). - Short-term borrowings and commercial paper decreased by ¥203,379 million (net) at LY Corporation and its subsidiaries.
Proceeds from interest-bearing debt (total of A and B below) ¥5,313,665 million	
A Proceeds from borrowings ¥3,756,443 million* ²	- SBG raised a total of ¥2,021,112 million primarily through short-term borrowings (including the full drawdown of the entire commitment amount under its commitment line, which comprises a U.S. dollar tranche of \$5,465 million and a Japanese yen tranche of ¥35.6 billion), as well as through term loans and hybrid loans. - SoftBank Corp. raised ¥1,060,448 million, primarily through the securitization of installment sales receivable and sale-leaseback transactions.
B Proceeds from issuance of corporate bonds ¥1,557,222 million	- SBG issued domestic straight bonds totaling ¥1 trillion, along with U.S. dollar-denominated senior notes of \$900 million, and euro-denominated senior notes of 900 million euros. - SoftBank Corp. issued domestic straight bonds totaling ¥206,000 million. - LY Corporation issued domestic straight bonds totaling ¥50,000 million. All of the above amounts are stated at face value.
Repayment of interest-bearing debt (total of A through C below) ¥(3,809,082) million	
A Repayment of borrowings ¥(2,475,239) million* ²	- SBG repaid short-term borrowings, hybrid loans, and commercial paper amounting to ¥682,836 million. - SoftBank Corp. repaid ¥1,324,658 million in borrowings made primarily through the securitization of installment sales receivable, sale-leaseback transactions, and commercial paper. - A wholly owned subsidiary engaged in financing activities repaid a portion of borrowings related to collar transactions using Deutsche Telekom shares, totaling ¥38,454 million (\$251 million).

Components	Primary details
B Redemption of corporate bonds ¥(825,632) million	- SBG redeemed domestic straight bonds of ¥450,000 million, U.S. dollar-denominated senior notes of \$1,216 million, and euro-denominated senior notes of 638 million euros. - SoftBank Corp. redeemed domestic straight bonds of ¥10,000 million upon maturity. - LY Corporation redeemed domestic straight bonds totaling ¥75,000 million upon maturity. All of the above amounts are stated at face value.
C Payments for settlement of financial liabilities relating to sale of shares by prepaid forward contracts ¥(508,211) million	A wholly owned subsidiary engaged in fund procurement paid ¥506,234 million (\$3.26 billion) in cash to settle the prepaid forward contracts using T-Mobile shares in cash. Of this amount, ¥444,489 million (\$2.86 billion), corresponding to the settlement of financial liabilities relating to sale of shares by prepaid forward contracts, is included in this item. The remaining ¥61,745 million (\$0.40 billion), corresponding to the settlement of derivative financial liabilities, is included in "Other" under cash flows from financing activities.
Distribution/repayment from SVF to third-party investors ¥(1,485,774) million	SVF1 made distributions and repayments to third-party investors.
Proceeds from the issuance of other equity instruments in subsidiaries ¥200,000 million	SoftBank Corp. issued bond-type class shares in the amount of ¥200,000 million.
Purchase of treasury stock ¥(237,058) million	SBG acquired 28,812,200 of its own shares for ¥237,045 million in accordance with a Board resolution on August 7, 2024.
Cash dividends paid ¥(64,020) million	SBG paid dividends.
Cash dividends paid to non-controlling interests ¥(368,678) million	SoftBank Corp., LY Corporation, and other subsidiaries paid dividends to non-controlling interests.

*1 "Repayment of short-term interest-bearing debt, net" represents cash flows from financing activities that meet the requirement of "Reporting cash flows on a net basis" under IFRSs.

*2 "Proceeds from borrowings" and "Repayment of borrowings" include proceeds of ¥1,687,992 million and outlays of ¥1,007,139 million related to borrowings with a contracted term of one year or less.

Exchange rates used for translations

Average rate for the quarter

	Fiscal 2023				Fiscal 2024			
	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
USD/JPY	¥138.11	¥145.44	¥147.00	¥147.87	¥156.53	¥150.26	¥151.32	¥152.95

Rates at the end of the period

	March 31, 2024				March 31, 2025			
USD/JPY				¥151.41				¥149.52

Major Subsidiaries and Associates

As of March 31, 2025

Corporation

Subsidiaries

Company name	Capital	Voting rights (%)	Main businesses
Investment Business of Holding Companies Segment			
SoftBank Group Overseas GK	¥7 mn	100.0	Holding company
SoftBank Group Capital Limited	\$5,508 K	100.0	Holding company
SoftBank Group Japan Corporation	¥188,798 mn	100.0	Holding company
SB Group US, Inc.	\$0 K	100.0	Management of overseas investment
Shiodome Project 17 GK* ¹	¥101 mn	100.0	Holding company
STARFISH I PTE. LTD.	¥101,551 mn	100.0	Holding company
SB Pan Pacific Corporation	¥48,249 mn	100.0	Holding company
SoftBank Vision Funds Segment			
 SB Investment Advisers (UK) Limited	\$1,139 K	100.0	Management of SVF1
 SB Global Advisers Limited	\$310 K	100.0	Management of SVF2 and LatAm Funds
SoftBank Segment			
 SoftBank Corp.	¥228,162 mn	40.3	Provision of mobile communications services; sale of mobile devices; provision of broadband communications services and solution services in Japan
A Holdings Corporation	¥100 mn	50.0	Holding company of shares of LY Corporation
 LY Corporation* ²	¥250,129 mn	62.5	Development of online advertising business, e-commerce business, members services business, and other businesses, and management of group companies of LY Corporation
 Cybertrust Japan Co., Ltd.	¥836 mn	58.0	IoT business, certification service business, security solution business, and Linux/OSS business
 ITmedia Inc.	¥1,892 mn	53.4	Operation of comprehensive IT information site <i>ITmedia</i>
 eMnet Japan.co.ltd.	¥328 mn	41.0	Internet advertising agency business
Subsidiaries of LY Corporation			
Z Intermediate Holdings Corporation	¥1 mn	100.0	Holding company
 PayPay Corporation* ³	¥91,434 mn	100.0	Development and provision of mobile payments and other electronic payment services
 Z Financial Corporation* ²	¥39,779 mn	100.0	Management of group companies of Z Financial Corporation
LINE SOUTHEAST ASIA CORP.PTE.LTD.	\$220,500 K	100.0	Holding company
 Alpha Purchase Co., Ltd.	¥580 mn	62.4	Sales of indirect materials such as consumable supplies; facility management
 ZOZO, Inc.	¥1,360 mn	51.5	Planning and operation of fashion e-commerce website; operational support of brands' own e-commerce website; operation of fashion coordination app
 PayPay Bank Corporation* ³	¥72,217 mn	46.6	Banking
 ASKUL Corporation	¥21,234 mn	46.5	Mail-order sale of stationery and services

Company name	Capital	Voting rights (%)	Main businesses
Arm Segment			
 Arm Holdings plc	\$1,331 K	87.3	Design of semiconductor intellectual property and related technology; sale of software tools and provision of related services
Arm PIPD Holdings One, LLC* ^{1,4}	\$858,686 K	100.0	Holding company
Arm PIPD Holdings Two, LLC* ^{1,4}	\$594,814 K	100.0	Holding company
Other			
 SBE Global, LP* ⁵	\$1,114,452 K	100.0	Construction and operation of solar power plants in the U.S.
 Fukuoka SoftBank HAWKS Corp.	¥100 mn	100.0	Ownership of professional baseball team; operation of baseball games; management and maintenance of baseball stadium and other sports facilities; distribution of video, voice, and data content via media
Silver Bands 4 (US) Corp.* ^{6,7}	\$0 K	100.0	Holding company
 Balyo SA* ⁶	€13,372 K	91.3	Providing solutions for autonomous forklifts
 SoftBank Robotics Group Corp.* ⁷	¥54,601 mn	87.8	Holding company

Associates

Company name	Capital	Voting rights (%)	Main businesses
SoftBank Segment			
 C Channel Corporation	¥10 mn	29.0	E-commerce business; advertising and marketing
Associates of LY Corporation			
 DEMAЕ-CAN CO., LTD	¥100 mn	35.3	Operation of food delivery service Demae-can
 ValueCommerce Co., Ltd.	¥1,728 mn	28.2	Affiliate advertising marketing service; StoreMatch online advertising distribution service

Joint Ventures

Company name	Capital	Voting rights (%)	Main businesses
Other			
 SB TEMPUS Corp.	¥15,000 mn	50.0	Focusing on areas including genetic testing, utilization of medical data, and AI-driven applications

Fund

Subsidiaries

Fund Name	Capital accepted	Investment ratio (%)	Main businesses
Investment Business of Holding Companies Segment			
SB Northstar LP* ⁸	\$34 bn	100.0 (66.7)	Investment in listed stocks and other financial instruments
SoftBank Vision Funds Segment			
 SoftBank Vision Fund L.P.* ⁹	\$87 bn	33.6	Investment fund in the technology sector
 SoftBank Vision Fund II-2 L.P.* ¹⁰	\$64 bn	100.0 (82.8)	Investment fund in the technology sector
 SBLA Latin America Fund LLC* ¹⁰	\$8 bn	100.0 (82.8)	Investment fund in the technology sector

*1 The voting rights represent the Company's entire contributions as a percentage of capital.

*2 On May 30, 2025, LY Corporation entered into a merger agreement with Z Financial Corporation, under which Z Financial Corporation will be the absorbed entity and the effective date of the merger will be August 1, 2025.

*3 On April 11, 2025, PayPay Corporation acquired all of the common and Class A preferred shares of PayPay Bank Corporation held by Z Financial Corporation, thereby making PayPay Bank Corporation its subsidiary.

*4 Capital represents the amount of capital contribution.

*5 Capital represents the amount of capital accepted.

*6 On April 23, 2025, Silver Bands 4 (US) Corp. acquired all of SBG's shares in Balyo SA.

*7 On April 28, 2025, Silver Bands 4 (US) Corp. acquired all of SBG's shares in SoftBank Robotics Group Corp.

*8 Figures in parentheses in the investment ratio represent the Company's indirect investment ratio.

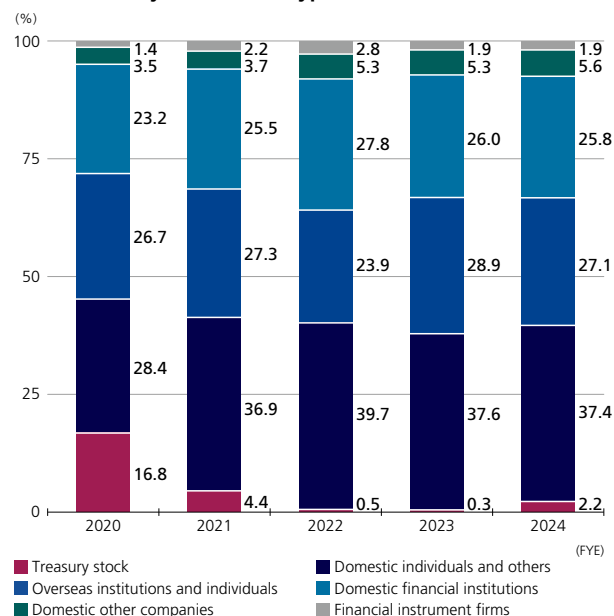
*9 The capital accepted of SoftBank Vision Fund L.P. includes the capital accepted by alternative investment vehicles. The investment ratio of SoftBank Vision Fund L.P. includes an incentive scheme related to SVF1.

*10 The capital accepted and investment ratio include equity and preferred equity contributions under a co-investment program with MASA USA LLC, a company controlled by Masayoshi Son (Representative Director, Corporate Officer, Chairman & CEO of SBG) with restricted rights to receive distributions. Figures in parentheses in the investment ratio represent the ratio of the Company's equity interest in the co-investment program. The ratio of MASA USA's equity stake in the co-investment program is 17.25%.

Stock Information

Shareholder registrar	Mitsubishi UFJ Trust and Banking Corporation
Stock exchange registration	Tokyo Stock Exchange, Prime Market
Securities code	9984
Number of shares As of March 31, 2025	
Shares authorized	7,200,000,000
Shares issued	1,469,995,230 (including 32,398,924 of treasury stock)
Number of shareholders As of March 31, 2025	221,916

Distribution by shareholder type



Major shareholders As of March 31, 2025

Name	Number of shares held (thousands)	Percentage of total shares issued (%)
Masayoshi Son	426,661	29.68
The Master Trust Bank of Japan, Ltd. (Trust Account)	246,540	17.15
Custody Bank of Japan, Ltd. (Trust Account)	103,235	7.18
JP MORGAN CHASE BANK 380763	29,066	2.02
HSBC HONG KONG-TREASURY SERVICES A/C ASIAN EQUITIES DERIVATIVES	25,889	1.80
SON CORPORATION LLC	19,060	1.33
STATE STREET BANK WEST CLIENT - TREATY 505234	18,817	1.31
Son Assets Management, LLC	18,504	1.29
STATE STREET BANK AND TRUST COMPANY 505001	17,659	1.23
GOVERNMENT OF NORWAY	16,072	1.12
Top 10 Shareholders	921,504	64.10

Notes:

- Percentage of total shares issued is calculated by deducting treasury stock (32,398,924 shares).
- Of the above numbers of shares held, those held by The Master Trust Bank of Japan, Ltd., and Custody Bank of Japan, Ltd., are all related to trust operations.
- As for major shareholders, the number of shares held effectively by Masayoshi Son, verified by SBG, is presented as has been hitherto on a combined basis (by means of name-based aggregation), while those held by other major shareholders are presented precisely as reported in the register of shareholders.

Stock price and trading volume



Note: Stock prices are average prices for each month, and trading volumes are average daily trading volumes for each month. The stock prices and trading volumes have been adjusted to reflect the share split on June 28, 2019.

Market capitalization

	2020	2021	2022	2023	2024
Market capitalization (Trillions of yen)	16.2	9.2	7.6	13.1	10.8

Note: Market capitalization is calculated by multiplying the stock price by the total number of shares issued (excluding treasury stock after adjusting for the aforementioned share split) as of the end of each fiscal year.

Corporate Data

As of March 31, 2025

Corporate name	SoftBank Group Corp.
Founded	September 3, 1981
Corporate headquarters	1-7-1, Kaigan, Minato-ku, Tokyo 105-7537, Japan
Telephone number	+81-3-6889-2000
Representative	Masayoshi Son Representative Director, Corporate Officer, Chairman & CEO
Share capital	¥238.8 billion
Number of subsidiaries	965
Number of associates	152
Number of joint ventures	23
Number of employees	274 (consolidated basis: 67,229)
Main business	Pure holding company
Independent auditor	Deloitte Touche Tohmatsu LLC

Selection for major indices

- Nikkei Stock Average
- JPX-Nikkei Index 400
- TOPIX Core 30 / TOPIX 100 / TOPIX 500 / TOPIX 1000
- Nikkei 500 Stock Average
- Nikkei Stock Index 300
- FTSE4Good Index Series*¹
- FTSE Blossom Japan Index*¹
- FTSE Blossom Japan Sector Relative Index*¹
- MSCI Nihonkabu ESG Select Leaders Index*²
- MSCI Japan Empowering Women Index (WIN)*²
- Morningstar Japan ex-REIT Gender Diversity Tilt Index*³
- S&P/JPX Carbon Efficient Index



Credit ratings

Rating agency	Long-term bond	Short-term bond
Standard & Poor's	BB+* ⁴	—
Japan Credit Rating Agency	A* ⁴	J-1

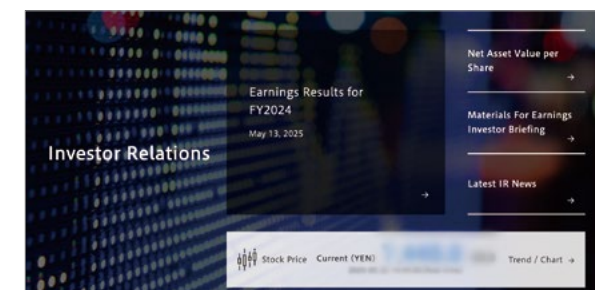
External evaluations on sustainability

- Selected as a “Sustainability Yearbook Member” as a company in the top 15% of each industry in “The Sustainability Yearbook 2025,” a listing of companies with outstanding sustainability performance
- Received a B score in the climate change category of CDP 2024, conducted by CDP, a global NGO promoting environmental disclosure
- Granted “Eruboshi” Level 3 (highest grade) certification as a company promoting women’s advancement



Investor relations

We provide videos and related materials of the latest earnings results briefings and IR-related news, among others.



Sustainability

We feature our various environmental, social, and governance (ESG) efforts, as well as our ESG Data collection.



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¹ FTSE Russell (the trading name of FTSE International Limited and Frank Russell Company) confirms that SoftBank Group Corp. has been independently assessed according to the FTSE4Good Index Series, FTSE Blossom Japan Index, and FTSE Blossom Japan Sector Relative Index criteria, and has satisfied the requirements to become a constituent of those index series.
² THE INCLUSION OF SoftBank Group Corp. IN ANY MSCI INDEX, AND THE USE OF MSCI LOGOS, TRADEMARKS, SERVICE MARKS OR INDEX NAMES HEREIN, DO NOT CONSTITUTE A SPONSORSHIP, ENDORSEMENT OR PROMOTION OF SoftBank Group Corp. BY MSCI OR ANY OF ITS AFFILIATES. THE MSCI INDEXES ARE THE EXCLUSIVE PROPERTY OF MSCI. MSCI AND THE MSCI INDEX NAMES AND LOGOS ARE TRADEMARKS OR SERVICE MARKS OF MSCI OR ITS AFFILIATES.
³ Morningstar, Inc., and/or one of its affiliated companies (individually and collectively, “Morningstar”) has authorized SoftBank Group Corp. to use of the Morningstar® Japan ex-REIT Gender Diversity Tilt Logo (“Logo”) to reflect the fact that, for the designated ranking year, SoftBank Group Corp. ranks within the top group of companies comprising the Morningstar® Japan ex-REIT Gender Diversity Tilt Index™ (“Index”) on the issue of gender diversity in the workplace. Morningstar is making the Logo available for use by SoftBank Group Corp. solely for informational purposes. SoftBank Group Corp.’s use of the Logo should not be construed as an endorsement by Morningstar of SoftBank Group Corp. or as a recommendation, offer or solicitation to purchase, sell or underwrite any security associated with SoftBank Group Corp. The Index is designed to reflect gender diversity in the workplace in Japan, but Morningstar does not guarantee the accuracy, completeness or timeliness of the Index or any data included in it. Morningstar makes no express or implied warranties regarding the Index or the Logo, and expressly disclaims all warranties of merchantability or fitness for a particular purpose or use with respect to the Index, any data included in it or the Logo. Without limiting any of the foregoing, in no event shall Morningstar or any of its third-party content providers have any liability for any damages (whether direct or indirect), arising from any party’s use or reliance on the Index or the Logo, even if Morningstar is notified of the possibility of such damages. The Morningstar name, Index name and the Logo are the trademarks or service marks of Morningstar, Inc. Past performance is no guarantee of future results.
⁴ As of the date of the publication of this Annual Report

The background is a dark blue gradient with numerous vertical streaks of light in shades of blue, cyan, and orange. These streaks are arranged in a perspective that creates a sense of depth, receding towards a horizon line. The overall effect is reminiscent of a digital data stream or a futuristic cityscape at night.

SoftBank Group Corp.

TSE Prime Market: 9984

<https://group.softbank/en/>

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